TVS Supply Chain Sol (TVSSCS)

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Call: Sep 2023

TVS Supply Chain Solutions
September 14, 2023
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, 5th Floor,
Rotunda Bldg., P. J. Towers, Plot No. C/1, G Block,
Dalal Street, Fort, Bandra-Kurla Complex,
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 543965 NSE Symbol: TVSSCS
Dear Sir/Madam,
Sub: Transcript of earnings call with analysts/ investors
Pursuant to Regulations 30 read with Para A of Part A of Schedule Il and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of the Company's analyst call held on September 11, 2023, to discuss the financial results for the quarter ended June 30, 2023.
The transcript is also uploaded in the Company's website https://www.tvsscs.com/investor-relations/
Kindly take the above information on record.
Thanking You,
Yours faithfully,
For TVS SUPPLY CHAIN SOLUTIONS LIMITED
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KRISHNA PRASAD Date: 2023.09.14 14:41:31
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P D KRISHNA PRASAD
Company Secretary
Enclosure: As above
TVS Supply Chain Solutions Limited
No 58, Eldams Road, Teynampet, Chennai - 600018, India. Phone: +91 - 44 - 6685 7777
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CIN: U63011TN2004PLC054655
BELIEVE IN THE POWER OF
TVS Supply Chain
Solutions
BELIEVE IN THE POWER OF US
TVS Supply Chain Solutions Limited
Q1 FY '24 Earnings Conference Call
September 11, 2023
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MANAGEMENT: MR. RAVI VISWANATHAN — MANAGING DIRECTOR —
TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. RAVI PRAKASH BHAGAVATHULA — GLOBAL
CHIEF FINANCIAL OFFICER — TVS SUPPLY CHAIN
SOLUTIONS LIMITED
MR. NARAYANAN B — HEAD, INVESTOR RELATIONS —
TVS SUPPLY CHAIN SOLUTIONS LIMITED

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Moderator:
Narayanan:
Ravi Viswanathan: TVS Supply Chain Solutions Limited
September 11, 2023
Ladies and gentlemen, good day and welcome to the TVS Supply Chain Solutions Limited Q1 FY24 Eamnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
Inow hand the conference over to Mr. Narayanan, Head Investor Relations at TV'S Supply Chain Solutions. Thank you and over to you, sir.
Thank you. Good evening and welcome to the inaugural eamings call of TVS Supply Chain Solutions. We will discuss our financial results for the quarter ended 30th June 2023, We have with us Mr. Ravi Viswanathan, Managing Director and Mr. Ravi Prakash, Global CFO. Our

financial results and investor presentation have been uploaded on the stock exchanges. We will commence the call with opening remarks from our management team, followed by an open forum for questions and answers.

Before we begin, I would like to point out that some of the statements made during today's call may be forward-looking in nature and must be reviewed in conjunction with the risks that the company faces. A disclaimer to this effect has been included in the camings presentation that has been shared. T now invite Mr. Ravi Viswanathan, Managing Director, to make the opening remarks. Over to you, Ravi.

Thank you, Narayanan and good evening to all of you. I would like to welcome you once again to our first earings call as a publicly listed company. We are absolutely excited and are looking forward to interacting with you. Given that this is the first time we are interacting in this forum, I will start off by spending a few minutes providing an overview of our company and our vision for the business. I will

then share with you the highlights of our performance for the quarter and my colleague, Ravi Prakash, the CFO, will then take you through the detailed analysis of our numbers.

We are an end-to-end supply chain solutions provider with capabilities across the value chain. Ours is a global business headquartered in India with presence across four continents. As our name suggests, we provide solutions that help customers manage their supply chains better. This customer focus has meant that we have grown along with our customers and got to our current scale. In doing so, we have built long-term relationships with our top customers. Another thing that we have focused on over the years is the mix of our business. We have built a business with a revenue that is diversified across multiple sectors. We are an asset-light business and technology is a key element of the value we bring to our customers. We have differentiated capabilities that form an integral part of the solutions we provide to our customers.

We classify our business into two segments, Integrated Supply Chain Solutions or ISCS segment and Network Solutions or the NS segment. In the ISCS segment, our capabilities including sourcing and procurement, in-plan solutions, aftermarket solutions, integrated transportations and aftermarket fulfilment. Customer engagements in this segment are typically driven by multi-

year outsourcing contracts under which we deploy solutioning, manpower & transportation and technology.

In the NS segment, as the name suggests, we leverage our operating network of two types: global freight solutions or GFS where we have a global forwarding network which we leverage to provide end-to-end solutioning on air and ocean freight along with warchousing and ground transportation. And Integrated Final Mile or [FM. We used to call it time-critical last mile but we have repositioned as integrated final mile or IFM where we leverage our final mile network to provide time-critical services such as courier, break pick support, spares management amongst other things.

As I mentioned eatlier, we lay large emphasis on customer relationships and growing with our customers. On an average, our relationships have lasted upwards of 10 years with most of our key customers. Our business development hence has two elements to it, new customer addition whereby we add new logos to our roster of customers and encirclement where we expand the scope of our existing relationship by either adding newer capabilities to our solution or expanding the relationship to newer geographics.

In summary, what we have built is an Indian multinational with a capability set that is on par with the largest players in our sector. We have a clear vision on the way forward. We want to continue to grow and grow profitably. We want to leverage our capabilities and expertise to double our scale to be one of the top 50 logistics companies worldwide.

Now coming to the highlights of performance for quarter 1 FY24, we had a very strong growth in the ISCS segment with revenues growing 20.1% year-on-year and 5.1% sequentially. We grew in the ISCS segment across all the three geographies namely India, UK, Europe and North America.

In the NS segment, global ocean and air freight markets continue to be subdued in line with our expectation. Freight volumes however hasn't picked up as much as we had expected. India freight volumes were impacted by weak exports from India which is down almost 15% year-on-year in quarter 1 as a country. Our diversified revenue profile in the final mile business continues to be steady in the face of macro weakness in developed markets. Our NS segment revenue declined 9% sequentially and 35.1% compared to previous year.

As acompany overall, we are very encouraged with a consistent growth in ISCS which ensured the impact of the

freight rates were softened. This showcases the strength in our model where
our business portfolio balances very well
Overall, consolidated revenue declined 1.6% sequentially and 12.4% year-on-year. We have had a strong EBITDA performance this quarter. Our Adjusted EBITDA margins improved 140 basis points over Q1 of last year and 40 basis points sequentially. On a lower revenue in Q1 FY24, we posted an Adjusted EBITDA of INR179.4 crores which is a 3.3% growth sequentially and 7.3% growth year-on-year. Our profit before taxes was a negative INR47.9 crores and post-tax profit was a negative INR65.3 crores. It is important to see these in the context of a couple of specific factors which my colleague Ravi Prakash will provide more details on.

Ravi Prakash:
So, with this background, I will hand it over to Ravi Prakash, Global CFO, who will take you through a detailed analysis of the numbers.
Thank you Ravi Viswanathan. Good evening everyone and thank you for joining our inaugural camings call. I will take you to the highlights of the financials for Q1 FY '24. Revenue from operations for the quarter was INR2,342.4 crores with business development revenues contributing approximately INR255 crores. This helped offset the headwinds on global freight and the business development revenues were in line with what we had been expecting.
As Ravi Viswanathan highlighted earlier in the call, the overall revenue number was driven by a strong growth in the ISCS segment where QI revenue grew 20.1% year-on-year. This was offset by a decline in the network segment where revenues declined 35.1% year-on-year. The prime driver for this was that average ocean freight rates in Q1 in our lanes were down almost 55% compared to the same period last year, which was probably the peak of the cold related freight rate that had gone up and air freights were down about 47%. But we have been able to manage the margin impact of that well and I will walk you through that later on.
The segmental revenue performance is consistent across all geographics. In India, the ISCS business grew 14.3% year-on-year and that is very encouraging to us. In the rest of the world, ISCS business grew 25.5% year-on-year on a back of very strong performance in both our European and North American businesses and these details have been provided in the eamings presentation.
The Network Segment declined 62.7% in India and 28.2% year-on-year in the rest of the wozld, contributing to the overall decline in the Network Segment revenue. The detailed breakdown by geography as well as segments within geography, including an overall volume price impact has been provided in the uploaded presentation. And you can see that overall revenue has been driven more by volume.
Going from revenue from operations into other income, other income of INR18.2 crores was primarily due to interest income and forex gains. Therefore, total income for the quarter was INR2,360.6 crores, a decline of 12.3% year-on-year.
On margins, the key driver was a shift in business mix between the Supply Chain and the Network Segment. The higher margin Supply Chain segment share has expanded to 56.3% in Q1 FY 24 from 41 for the same period last year.
On page 21 of the investor presentation, we have provided the segmental results for the ISCS and NS segment and that will give you a sense of how this is impacting the overall mix. The ISCS business has been able to expand its Adjusted EBITDA margins by 190 basis points year-on-year by leveraging overheads while holding gross margins steady. This quarter, it did also benefit from a very high margin consulting contract.
In the Network Segment, absolute Rupee margins have been impacted due to the decline in the revenue of the freight business. But the year-on-year drop in gross margin has been lower than the drop in rates in the

freight segment reflecting our procurement and operational efficiencies.
Profit margins have also been impacted by cost pressures in the final mile, what we used to call

the time critical final mile business, IFM business. We expect the IFM business to start delivering improvements by Q3 FY "24. On an overall basis, the portfolio mix has worked well with the ISCS improvements helping grow EBITDA margins 140 basis points year-on-year.
I will now go ahead and explain a few of the major expense line items and how they have evolved. Freight clearing, forwarding and handling charges for the quarter was INRS67.4 crores. Tt was down 48.4% year-on-year. And you would relate this reducing ocean rates as procurement efficiencies drove this change. You can relate this percentage change to my carlier comments about our ability to drive operational procurement efficiencies. And the rates have actually fallen much higher than what the revenue has fallen.

Employee benefit expenses for the quarter was INRS7S.1 crotes versus INR542.5 crores in the prior year. Most of this increase is driven by incremental people being deployed in new contracts in the Supply Chain segment and so is absorbed within the gross margins of the ISCS segment. Adjusted EBITDA for the quarter was INR179.4 crores versus INR167.2 crores in Q1 FY 23. This represents a 7.3% growth year-on-year. Ow Adjusted EBITDA margins have thus improved 140 basis points compared to Q1 of last year. Post the EBITDA line, I would like to call out two factors. Firstly, our borrowing costs have increased on the back of rising interest rates and has impacted Q1 FY '24 numbers by INR19.2 crores in comparison to the same period ast year. This was due to the increase of average interest rates which have gone up upwards of 350 basis points compared to Q1 of last year.

In Q2, we will be deploying the IPO funds to repay INR525 crores for the borrowing as we had indicated in our Prospectus. We will reduce our borrowings further out of surplus funds in capital raised prior to the IPO. As a result, our borrowing cost is expected to come down by approximately INR15 crores on a net basis on a run rate basis -- or per quarter on a run rate basis.

Secondly, after interest cost, the other item we should look at the PBT level is we had to take a one-time P&L charge of INR23.2 crores due to the impact of conversion of compulsorily convertible preference shares that we had issued to investors from whom we had raised capital before the IPO. As per Ind AS, these instruments were classified as financial liabilities on the balance sheet. They were having variable returns because they were structured to convert into equity at a discount to the discovered price at the IPO. And any discount which is attributed towards, which is in excess to what is attributed towards illiquidity as per accounting standards needs to be charged to the P&L

It is important to note that this was a non-cash expense and does not in any way involve cash outflow. Due to these two items, profit before tax for the quarter was negative 47.9 compared to aloss of 19.5 in the previous quarter and a profit of INRS.1 crores in Q1 FY "23. Tax expense for the quarter was INR17.3 crores. The tax expense has been provided based on an effective tax rate for the quarter and as the year progresses, we will get a much better visibility of how the full year tax rate will evolve. And therefore, after considering this, the profit after tax was INR65.3 crores compared to a loss of INR12.3 crores in the previous quarter. This is a quick summary of the financials for Q1 FY '24. T will now hand it back to Mr. Ravi Viswanathan.

Ravi Viswanathan:

Moderator:

Thank you, Ravi Prakash. Befo

re we open the floor for Q&A, I would like to provide you with our outlook of the current business environment, we operate in and the demand drivers we are seeing. We see outsourcing of supply chain requirements continue to grow across the markets we operate in thus driving growth in the ISCS segment. In India, growth is being driven by domestic consumption and the auto and industrial output expanding.

In the UK and Europe, inflation pressures have shown signs of easing off and in North America, again, inflation has eased off and auto sales have grown double-digit year-on-year despite high interest rates and fuel costs. We are strong in Europe, UK and the US and our business in these markets have shown resilience in the current macro environment and this continues to be the case. We are seeing robust demand in sectors such as utilities, defence, energy, auto and farm equipment. In summary, we expect the market factors to be favourable to us for the rest of the year for the ISCS segment.

Added to that, our business development momentum continues to be good with new engagements in all three geographies including the large transformative engagement with Centrica, one of the leading utilities in the UK, which went live in quarter one FY '24. We have a strong pipeline of new opportunities in the Integrated Supply Chain Solution segment. We expect a year-on-year growth in the mid-teens in the ISCS segment for the full year FY <24.

In the Network Solution segment, we expect the final mile business to remain steady. On global freight, while we are not expecting any uptrend in freight rates, we are expecting volumes to improve. Our continued focus on business development is delivering a strong pipeline. In the previous financial year, freight rates were high in the first half and then declined significantly in H2. In that context, our year-on-year comparison of revemues for freight should improve significantly in the second half because of the base getting normalised.

On margins for the Network Solutions segment, margins should improve H2 onwards as some of our price increases come through and freight volumes pick up. We are also taking specific cost reduction initiatives in order to improve the efficiencies of our business. We expect Adjusted EBITDA margins to improve year-on-year compared to full year FY '23. Putting it

together, we expect full year Adjusted EBITDA margins to be higher than the previous year by 80 bps to 100 bps. Our revenue estimates might be subdued.
Our profit has been impacted by the exceptional impact on CCPS conversion, but reduction in borrowing cost and impact of cost reduction initiatives will be obvious positive impacts. We are extremely confident of the business and our exit run rates will reflect our focus on profitable growth, which has been our mantra. With that, I would like to open the floor for questions.
Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Achal Lohade from JM Financial. Please go ahead.
Good evening team. Thank you for the opportunity. My first question is on the Integrated Supply Chain business. You mentioned that the growth was strong at 20% for the first quarter, but T guess for the full year you talked about mid-teens kind of growth. Can you help us understand, how do you see the growth in the coming quarters for the Integrated Supply Chain business and

Ravi Viswanathan:
Achal Lohade:
Ravi Prakash:
Achal Lohade:
Ravi Prakash:
within that, if you could split between India and the rest of the world? With that, also if you could elaborate a bit with respect to any leadership related changes you have seen or undertaken over the last couple of years, which should help or influence this growth?
Okay. Thank you, Achal. This is Ravi Viswanathan here. Let me answer that

question. Firstly,
the ISCS segment grew actoss all the three geographies that I mentioned with revenues coming close to 20% and EBITDA growing by 190 basis points. India grew by 14.3% in the ISCS segment. So clearly, India continues to be a very strong driver of growth. Ewope and North America together made the rest. When I say we will grow in teens, we are looking at very high teens, maybe closer to the 20% and we will hold to that. With respect to your second question, which is with respect to the leadership change, one of the changes that we initiated was about two years ago when we brought in Richard Vieites in the North America region and North America has seen stellar growth over the last 18 months and we continue to have a very, very strong growth momentum in North America.
Thank you. With respect to the Network Solution piece, you indicated that, I think Ravi Sir indicated about the margin part of it. If you could elaborate a bit with respect to the fieight rates, how it has influenced in terms of the gross profit and the percentage margin and how do we see it given the low base or rather corrected base of last year in the second half, how do we see it as a growth, from a growth and a margin perspective?
Achal if we do a trend line Q1 FY23 was the highest rate per container that we had ever in our history. Versus that, the current rate has dropped by almost 55%. But against that, our gross 'margin has dropped only about approximately 16.5% to 17%. That is what I meant when I called out the fact that we managed procurement efficiencies and operational discipline very well.
The business also has been very disciplined with respect to its cost and that is why when I called out the increase in employee cost, all that was purely in the Supply Chain Segment, that too driven by contract, incremental contracts. In the network segment, actually costs have stayed flat and we are taking measures to make sure that they are leveraged further as we go into the second half.
Therefore, in the second half, the comparatives versus last year should look a lot better because rates dropped sharply in September-October of last year and versus that in the second half, it should look a lot better.
Understood. With respect to specifically India geography, if you could give a combined, you know, in terms of the Supply Chain plus Network Solution in terms of how the growth has been and how do we see this vis-a-vis, in terms of the market share and the outlook?
So, India, I think it is important to actually the reason we broke out the Supply Chain and the Network and with the presentation also, because the Supply Chain business growth, I think it is important to be benchmarked versus probably peers, listed peers, to see we have grown 14% and we see that revenue momentum continuing.
In terms of the Network Segment in India, that has actually declined a fair bit in terms of rates. 'We are expecting that in the second half it will stabilize and therefore, India overall revenue at

Achal Lohade:
Ravi Viswanathan:

Achal Lohade:
Moderator:
Sumit Kishore:
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Ravi Prakash:
Sumit Kishore:
Ravi Prakash: TVS Supply Chain Solutions Limited
September 11, 2023
INR680 crores versus the same period last year was about 17% down. But the driver has been a 14% growth in ISCS revenue.
Understood.
So, Achal if I may just add, on the ISCS, if you benchmark ourselves with our India peers, you will see that our ISCS numbers compare extremely well with the listed peers that we have called out. And even on the Network Solutions, if you look at the one listed peer that we have benchmarked, we compare very favourably because globally and in India the Network Solutions business, which is predominantly driven by the global freight rate, has been on the downward trend, as all of us know.
Understood. Understood. I th

ink I will stop here for the question. I will come back in the queue for any follow-up. Thank you and wish you all the best.
Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.
Good evening and thanks for the opportunity. My first question s...
Sorry to interrupt, but the line for you is not very clear. I request you to please move to an area where you are getting good network.
Am1 audible now?
No, not really, sir. It s still breaking up in between.
Hello.
Yes, now it is clear.
Thaniks for the opportunity. Good evening. My first question is, could you help disaggregate the revenue and EBITDA margin performance of GFS and IFM and basically speak about the year-on-year performance separately for these two components of network services?
So, in fact, the GFS business, EBITDA margins have improved, Sumit, compared to the same period last year, because what T had said was that the gross margin percentage has improved by almost about 7% to 8% points versus the same period last year. And so, and the costs have been actually held flat.
So, the EBITDA margins, if I were to break it down between GFS and IFM, GFS actually EBITDA margins have improved compared to the same period last year. The IFM business, we talked about i, it is having - we said that it will take a little bit of time to work through the cost pressures that are there in the business.
And we have taken measures which we expect to start showing benefit in the second half of the year. Revenue has been pretty steady in the IFM business as well.

Sumit Kishore:
Ravi Prakash:
Sumit Kishore:
Ravi Prakash:
Ravi Viswanathan:
Sumit Kishore:
Moderator:
Achal Lohade: TVS Supply Chain Solutions Limited
September 11, 2023
Okay sir. On a full year basis, my understanding was that GFS will overall see a margin decline and it is actually IFM which is going to see margin improvements of a low base that you had in FY "23. I mean, so, what has happened in first quarter is T mean, not on the expected lines but T think that trend will sort of establish itself as we go nto second half. Is my understanding right?
On a full year basis, your understanding is right, Sumit. Well, we do expect IFM margins to improve off a low base, but we had also expected them to start from H2 onwards. So, the Q1 performance of IFM is actually on expected lines. GFS has been a bit of a pleasant surprise, pleasant but helpful surprise in Q1, where I think the team has, what you call, managed their costs very well. But on a full year basis, your expectation is pretty fair.

Right. So, even though you expect some operating leverage benefits in second half, I think in GFS that is going to be tough because unless you have very strong volume growth to offset the decline in pricing, which is already in and unless you are assuming that prices will recover in second half, you know, how do you expect to sort of see the top line for GFS in second half of the fiscal?
So, Sumit, we are not expecting prices to change much from what we have seen in the first quarter. We always expected that prices would - we are now around pre-COVID levels, and we expect prices to stay around that number for the rest of the year.
We expect volumes to recover on back of two things. There are a few business development deals which we are expecting to kick in, that is one, and we are seeing some early signs maybe of slight volume improvement.
The third element is very strong cost management to deliver the operating leverage. So, I had already said that if I take employee cost, GFS actually has remained flat versus prior year same quarter and we are pushing that even more to take measures to help us deliver the operating leverage in the second half.
And Sumit, if I can add, if you look at GFS, we are continuing to win deals. We have retained our entire customer base. It is a volume uptake which

is a global phenomenon, and it is an
industry-wide phenomenon, and we expect that to change and when it changes, we are well placed for us to -- get a hockey stick going for N, for the Network Solutions segment.
Sure. Got it and wish you all the best. Thank you.
Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.
Thank you for the follow-up opportunity. If you could elaborate, sorry, I was bit lost there in terms of the CCPS, what exactly is the impact, how it is classified, how is there any further impact which is expected in the rest of the year?
And also, if you could elaborate on the debt reduction, where we are as of March and June ‘23? And how do you see by March 24 in terms of gross and net debt, please?

Ravi Prakash:
Achal Lohade:
Ravi Prakash:
Achal Lohade:
Ravi Prakash:
Achal Lohade:
Ravi Prakash:
Moderator:

So, thanks Achal. On CCPS Achal, we had issued a total of INR5S6 crores worth of CCPS out that, INR417 came before even the IPO, and about the balance of them came after we had got the DRHP approval.
The way the accounting works for CCPS is because the number of shares to which the CCPS converts was based on a 15% discount to the discovered price in the IPO. And the way the accounting works is because it is a variable number of shares that come out of a CCPS, the instrument is classified as a financial liability.
A financial liability, therefore, needs to be fair-valued. What the auditors have determined is a certain portion of the discount to the IPO price they have attributed to illiquidity, but the balance accounting standards require that it be taken to the P&L. It is a non-cash charge, and it is a one-time impact. You will not see that Q2 onwards and that is how the CCPS works.
From a debt perspective, we had indicated in the prospectus that INR525 crores worth of funds would be utilized for debt reduction 392 of that in India, which will happen in Q2 and another 132 to our subsidiary in UK, LI UK, which will also happen in Q2.
In addition, to this 525 approximately a similar amount has been available to us from pre-IPO fundraising as well as the CCPS. All that will also be utilized for debt reduction. Therefore, if T take the June 30th gross debt, which is at about INR 1,788 crores that will come down by roughly about INR1,090 crores and we should end the year at a gross debt of about INR685 to INR700 crores approximately. Net debt should be about 100 to 150 no more than that and as a result of that, the interest savings should be about INR15 crores a quarter.
Right. Okay. Understood. And how do we look at the capex plans here for FY ‘24, ‘25, *26?
‘We would like to keep it at under 1% of revenue around INR100 crores, INR100 to INR110 crores.
Understood. And if you could just clarify on this — if I look at the segmental breakup in our results if you could just highlight in terms of the segment assets, unallocated segment assets

what does it comprise of? So, if I look at June 30th, there is unallocable corporate assets of INR4,345 crores and a corporate liability of INR3,064 crores. If you could highlight, what does it pertain to, what all heads under which it is sitting?
The acquisition-related assets, acquisition-related assets Achal.
Ts that goodwill we should understand, sir?
Yes. It’s actually investments, which on a consol basis will translate into goodwill.
Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Thank you. And I want to thank all of you for joining in the call. In summary, I would like to say that we've had a stellar growth in the ISCS segment across all the three geographies, significant customer wins of almost INR255 crores of new business development, which is

in

line with what we speak about 11% of our quarter one numbers, and our EBITDA margins and Adjusted EBITDA has expanded admirably.
Thank you and we appreciate you logging into the call. Good night.
Thank you. On behalf of TV'S Supply Chain Solutions Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2023

November 10, 2023

BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051
NSE Symbol: TVSSCS

Dear Sir/Madam,
Sub: Transcript of earnings call with analysts/ investors

Pursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Solutions Limited ("Company ") analyst call held on November 8, 2023, to discuss the financial results for the quarter and half year ended September 30, 2023 .

The transcript is also uploaded in the Company's website https://www.tvsscs.com/investor - relations/

Kindly take the above information on record.

Thanking You,
Yours faithfully,

For TVS SUPPLY CHAIN SOLUTIONS LIMITED

P D Krishna Prasad
Company Secretary

Enclosure: As above
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KRISHNA PRASADDigitally signed
by PADOOR DORASWAMI KRISHNA PRASAD
Date: 2023.11.10
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TVS Supply Chain Solutions Limited
Q2 FY24 Earnings Conference Call

November 0 8, 202 3

MANAGEMENT : MR. RAVI VISWANATHAN – MANAGING DIRECTOR , TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. RAVI PRAKASH – GLOBAL CFO, TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. NARAYANAN - HEAD, INVESTOR RELATIONS , TVS SUPPLY CHAIN SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good morning and welcome to the TV S Supply Chain Solutions Limited Q2 FY24 Earnings Conference Call.
As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Narayanan – Head , Investor Relations at TV S Supply Chain Solutions Limited. Thank you and over to you, sir.
Narayanan : Thank you. Good morning and welcome to the TV S Supply Chain Solutions Earnings Call for Q2 and H1 FY24.
We have with us today, Mr. Ravi Viswanathan - Managin g Director and Mr. Ravi Prakash - Global CFO. Our financial results and investor presentation have been posted on the company's website and on th e stock ex changes. We will commence the call with opening remarks from our management team, fol lowed by an open forum for Q&A.
Before we begin, I would like to point out that some of the statements made during today's call may be forward -looking in nature and must be reviewed in conjunction with the risks the company faces. A disclaimer to this effect has been included in the earnings presentation that has been shared.
I now hand it over to Mr. Ravi Viswanathan - Managing Director to make the opening remarks.
Ravi Viswanathan : Thank you, Narayanan, and good morning to all of you.
I would like to welcome you once again to our Earnings Call to discuss both our Q2 and H1 FY24 performance. I will share with you the highlights of our performance and my colleague ; Ravi Prakash will then take you through the detailed analysis of our numbers and we look forward to interacting with you as part of the Q&A.
I thought for the benefit of those who are joining us for the first time, I will provide a brief background of TV S Supply Chain Solutions. We are an end-to-end supply chain solution provider with capabilities across the value chain. Our business is diversified across multiple sectors and highlighted by long -term customer relationships with our top customers. We operate our business in two segments, what we call Integrated Supply Chain Solutions or ISCS segment and Network Solutions or the NS segment. Just wanted to add that technology is a very key element of the value we bring to our customers and we deploy an asset light business across both our segments. We are an Indian multinational with a set of capabilities comparable with the largest players in our sector. Our focus has been on profitable growth and we are leveraging our capabilities and expertise with the vision of being amongst the top 50 logistics companies globally.

With that short introduction, let me progress towards the highlights for Quarter 2 and H1 FY24.
Please note that we have carried out certain restatements in our financials . Prior period financial s we had disclosed earlier have undergone a change on account of this restatement and Ravi Prakash will provide greater details on this.
Coming to the performance, we have had a strong quarter overall as a company , with significant positive s across both our operating segments. The Integrated Supply Chain Solution segment o r the I SCS segment delivered double -digit growth consistent with its performance in the earlier quarter. Q2 revenues grew 13 .5% year-on-year and on a half yearly basis, the segment grew 16.8% over the same period last year. This growth has been broad based and across our geographies. There were a couple of one-off factors in Quarter two, the United Auto Workers strike, which has now been resolved, and a seasonal plan t shutdown in o

ne of our key customers.
Outside of these, the underlying growth trend is robust and with encouraging demand drivers.
Margin expansion has been a key highlight of our performance this quarter. IS CS margin has expanded 240 bps year-on-year in Quarter 2 with adjusted EBITDA margin s of 10.2% for the quarter. On a half yearly basis, the IS CS segment margins were higher by 220 b ps compared to

H1 of last year.
In the Network Solutions segment, we bucked the declining trend as Quarter 2 revenues grew 2.4% sequentially. This was driven by the growth in our integrated final mil e business and sequential volume improvements in the global forwarding of the GFS business. GFS was impacted however by a further decline in the freight rates, which is in line with global trends.
On a year-on-year basis, our Network Solutions segment revenues are 36.4% lower ; as we had mentioned last quarter . The year-on-year comparison will start getting normalized a bit in H2 given the movement in freight rates last year. We saw margin expansion in the Network Solutions segment as well with Quarter 2 margins expanding 30 bps sequentially from 4.6% to 4.9% in Q2 FY24. In the integrated final mile business , revenue growth, implementation of pricing revisions and operational efficiency initiatives drove margin improvement. In GFS , we are focusing on procurement efficiency and cost containment to soften the impact of fall in rates.
In this context, it is important to call out the discontinuation and the sale of Circle Express by the I FM business. This sale i s expected to drive larger focus on the core business and margin expansion in the forthcoming quarters and Ravi Prakash will provide more details on this.
On a consolidated basis, revenue for the quarter was 1.1% lower sequentially and 15.6% lower year-on-year. Adjusted EBITDA margins for Q2 were 7.8%, which represents 100 bps improvement year-on-year. On a half yearly basis , our revenues were lower by 14.1% year-on-year, h owever, our margins expanded by 150 b ps year-on-year which drove a 4.7% growth in adjusted EBITDA. So with this background, I will hand it over to Ravi Prakash, our Global CFO, who will take you through a detailed analysis of the numbers and I can come back to talk to you more about what we are seeing in the pipeline and some of the key wins . Ravi Prakash …
Ravi Prakash : Thank you, Ravi. Good morning, everyone and thank you for joining our earnings call. Let me take you through the highlights of the fina ncial performance for Q2 and H1 FY 24. I will start with an update on the utilization of our IPO proceeds. As we had indicated in the prospectus, we

have utilized the proceeds through the IPO to repay our borrowings in India and overseas. This is in line with the objects of the issue that we had stated in the offer document. We have repaid a net amount of Rs. 768 crores since the IPO , of which Rs. 524 crores was from IPO proceeds and Rs. 244 crores was either from internal accruals or capital that was raised prior to the IPO. As a result, our net debt as of 30th September stands at just around Rs. 60 crores in line with what or in fact slightly marginally lower than what we had indicated in our earlier calls. These numbers are available in page 5 of the earnings presentation. The debt reduction has delivered about Rs. 6 crores of improvement in the interest costs in Q2 and is expected to further deliver another Rs. 13 to Rs. 14 crores in Q3, again consistent with what we had indicated in the past discussion s.
During the quarter, we made two strategic interventions in our business. First, we sold a partial stake in our associate company TVS Industrial & Logistics Park s. We sold 4.5% of our stake and recognized the profit of Rs. 35.3 crores and that is stated as an exceptional item in our financial statements. Post this transaction,

we continue to own 25.2% of T VS ILP. The second
strategic intervention we made was the sale of Circle Express in the UK, which Mr. Ravi Viswanat han has already mentioned earlier . We recognized a loss of Rs. 38.5 crore on the sale of Circle Express, which included any assets or impairment of goodwill. This loss is also an exceptional charge to the P&L, so just to kind of combine both, the exception al line item of Rs. 3.2 crore in the financials reflects the net impact of both these and the notes of the accounts have the details of both the transactions.
With this, I woul d like to mention that as a result of the sale of the Circle Express business, we are required to restate our financials as per the requirements of the accounting standards. The Circle transaction was completed on 29 th September and the financials of Circle Express for periods prior to this date are classified as Discontinued Operations and shown separately as a net in the financial statements . We have hence restated the financials of F Y23 and Q1 to remove Circle from Continuing Operation s. With this restatement, prior period comparisons on Continuing Operations will be like to like with Circle Express financials not included in both periods . Page 9 in the investor presentation explains the summary numbers on this for your reference.
Now , moving to the performance of the continuing business , Mr. Ravi Viswanathan already spoke about the margin expansion in both our business. I would like to give a little more detail and particularly focus on the operational efficiencies that the business has been delivering. We have called this out on page 14 of the presentation where you will see that on year-over-year basis, our Q2 revenue was lower by 15.6% versus last year, mainly due to the decline in the freight rates. However, we were able to reduce our total operational expenses excluding finance cost by about 15.9% year-on-year. The only exception is the interest cost, which has gone up

due to the run up in interest rates over the last 12 months. The trend is similar when we view quarter -on-quarter comparisons as well. This has been made possible by some s mart procurement and operational efficienci es and that is the key driver for the expansion in EBITDA margins that you see.

Going forward to the analysis of the key line items , our ISCS segment showed continued growth momentum , revenues of Rs. 1,269 crores for the quarter compared to Rs. 1,119 in Q2 last year that is growth of 13 .5% year-on-year. For H1 , it was Rs. 2,588 crore compared to Rs. 2,216 crores, a growth of 16.8% over the previous year. The strength in the business is that it is growing across all our geographies, India, UK and North America. The network segment revenues grew sequentially, driven by growth in the integrated final mile business while the GFS business saw volume improvement , but continued to face the impact of a freight rate slow down . Network segment revenues were Rs. 993 crore compared to Rs. 970 crore last quarter, up 2.4% sequentially . Network segment revenue for H1 was Rs. 1,963 crore s compared to Rs. 3,083 in H1 last year. As we go forward into Q3 and Q4, these comparatives should look better because freight rate had started declining from Q3 of last year.

Bringing this together, consolidated revenue from operations was steady for the quarter with revenue coming in at about Rs. 2,262.9 crores compared to Rs. 2,288.9 crores in the previous quarter and Rs. 2,680.8 crores in Q2 FY 23. Business development continues to deliver as per expectations. Revenue from new business development in the quarter was Rs. 180 cr ores in Q2. For the first half, BD has contributed a total of Rs. 450 crores of revenue approximately 10% of our H1 revenue and that has been called out in our earnings presentation. This is consistent with w

hat we had always indicated. Therefore, revenue from operations for H1 was Rs. 4,551.8 crores compared to Rs. 5,299 crores last year.

A quick look at the other lines, other income for the quar ter largely comprising of forex gains and interest income was 8.3 compared to 18.2 in Q1 and Rs. 21 crores in Q2 last year. Total income for the quarter therefore was Rs. 2,271.2 crores, which declined 1.6% sequentially and 15.9% year-on-year a nd for H1 was Rs. 4,578.3 down 14.2 year-on-year, again driven primar ily due to the freight rate decline .

A quick e xplanation of the few major expense line items, the way they have evolved freight clearing, forwarding and handling expenses for the quarter was Rs. 570.4 crores. It was down 48.6% year-on-year and even a similar number for H1. This is where we have delivered significant procurement efficiencies to compensate for the decline in revenue in the network segment business . Employee benefit expense for the quarter was Rs. 572.8 crores versus Rs. 494.2 crores in the prior year. The ramp up in customer engagements in IS CS segment is the key reason for increase in manpower deployment . So, most of the employee cost increase is actually absorbed within the gross margins of the I SCS segment.

On page 25 of the investor presentation, we have provided the segmental results for the IS CS segment and NS segments. Consolidated a djusted EBITDA for Q2 was Rs. 175.7 crores compared to Rs. 186.3 in the previous quarter and Rs. 182.5 in Q2 of last year . And H1 adjusted EBITDA was Rs. 362.1 crore compared to Rs. 345.8 crores in previous year. We have also provi ded a comparison of the network segment results reported last quarter just to make the point clear about the restatement impact of Circle, but again here I woul d like to point out that despite the 15.9% decline in revenue, we are able to actually grow EBITDA in H1 and that goes back to the point I made at the beginning, which is the focus on operational efficiencies.

I had already indicated that we have utilized the proceeds from the IPO to reduce our borrowings ; as we had mentioned in the last earnings call, our interest costs will reduce , this can be seen in Q2. Finance cost for Q2 was Rs. 57.1 crores, which was lower by Rs. 6.2 crores quarter -on-quarter . The full benefit of the reductions will start flowing through starting Q3. Our profit before taxes and exceptional items was Rs. 4.5 crores better compared to the loss of Rs. 10.7 crores last quarter. Post the exceptional items , PBT was -7.8 compared to -33.8 in the last quarter and tax expense for the quarter wa s 14.2 and profit after tax was -21.9. This concludes a quick summary of the financials. I will now hand it back to M r. Ravi Viswanathan .

Ravi Viswanathan : Thank you, Ravi Prakash. So to summarize our performance and outlook, our customer relationships are strong as we continue to grow our businesses with our large customers. Our business development continues to deliver consistently and as Ravi Prakash said, roughly a bout 10% of the revenue comes from new BD . In Quarter 2 , we had multiple new contract wins in both the segments. What I would like to call out was one of our key wins was an expansion in

engagement with the German automaker. We have been wo rking with them for many years now and providing a freight management solution to them. We will now support their aftermarket parts warehouse and distribution in Southeast Asia from out of Singapore . It is a major win and it highlights our focus on our large customers and ability for us to cross sell both the capabilities and expand in multiple geographies that we are present .
Some of the other important wins included an engagement for material handling, storage and distribution for an Indian IT major who was involved in the rollout of a large telecom network ; freight management

solution for a la rge global wind turbine company a nd 3PL Solution for a consumer goods company in UK and Europe. During the quarter, we expanded the scale of engagement with Centrica and we had mentioned Centrica last quarter and that has gone on stream and we have deployed manpower in our two operational sites and also began our tech development for Centrica in this quarter.
Our focus is really to see how we can leverage our global accounts through a global account management program where we can cross leverage our geographical presence and the width of capabilities. We are seeing early success like the one example I mentioned earlier . And in fact, we expect our largest customer to grow into a USD 100 million global account over the next 12 to 18 months. We remain cautiously optimistic in the global forwarding business, which as you know is facing severe headwinds and we hope to see reduced headwinds in the med ium term , but overall, the demand for outsourced supply chain solutions is robust and growing. We have a solid pipeline of new opportunities across our sectors and geographies. Currently, our pipeline presents a potential revenue opp ortunity, which is in excess of Rs. 3,000 crores. With that , let me conclude and o pen the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh : My first question was on the margin outlook, especially on the Network Solution side , so you did talk about the procurement and operational efficiencies which have started showing results

in margin expansion in this quarter as well despite the pricing pressure , how much of that is still that you think that you can drive in expand margin and can we go back to the margin that we used to see the last year?
Ravi Prakash : Kumar , thank you very much. This is Ravi Prakash. If you look at the network segment , sequentially the margin has expanded 4.9% from 4.6 % earlier , about 30 b ps we were able to do it. We had always indicated that the margin will be a function of two things . In the I FM business , in the second half , we always said that we are going to see a turnaround and we have seen early signs of that in Q2 and therefore that should be a positive to margins in H2. On the forwarding side, what we have seen is that the business has been able to very sma rtly manage the cost down as the prices have come down and we are quite comfortable that they would be able to hold this trend for Q3 and Q4 as well. Therefore, our expectation is that as we exit Q4 of FY24, we should be getting closer and closer to the margins that we have been used to historically.
Kumar Rakesh : My second question was around your debt reduction plan , so you did talk about that in this quarter also , you reduced some of your debt and there is still some left on your balance sheet , so what is the plan for the rest of the debt in the coming quarters and what would be the outlook around that?
Ravi Prakash : So again, Rakesh, the objective of the company is to reduce the long -term debt a s much as possible . In Q3, you will see a further reduction about probably between Rs. 220 to Rs. 300 crores and by the end of March 31 , 2024 , we should probably be left with only working capital debt on the balance sheet and if there is anything left that will be a very minimum long -term debt.
Kumar Rakesh : Ok, great. And that should reflect in your finance cost also coming down ?
Ravi Prakash : Absolutely , as I indicated that in Q3, you should see about Rs. 13 to Rs. 14 crores benefit from actions that have already been taken and maybe a small marginal improvement in Q4, but Q3 should see the bulk of the benefit.
Moderator : Thank you. Our next question is from the line of Sumit K

ishore from A xis Capital. Please go ahead.
Sumit Kishore : Good morning gentlemen , my complements on the strong margin expansion in ISCS. My first question is, any reason why we are seeing soft er growth in H1 in India I SCS versus rest of the world and also in quarter -on-quarter basis, there appears to be a slip in India ISCS and rest of the world I SCS revenues in Q2, this is versus Q1 of FY24 , so your explanations on these two trends first?
Ravi Prakash : Sumit, let me just talk about the quarter -on-quarter ISCS. A significant portion of the difference

is actually explained by seasonal factors , Sumit. We have large customers in the US where this
quarter is when they normally take their seasonal plant shutdown and that is what happened .
Last year they did not do it because they were just coming out of COVID. That explains the bulk

of the difference and you will see that in Q3-Q4 that will get correct ed. Second is there was, I wouldn't say material, but there was an impact of the UAW strike because for about two weeks , we did have our operations disruption in one of our large customers. These two actually explained what has happened quarter -on-quarter . I think with respect to India, again, I would say it is more a simple timing of deal flow. You can see that if you go back quarter -on-quarter, consistently we have seen India revenue grow up and I would expect that to continue and I don't see any other majo r what you call factor actually holding us back. In fact the deal pipeline is quite strong, both India as well as rest of the world.

Sumit Kishore : And the same factor would explain largely the H1 relatively softer growth in India ISCS versus rest of the world?

Ravi Prakash : That is pretty much what it is. See the other reason I can tell you is, if you compare the comparators , in the rest of the world, we have had a couple of contracts which are a significant step up in terms of growth , for example, Centrica started working in middle of May and given the size and scale of the contract that gives a big flip versus the base of last year. Same thing with another large customer in the US , the scale of the awards actually drove a significant up tick in revenue. So that is why you see that and that will continue for the other remaining two quarters as well and that is why the rest of the world is growing. It is just that the scale of the contracts that we won are very large.

Ravi Viswanathan : And Achal just to add, if you look at the growth, both of them were double -digit growth , both in India and rest of the world. Yes, rest of the world grew fast er an d precisely for the reason that Ravi Prakash said, which is really the size and scale of the deals. And what we are seeing is a very interesting trend that in the Western markets, the deal sizes are getting much bigger , so the opportunity for us to a) participate simply because we are now getting more and more engage d in these large deals and the couple of wins especially in the US and in the UK that Centric a that we mentioned have really brought us into that segment of large deal opportunity that we otherwise were no t going to be that frequently bid ding. So I think the opportunity window is very significant. We expect rest of the world business to really be pretty buoyant as we look through the glass right now.

Sumit Kishore : Nothing to complain on 17% growth in I SCS, but I think for the full year, we were sort of aiming for about 22% growth and there in India was 20% plus and from your explanation, it seems that we should be seeing a stronger H2 ?

Ravi Prakash : Yes, in fact what I would probably expect is Q4, if I look at the deal timeline Sumit, I would expect Q4 to be probably the strongest quarter . Two reasons , one is we know certain deals are actually picking up in that quarter and we als

o know that seasonally India typically has their best
quarter in Q4.

Sumit Kishore : And in GFS finally, could you break up sort of the price decline and the volume growth that we have seen in Q2 and all your expectations here on?

Ravi Prakash : So Sumit, broadly the way GFS has played out is versus the peak prices are down about 50%. I wouldn't go more too much on quarter -on-quarter because that kind of fluctuates a little bit here, but broadly that is what has happened. We had indicated last time that we think that we had pretty much come to probably the bottom of the cycle. I am cautiously optimistic that going forward, we are probably going to operate at the price levels that we have seen in Q2 of this year. What is encouraging is quarter -on-quarter , volume has grown in GFS, I think it has grown quarter -on-quarter about 2% o r 3% in ocean freight. We have given that in the analyst presentation. We have actually pulled that out.

Ravi Viswanathan : And just want to add there that when we benchmark ourselves with the global large peers, I would say that we compare pretty well. So one of the things that we are keeping a very close eye on is both from a lane perspective and from an overall global trend where the GFS businesses, because there are significant headwinds and I am sure that all of you follow the global freight market and I would say that we are pretty much in line with what we are seeing amongst our global peers, maybe even a slightly bette r in terms of where we are compared to where we were last year from a comparative perspective with our global peers.

Ravi Prakash : Sumit, just to kind of close out, the segment itself saw sequential growth in volume, IFM plus GFS about 4.6% and the price is decline d.

Moderator : Thank you. Our next question is from the line of Achal Loh ade from JM Financial. Go ahead, sir.
Achal Lohade : Sir, the first question I had was with respect to TV S ILP, you diluted about 5%, a ny further reduction likely or expectations over the next few quarters or few years ?
Ravi Viswanathan : Achal , nothing envisaged as we speak right now , so nothing that we have planned.
Achal Lohade : Sir, second question I had was with respect to Circle Express , given it was a p ain-point , now what kind of margin impact assuming it remains the same , positive impact it could have on the margins and how do you see in network solution margins evolving? You have already indicated that we will probably look at touching historical margins, but if you could give a number that would be helpful ?
Ravi Prakash : Achal, if I take Q1 of this year, the reported Network Solutions margin was 3.7% and when we restated it for Circle Express that came to 4.6, that was actual s for Q1, right and versus that 4.6 , we moved to 4.9 in Q2 primarily on the back of IF M margin s. So the Circle Express sale has helped in two things Achal, one is you can see the scale of the margin drag that it had on the network segment business that is indicated by the Q1 numbers. It is broadly around that number. The second thing is , I think a huge amount of management bandwidth has been released because this business wasn't really in the core elements of the service offering that I FM had , so that should also help and we are on track with our plans . We had indicated that from H2 you should start seeing a turnaround in the I FM business and we kind of stay with that guidance. We should start seeing improvement sequentially every quarter in the network segment business.

Achal Lohade : And over next, let us say , couple of years, how do you see margins evolving , will we get into high single digit or will be probably mid-single digit in around?
Ravi Prakash : No, in fact, if I take two years out, righ t, our indic

ation was always that the network segment would probably deliver , the supply chain segment , we said the target would probably be double digit and we have hit it probably 18 months e arlier than what we had always expected a nd we said that the network segment would always be about , maybe 100 to 150 below the supply chain segment and it would be our expectation to still target those kind of margins. I am talking medium term here, Achal.
Achal Lohade : Are there any more such possibilities of the p ain-points getting removed like Circle Express? Are there any more opportunities available to us?
Ravi Prakash : Look honestly right of the bat , I cannot think of any other , how should I say entities or businesses that we may look at but let me put it this way. We are very conscious about the portfolio of a business and we would like every part of the portfolio to cont ribute a nd whether it is a contract or whether it is a business or a series of contracts, we are being very how should I say , rigorous with our evaluation of the profitability and taking actions . And if I go back to how we are able to bring down operating cost almost in line with revenue , Rs. 400 crores of revenue has come down , operating cost has come down by Rs. 400 crores and actually employee cost has gone up. So all that has come in variable expenses that has been made possible because we have been very, how should I say , focused on making sure that each individual engagement actually delivers to what it is supposed to.
Achal Lohade : Sir, just one clarification with respect to the supply chain business, in terms of the growth, clearly the deal pipeline is strong, but is it fair to say we could look at mid-teens to high teens kind of a growth to continue o ver medium term for the I SCS business ?
Ravi Viswanathan : Look, I think both the quality and the value of our pipeline is probably at its best as we speak. So I think that is something which we will continually evolve and we wi ll share those trends to you on a quarterly basis. There is no reason for us to think that this trend will not continue. So when I look at it and these are like I've explained Achal, the integrated supply chain solutions, it takes longer selling cycle time, but they are also longer deals , so there is stickiness to these contracts. So there is a good reason for us to believe that in the medium term , a double -digit growth is very much possible.
Achal Lohade : One clarification on the US customer, where does it stand as that issue being resolved or it is ongoing and what kind of impact could we see for third quarter ?
Ravi Viswanathan : So let me just say that you probably read about the fact that the issue has been resolved and all of the factories are back to normal operations from 1st of November. What impact , Ravi Prakash, maybe you can throw some l ight.

Ravi Prakash : Achal , we will have to see how the numbers come out because in Q3 probably, there is about 4 weeks when we didn't have operations in this place , a little bit early to call out the exact number impact. Let us see how the numbers play out because we will have to see how the rest of the portfolio also does on supply chain .

Moderator : Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

Ravi Viswanathan : Thank you so much for joining the call. The company remains focused on profitable growth and let me conclude this call with that positive note. Thank you.

Moderator : Thank you. On behalf of TV S Supply Chain Solutions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

February 9, 2024

BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051
NSE Symbol: TVSSCS

Dear Sir/Madam,
Sub: Transcript of earnings call with analysts/ investors

Pursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Solutions Limited ("Company") , analyst call held on February 6, 202 4, to discuss the financial results for the quarter ended December 3 1, 2023 .

The transcript is also uploaded in the Company's website https://www.tvsscs.com/investor -relations/

Kindly take the above information on record.

Thanking You,
Yours faithfully,

For TVS SUPPLY CHAIN SOLUTIONS LIMITED

P D KRISHNA PRASAD
Company Secretary

Enclosure: As above

TVS Supply Chain Solutions Limited
Q3 FY24 Earnings Conference Call
February 06, 202 4

MANAGEMENT : MR. RAVI VISWANATHAN – MANAGING DIRECTOR – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. RAVI PRAKASH – GLOBAL CFO – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. NARAYANAN – HEAD, INVESTOR RELATIONS – TVS SUPPLY CHAIN SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good evening and welcome to the TVS Supply Chain Solutions Limited Q3 FY24 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Narayanan, Head Investor Relations at TVS Supply Chain Solutions. Thank you and over to you, sir.
Narayanan: Thank you, Michelle. Good evening everyone and welcome to the TVS Supply Chain Solutions earnings call for Q3 FY24 and the nine months ended 31st December 2023. We have with us today Mr. Ravi Viswanathan, Managing Director and Mr. Ravi Prakash, Global CFO. Our financial results and investor presentation have been posted on the company's website and the stock exchanges. We will commence the call with opening remarks from our management team followed by an open forum for Q&A.
Before we begin, I'd like to point out that some of the statements made during today's call may be forward -looking in nature and must be reviewed in conjunction with the risks that the company faces. A disclaimer that the effect has been included in the earnings presentation that has been shared. I will now hand it over to Mr. Ravi Viswanathan, Managing Director, to make the opening remarks. Over to you, Ravi.
Ravi Viswanathan: Thank you, Narayan an and good evening to all of you. I would like to welcome you once again to our earnings call to discuss our Q3 and nine months FY24 performance. I will share with you the highlights of our performance and my colleague, Ravi Prakash, the CFO of the company will then take you through the analysis of our numbers. We look forward to interacting with you as part of the Q&A.
I thought before I begin, I will provide a brief background of our company for the benefit of those participants who might be joining our analyst calls for the first time. T VS Supply Chain Solutions is an end -to-end supply chain solution provider with capabilities across the value chain. We operate our business in two segments. We call it the Integrated Supply Chain Solutions or ISC S segment and Network Solutions or NS segment. Technology is a key element of the value we bring to our customers and we deploy an asset -like business model across both segments.
Our presence spans four continents, Asia, Europe, North America, and Oceania. We have a customer base and in -house supply chain expertise that cuts across multiple sectors. Our customer relationships are highlighted by long -term customer association with o ur top customers.
To summarize, T VS Supply Chain Solutions is an Indian multinational with a set of capabilities compared with the largest players in the sector. The management focus is on profitable growth and leveraging our capabilities and supply chain expertise. We are working towards our growth vision to be among the top 50 logistics companies worldwide.

With that short introduction, I shall now move to the performance highlights for Q3 and nine - month s FY24. We had another strong quarter where continued growth momentum and margin expansion in the Integrated Supply Chain Solutions drove the company's return to profitability. The ISC S segment delivered double -digit growth consistent with its performance in the earlier quarters.
Q3 revenues grew 14.7% year -on-year and on a nine -month basis, the segment grew 16.1%. It is important to point out that this strong growth was despite the United Auto Workers strike which impacted our ISC S segment in North America for the month of October

. On a year -on-
year basis, the ISC S segment revenues grew across all our key geographies, India, Europe, and North America. Both expansion and current customer engagements and new business wins drove growth of segmental revenue in the ISC S segment.
Another key highlight of quarterly performance was the margin expansion in the ISC S segment. ISCS's margins for the quarter were 10.5%, a 50 basis point improvement year -on-year. On a nine-month basis, the ISC S segments were 10.4% which was 160 basis points higher compa red to the nine months in FY23.
Within the Network Solution segment or the NS segment, the integrated final mile or IFM business revenues were steady on a year -on-year basis. There were some churn of customers which were offset by growth in other engagements and new wins.
The global forwarding solutions or GFS business revenues reflected the global trend of slowdown in freight. Ocean freight rates for the quarter were within a narrow band and freight volumes reflected the industry's trend and were weak across trade lanes. As you might know, the situation in the Red Sea is something that is being watched carefully. Attacks on flee t in the Red Sea forced changes in the shipping route with liners choosing to travel around Africa to reach the Mediterranean or the Atlantic instead of through the Red Sea and the Suez Canal. This has resulted in increase in sailing time between Asia and Europe by 15 to 20 days. The

delay impacted about 5% of our monthly volumes in December. Apart from the delay, this has also resulted in longer turnaround times resulting in shortage of contain er capacity. Vessel owners are now levying surcharges for the longer sailing. This is one of the factors behind the spike in flight indices since end December. For freight forwarders like us, this surcharge is mostly a direct pass through to the customer without gain i n absolute margins.
You'd appreciate that it is difficult to plan for such externalities. Having said that, we continue to monitor the situation carefully to make best use of tactical pricing opportunities in this volatile market. On a year -on-year basis, our NS segment reven ues were 24.9% lower. Our margins for the NS segment were consistent on a qu arter-on-quarter basis at 4.4%.
In the integrated final mile or IFM, we continue to implement pricing revisions and operational efficiency initiatives aimed at margin improvement. In GFS, our focus has been on procurement efficiency and operational efficiency, and that has helped soften the impact of low rates. Additionally, we have also taken specific cost reduction measures.

On a consolidated basis, revenue for the quarter was 1.8% lower sequentially and 6.4% down year-on-year. Adjusted EBITDA margins for Q2 were 7.8%, a 70 bps improvement year -on-year. On a nine -month basis, our revenues were lower by 11.7% year -on-year. However, our adjusted EBITDA margins were higher by 120 basis points, which drove a 4.1% growth in adjusted EBITDA despite a double -digit revenue decline. So with this background, I will hand it over to Ravi Prakash, our global CFO, who can walk you through t he detailed analysis of the said numbers.
Ravi Prakash: Thank you, Ravi. Good evening, everyone, and thank you for joining our earnings call. Let me take you through the highlights of the financial performance for Q3 and the nine months ended December 31st, 2023. Let me start by giving you a brief about the st rategic interventions that we have been taking.
If you recollect, in the last quarter's analyst call, we had explained the discontinuation and sale of one of our subsidiaries to drive better focus on our core business, which was the Circle Express business. As part of that same journey towards simplifyi ng our business and corporate structure, our Board approved a draft scheme of amalgamation, which provid

es for the merger
of entities with and into TVS Supply Chain solutions. These are mostly wholly -owned subsidiaries in India.
We have provided an overview of this on page four of the investor presentation. The detail is also available in our disclosures file d with Stock Exchange. Our expectation is the merger of these subsidiaries should create synergies in operations as well as drive business development.
Another important step we took during the quarter was on repayment of borrowings. We have used the IPO proceeds and funds from other sources to repay all our long -term loans. We had indicated this in our earlier earnings call, but now we can report that we have completely paid our long -term borrowings and the company now only has working capital debt on its balance sheet.
Ravi Vishwanathan gave you an overview of the business in the quarter and in specific, the challenging revenue segment situation we are facing in one of our segments. I would, however, like to highlight how the Company has been able to leverage very strong procurement, operating efficiencies, and discipline to deliver a positive PBT of INR 0.6 crores for the quarter and a profit after tax of INR 10 crores. As we had indicated earlier, we had expected a quarter -on-quarter improvement, Q2 better than Q1 and Q3 better than Q2, and that is what we have been able to deliver.
Talking about the core operational performance, we have been able to grow adjusted EBITDA margin 70 basis points year -on-year for the quarter. Adjusted EBITDA, as you might be aware, is EBITDA which has been adjusted for employee stock option costs and any loss in foreign exchange translations which are not operational in nature.
So, continuing from adjusted EBITDA, if you were to compute the EBIT or the operating income, again adjusting for ESOP costs and loss in forex , you will notice that even the EBIT margins have held reasonably steady despite the difficult revenue environment.

We have in the past spoken about a focus on operational efficiencies. This quarter's performance reiterates this resilience and our ability to maintain our core operational profitability. In addition, we were able to gain the full benefit of the interest c ost reduction from repayment of borrowings in this quarter. I would like to again, once again, bring to your attention that we have repaid all our term loans.

Let me move on to an analysis of key line items. Revenue from the operations for the quarter was INR2,221.8 crores compared to INR 2,262.9 in the previous quarter and INR 2,373.4 in Q3 FY23. Business development revenues contributed INR 227 crores in Q3, which is approximately 10% of the reported revenue. And that trend has been consistent for the last few quarters.

Revenue from operations for nine months was INR 6,773.87 crores compared to INR 7,672.8 crores last year. I would like to point out that in nine months, the GFS revenue has dropped by almost INR 1,500 crores, but a significant portion of that has been made up through the growth in the supply chain segment, pointing to the resilience within the company's portfolio. Other income for the quarter was INR 21.6 crores compared to INR 8.3 crores in Q2 and INR 27.7 crores last year. And for nine months, it was INR 48.1 crores.

A brief explanation of how a few major line items have evolved. Freight clearing and forwarding expenses have reduced, driven by a decline in freight rates and procurement efficiencies. You will notice that the decline in freight and other handling expense s is greater than the revenue decline, pointing to the improvement in variable margin. They were down 34% and 44.5% year - on-year for the quarter and 9 months.

Employee benefit expenses for the quarter was INR 552.3 crores versus INR 501.4 crores in the prior year and INR 572.8 in the previous quarter. The key reason

for the reduction in employee expenses in this quarter is the United Auto Workers strike in North America, which resulted in a reduction in the variable labour that we had deployed in some of our assignments.

The year -on-year increase is driven by additional assignments that we have got in the UK, which is absorbed within the gross margin of the ISCS segment. We have provided the segmental results for the ISCS and NS segments on page 21 of the investor presenta tion. Consolidated adjusted EBITDA for Q3 was INR 173.6 crores, about 7.8% staying consistent with what it was last quarter and about 120 basis points better than what it was a year ago.

As I mentioned earlier, we have derived benefit from the reduction in interest costs as a result of the repayment of borrowings. The sum of all this, the combination of strong ISCS growth, strong EBITDA and the reduction in interest meant that we have been able to achieve a break - even profit of INR 0.6 crores compared to a loss of INR 4.5 crores in the last quarter.

In the tax line, you will notice a credit in this quarter. That is because of the reversal of a deferred tax liability which was created in the previous periods in our overseas subsidiaries and as a result, we have a INR 10 crores profit after tax for the quarter.

This concludes the summary on financial and now I will hand it back to Ravi Viswanathan.

Ravi Viswanathan: Thank you, Ravi Prakash. So, the key highlight of the performance is the fact that we have been able to navigate a difficult external situation while ensuring robust core operational performance. The quarter also showcases the inherent strength of our bus iness portfolio. We have been able to both grow revenues and margins in the ISCS segment business consistently to help drive consol margins year -on-year.

And if you just reflect on what Ravi Prakash said that the network solution segment, the nine - month revenue decline was close to INR 1,500 crores but at the same time, the adjusted EBITDA for nine months was actually higher by almost INR 20 crores over the same nine -month period from last year. So, it reflects a lot about the company's ability to focus on our core operations.

Our business development efforts continue to deliver results. You will see in the earnings presentation that for the quarter, INR 227 crores of revenue came from new business. During the quarter, we had new contract wins in both segments. We further expanded our engagement with the US -based agri -equipment manufacturer with increase in scope of work. Some of the new contracts we have won includes contract to manage freight for a European truck OEM, a 3PL solution for a large CV / passenger car OEM, a tech support engagement with a global healthcare devices company amongst many others.

Our pipeline of new opportunities is strong and currently presents a revenue opportunity in excess of INR 4,000 crores. And our focus is really on, I think I mentioned it earlier, we have a global account management. We are working on targeting large partnership with customers spanning multiple geographies. So, the ability for us to bring all of our capabiliti es to bear and therefore be able to cross sell with large customers and also take some of our core offerings to multiple geographies in which the customer is present is something we have taken as a key initiative and we are seeing early results of that.

In summary, external challenges in the freight business aside, we see positive demand drivers across our geographies. We are confident on building on our strengths to overcome external

challenges and grow our business profitably.
With that, I would like to open the floor for questions. Thank you.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Achal Lohade from JM Fi

nancial . Please go ahead.
Achal Lohade: Good afternoon, everyone. Thank you for the opportunity. The first question, with respect to top line. So, if you look at the Network Solution s piece, Q -o-Q, there is a drop. And part of that is as you said about the Red Sea disruption causing some volume shifting. Can you elaborate a little bit here?
And also, the second question I had with respect to seasonality. Is there any element of seasonality like 3Q to 4Q, one should see a increase? And also, if you could give some sense about the volume, increase or decrease on a Q -o-Q, Y -o-Y basis for networ k solution for the freight business specifically, please?

Ravi Viswanathan: Okay. Thank you, Achal. Let me just take the first part of the question and then Ravi Prakash can take the second part. If you look at our Network Solutions business, the Q -o-Q decline, I would say it is more a global trend on the forwarding business. The Red Sea actually is not disrupting the, it's taking more, I just said that it takes longer time for the, longer sailing time to the vessels. And as a result, some of the delivery which is supposed to happen in December are going to happen in January.
So, I would say that is a very small portion of the revenue decline, but I would say the larger volume decline is price -based, which I think all of you are well aware of. We are coming off, absolute COVID peak of $4,000, $5,000 per container to about a st eady state of about 2,200, 2,265 kind of numbers. So, that's probably the reason for the revenue decline more than a nything.
And on volumes, Ravi Prakash, do you want to add anything specifically also about the IFM seasonality?
Ravi Prakash: So, Achal, maybe let me supplement what Ravi Viswanathan has already said. See, the Red Sea impact in December was probably to about 5% of our volumes and therefore 5% of our revenues.
And that revenue should come through in January, but it'll give you a sense of what it was. 5% of the month of December's volume is what I'm talking about.
In terms of seasonality's, October, November, December, December is a bit of a soft month for the IFM business in the UK. And normally, if you compare Q2 versus Q3, it's not -- Q3 is normally softer, and Q4 is slightly better than Q3. Maybe I'm not putting an exact number on it, but in general, the trend would be that Q3, you would expect it to be a little bit softer.
In February, the one thing that you'll have to keep in mind is there is Chinese New Year. But in general, if you are talking about Q3 results, IFM softness, because of December, as well as the Red Sea, like I said, impact of 5%. That was what it is. Other than that, volumes, I think, have held steady or probably slightly lower in trading for some of our key customers. And we are looking to business development to make it up.
Achal Lohade: Understood. Because when I look at the freight rate, it's gone up 5% Q -o-Q, while we have seen a drop, roughly about similar 5% Q -o-Q in Network Solution s. That was the reason I thought I'll ask this question. The second question I had was with respect to the cost reduction measures sir if you could highlight what actions have we taken, the efficiencies, if you could quantify these pieces, please.
Ravi Prakash : Yes. So, Achal, I'll address the cost, but maybe if you don't mind, can I just make one more comment on the top line? Because it's important. It is not in the network, but in the supply chain segment, the impact of the UAW strike was about $2.6 million for the quarter. So that's something that please do keep in mind.
Now, coming back to the cost measures, we have taken significant steps, both in the freight forwarding business and the IFM business to start step changing our overhead structure. So, in Q3, those cost measures have already gone into place in multiple geog raphies in GFS, in

the
freight forwarding solutions.

And the P&L includes some of the restructuring costs that we have taken in Q3. They are expected to continue in Q4. And the cost measures in IFM, again, similar, we have taken steps on the overhead side, some in Q3, but a significant portion is going to happen in Q4 as well.

The objective of all this is, I think we always message that very soon we would like to get back
to the normalized margins in this segment. Right now, the margins are around 4.8, 4.9. And we
were always aiming to get to a 5.6% here. And these steps are tow ards getting there.
Achal Lohade: Got it. So, is it fair to say that, given the impact of these actions, in the near term, there will be
pressure on margins the way it is, and in a couple of quarters or three quarters, it should start
showing improvement. Is that a fair understanding, sir?
Ravi Prakash : Absolutely. So, Achal, Q3 had restructuring costs in it. Q4 will also have some restructuring
costs. I can't talk about the exact number, but it is likely to have. But the benefits should
definitely start showing up from Q1 of FY25.
Achal Lohade: Understood. Sir, another question I had with respect to restructuring the slide, what you have
added in PPT. Can you elaborate a little bit as to those five entities? How does it work in terms
of any impact in terms of operations / financials, this amalgamation?
Ravi Prak ash: So, if I talk about the five entities, four of them are wholly owned subsidiaries, Achal. Global
Freight Solutions India. So, TVS SCS Global Freight Solutions is the Indian subsidiary of SCS
India, which does the freight forwarding business. That will get amalgamated into the standalone
company. White Data Systems is a technology provider for both the Network Solutions and
ISCS solutions.
SPC International is a repair business, which is more in line with an IFM business. Flexol
Packaging is a packaging business. So, these four are wholly owned subsidiaries when they are
merged into SCS India. For investors, actually, SCS India then truly re presents, except for one
or two subsidiaries, the full breadth of our India business.
` Today, we are having to actually pro forma present the size of the Indian business. The numbers
will be very transparent. The two other benefits is when we bring the resources from all this into
SCS India, we expect a significant improvement in business development because now all
products, network solutions and ISCS, can be offered under one legal entity and one umbrella
to all our customers.
And there's obviously knowledge and leveraging of customer contacts. So, that's one big benefit.
Then, of course, there are the obvious benefits in terms of operational synergies in the support
functions as well as the compliance part. Last, of course, ca sh pooling as well, because you get
much better leverage in cash.
So, that is the reason that these four entities and we are actually indicated as such even during
our IPO journey that we will be looking to, over a period of time, simplify our corporate structure
and we have taken that step. Mahogany Logistics is actuall y a shareholder of TVS SCS.

It's a fully owned subsidiary of Mahogany, another entity which is also called Mahogany supply
chain, Mahogany Services, which is just being merged and simply there is no impact to P&L or
shareholders because it's just simply replacing the shares of Mahog any Logistics with SCS
shares which are being issued. Either in the quantum of the shares or the shareholding
percentage, there's no change.
Achal Lohade: Okay. Sir, just wanted to understand with respect to India business, sorry, not India business, for
the segment, for the supply chain and for the network solution, would you be able to give us the
PBT margin because som

etimes the leases also have a favoura ble impact on EBITDA or EBIT
level, but at PBT level it may be similar.
If you could, if you have it handy, can you help us understand what is the extent of margin
improvement at PBT level for both these segments?
Ravi Praka sh: Achal, normally we have not disclosed the PBT margins at India level. Maybe, let's see, maybe
in the future we can take a look at it.
Achal Lohade: Right. No, sir. Actually, I wanted at consol level, the Network Solution and the ISCS business,
what is the PBT margin improvement, especially for the supply chain business, supply chain
segment?
Ravi Prakash : So, Achal, actually the supply chain EBITDA margin improvement should actually flow through
to the PBT other than the benefit that we have got through borrowings. Whatever you see in the
EBITDA, more or less a lot of it should flow through to the bottom line.
Achal Lohade: Understood, sir. Okay, I think I will stop here. I will fall back in the queue, sir. Thank you so
much.
Moderator: Thank you. The next question is from the line of Jainam Shah from Equirus Securities Private
Limited. Please go ahead.
Jainam Shah: Hi, sir. Thanks for the opportunity. Sir, my question is related to the Red Sea issue. So, as you
highlighted in December, there has been some volume impact. I just wanted to understand how
we are expecting the impact on the volume for this particular quarter, and has there been any
major change in the realization for the same that we are witnessing as of now?

Ravi Viswanathan : Right. So, Jainam, the December volume shift is more because the delivery has happened in early January and not in December as we envisaged. We don't expect a volume shift to – because this was unplanned and we didn't quite anticipate it, and that's the r eason why we called it out. We don't expect a volume shift because of the Red Sea as yet. We don't see signs of that. But what we are seeing is that there is a markup in the pricing, and we are hoping to get the upside of that, especially on the European lanes.
Jainam Shah: Got it, sir. So, for this particular quarter, this could be the impact. And for the near term or at least medium term, how we are seeing this particular segment?

Ravi Viswanathan : It is – let me just say the freight business per se, we don't expect the pricing to significantly change other than the Red Sea related surge, which we would probably see in Q4. But otherwise, I think the pricing will be in a narrow band around 2 ,200 to 2 ,300. So, pricing will be hopefully very stable.
We are looking forward to an up tick in the volume, especially in some of our key customers. But that's something which is – we need to watch this space because volumes have been more or less flat to a slight decline over the last two, three quarters following global trade.
Jainam Shah: Got it, sir. Thank you so much, sir.
Management: Thank you, Jain am.
Moderator: Thank you. The next question is from the line of Sumit Kishore from Access Capital. Please go ahead.
Sumit Kishore: Thanks for the opportunity. I think this is a follow -up on an earlier question…
Moderator: Sir, your audio is not clear. May we request you to use your handset, please?
Sumit Kishore: Am I audible now?
Moderator: Yes, sir. Please proceed.
Sumit Kishore: Yes, sir. I'm on slide 23. I just want to clarify on the seasonality bit. So, when I look at the nine - month FY '23 adjusted EBITDA, it was about INR 345 crores and the full year was at INR 685 crores, which means that the fourth quarter last year was almost as big as nine -month FY '23. Is there something obvious that I'm missing here? Or that the fourth quarter, upcoming quarter would basically end up being a big decline on a year -on-year ba sis?
Ravi Prakash : Sumit, can you just repeat the question once again?
Sumit Kishore: Sorry, I'm o

n slide 23. I'm probably missing something here, but adjusted EBITDA in 9 -month FY23 was INR 345.8 crores and full year was INR 685 crores, which means that fourth quarter last year was something like INR 340 crores of EBITDA. So, is there some seasonality that I'm missing completely here, which happens in fourth quarter or at the current run rate, it appears that the fourth quarter would see a decline?
Ravi Prakash : I think, Sumit, thanks for pointing this out. See, the run rate is normally around INR 160 crores to INR 170 crores per quarter. So, let's just come back to you on the comparative number, because we don't expect any decline in the EBITDA in the fourth quarter. So, it's actually the comparative number. Let's just double check the way the EBITDA has been calcul ated.
Sumit Kishore: There's a big seasonality then, because the fourth quarter number last year, as because the 9 - month FY23 number, my understanding probably was not as clear on this point.
Moderator: Kishore sir, are you done with your questions?

Sumit Kishore: I was done with my question. Thank you.
Ravi Prakash : Before the call is over, we will clarify that number for you in a minute, Sumit.
Moderator: Okay, sir. Thank you so much. We'll take the next question from the line of Saumil Shah from Paras Investments. Please go ahead.
Saumil Shah: Hi, thanks for the opportunity. So, my question is on the debt side. After paying our long -term loans, now we have about INR 750 crores of working capital loans. So, on this, what would be our quarterly interest outgrowth? And are we also planning to reduce our short -term loans?
Ravi Prakash : So, we are right now running at an average interest rate of around maybe 7.5% on a weighted average basis globally. So, on an annual basis, we should probably be looking at about maybe INR 60 crores to INR 65 crores of interest on this debt. The working capital debt, I would expect it to move in a narrow band. Between quarters, depending on seasonal demands, it may go up or down a little bit, but I would expect it to move in a narrow band at this stage.
Saumil Shah: Okay. So, I mean, can, I mean, the interest outgo, I mean, how much can we calculate on a yearly basis? Would it be a INR100 crores plus number or a less number?

Ravi Prakash : No, in fact, it will be, if I take the Q3 number of interest, that's probably a good indication. It's definitely less than INR100 crores.
Saumil Shah: Okay. And so, we have been growing at a revenue figure of 20% for the last three, four years, but it seems this year is going to be a degrowth year or a flood year. So, any guidance for FY '25 or FY '26 on the revenue and EBITDA front?
Ravi Prakash : Look, we don't want to put an absolute number on it, but what we will say is the momentum in the supply chain business is something that , it continues, right? And we expect that once the Q4 numbers are out, you'll pretty much see the network segment where it is kind of settling down because over the last couple of quarters, you see that the run rate is settling down into a pretty much a stable number. So, then we can actually, the base of that, so that'll be a good base to calculate the next few quarters.
Ravi Viswanathan: We've been in a better position to comment on that by end of Q4.
Ravi Prakash: But one thing I do want to talk about is our focus on business development, which is adding about 10% of our revenue that does not change.
Saumil Shah: Sorry, could you please repeat again?
Management: The business development, which is adding about 10% to our revenue, that focus does not change.
Saumil Shah: Okay. Okay. And sir, in your presentation, you mentioned your growth vision of $2.5 billion company and $100 million profits. So, this is for which year? I mean, internal, I mean, you've set any targets?

Ravi Viswanathan : Yes, we've called out FY'27 as the target year for that.
Saumil Shah: Okay. Okay. That's it from my side. Thank you and all the best.
Ravi P rakash : All right. If I may just clarify to Sumit Kishore, the nine -month EBITDA, that number on the presentation, we will correct. Sumit, thanks for pointing it out. The number was 514.4 for nine - month FY'23. It's on page 20, Sumit. I think in that one chart, it was put down erroneously. The correct number is put down on page 20.
Moderator: Thank you, sir. The next question is from the line of Arif an individual investor. Please go ahead.
Arif: Sir, I want to ask about the depreciation we have currently. So, if I see the current deficit, we have around 2,300 kind of fixed assets. But where is the depreciation? Why is the depreciation at about INR 500 odd crores per year? How should we see this number? And is there any operating leverage sitting here? I mean, as we are a fixed asset -like business, how should I read this number?
Ravi Prakash : So, the depreciation number includes two parts. One is depreciation on property, plant, and equipment. That number is about, I think on an annual basis, I would expect it to be around INR 120 crores. And amortization of intangible assets would probably add another INR 30 or INR 40 crores. The balance depreciation is what I call right of use or IndAS depreciation. It is basically leases which are capitalized on the balance sheet. And that's why you see such a high depreciation number.
Arif: Okay. And as we grow our business to $2.5 billion, so this depreciation number would not be flowing, right? I mean, it will be a lot lesser than what we see today.
Ravi Prakash : So, what will happen is our capital expenditure, normally we budget between INR 100 to INR 110 crores annually on property, plant, equipment, and software. So, that would be our normal capex. In terms of the right of use assets, they would grow much slower than what our revenue grows. So, in fact, if I take the CAGR between 20 and 23, my recolle ction is the right of use assets depreciation grew at between a 4% to 5%, whereas our revenue grew upwards of double digit. So, in general, you will see leverage from the existing depreciation.
Arif: Thank you. So, my second question is, so we have a target of $100 million in FY'27, right? So, to achieve that, what is our EBITDA margin we should be looking at?
Ravi Prakash : We should look at about double digit, 9.5% to 10% is the number that we are targeting at a console level, where we are today at about 7.8%.
Arif: Okay. So, thank you very much.
Moderator: Thank you. The next question is from the line of Amit Kumar from Determine Investments. Please go ahead.
Amit Kumar: Yes, thank you so much, sir. Just one question, and I'm just sort of looking at the company for the very first time. So, I'm just wanting to understand this. There is a very large material related

cost, in your expense, in your direct cost line. Sort of slightly, I just wanted to understand, I have not seen this, in the services related logistic business. Would you clarify what this is?

Ravi Prakash : Yes, I can do that. So, if you look at the, I mean, if you look at the capabilities that we have, one of the capabilities we have is sourcing and procurement. So, for a few large customers in the UK and US, we actually do the purchasing and have the invent ory on our balance sheet before we sell it to the customers. So, it is not done in isolation. It is done along with other services that we provide.

So, for example, we may be providing warehousing, subassembly, transportation, etcetera. Along with it, we may also be providing what you call, we may, our buyers may be sourcing, and we may be stocking that material. And that is the material cost that you

see. And there are a few large customers we do this business for in the UK and the US.

Amit Kumar: And just, the two principal business lines do you have? I mean, which business line would be, which business, under which business would, this, sort of trading, happen?

Ravi Prakash : ISCS.

Amit Kumar: ISCS. Okay. And, specifically, if you can just sort of quantify, what sort of gross margins, do you do in this particular line? I mean, is it sort of possible to sort of breakdown the revenues that you are generating from this particular, it seems like a t rading business to me. Would it be possible to sort of break, give some sort of understanding of, how do we sort of look at this, in terms of margin perspective, either at the gross or at the EBITDA level?

Ravi Prakash : So, I want to clarify, this is not a trading business. This sourcing and procurement of materials is always done in conjunction with other services that we offer. So, for example, for a large beverage company in the UK, what we do is, we will -- they give us a forecast, we actually do the inventory planning, we purchase the spare parts, keep it in our warehouse, deploy them to their engineers. So, the contract is the combination of all these services.

Similarly, for a large customer in the US, we actually take a set of families of parts, we place the orders, we bring the material into our warehouse, we store the material, we sub -assemble the material and supply the sub -assemblies to the customer. So, yo u will not have a situation where we are simply buying material and just selling like a pure trading company.

That is not what we do. And that is the reason why I will not be able to call out a specific revenue on this material, because the contract will be a consolidated contract for all these services that we offer and the material cost is one element of it.

Amit Kumar: Okay. Understood. That's it from my end. Thank you.

Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Thank you so much for the follow -up opportunity, sir. Just a clarification with respect to the other income, INR21.6 crores in 3Q, how do we read that? Is there any one -off out there?

Ravi Prakash : So, Achal, actually, it is a combination of a couple of things. In the other income, we have an exchange gain of about INR 12 crores, right? Just give me a minute. I'm just giving you the breakup. Yes. There is interest income in there from bank deposits. In fact, if I take interest income from bank deposits and refund, that is probably about INR6 crores or INR7 crores and the balance is exchange gains.

Achal Lohade: Understood. And the second clarification is with respect to the resolution of INR250 crores in terms of investments. Can you just clarify on that? The Board has approved some resolution.

Ravi Prakash : Yes. Achal, thanks for actually asking this because this is an important one. In general, SCS, the way it has managed its investments is we leverage our cash flow across the world to deploy to the most profitable opportunities. Today, the reason that the B oard has approved this investment is for two reasons.

One, if there are any large deals coming through the pipeline anywhere in the world and if the subsidiaries there need support in terms of initial investment, the Board would look at this as an enabling provision to have management to deploy funds quickly. Many of the large customers we are working with have started asking us if we are willing to make capital commitments for large deals between 5 to 10 years.

For example, the Centrica deal that we had last year, there was a point when the customer was willing -- asking us to consider capital investments, but in the end, they did it themselves. So to either do capital or even to start up a large project, if ther e

is funding required, the Board wanted management to have the flexibility to be able to deploy funds.

Now, why from India overseas? Because if you look at the marginal cost of cash right now, India has now come very close to the rest of the world. So it's just a matter of having an enabling resolution in place for us, if needed deployed. That doesn't mean that we are immediately doing the INR250 crores.

We expect that this should be helpful to us in the next 18 to 24 months. It's just that the Board has actually kind of given management the discretion.

Achal Lohade: Understood, sir. Thank you for the clarification. Just a related question with respect to the new business momentum. Now, we are clearly doing very well on that front, anywhere between 7% to 10% contribution, but I just wanted to check in terms of the mome ntum.

Are you seeing it's accelerating from what it was, say, two quarters back, or things are as they were and we're looking at kind of 10% contribution from the new business every year? Could it go to 20%, 25%? Are you seeing that kind of deal pipeline? That w as the question I had in mind, sir.

Ravi Viswanathan: So, Achal, let me take that question. So, our business modelling is around that 10% and it is more or less in that 10% range. But one of the things that Ravi Prakash just spoke to you about, the INR 250 crores enabling resolution, is really because we are seeing a lot of good opportunities in the pipeline.

What Centrica has done is to get us a seat in the table for larger deals. So, if we had one or two deals of that size in the past, we probably have four or five in the pipeline currently. And therefore, there is every reason for us to believe that the perc entage will go up over the next, I would say, 18 months.

And as you know, especially in the ISCS segment, the deal takes a little bit longer to cook than in the network solution segment. So, we are seeing a significant improvement in the health of the pipeline in terms of large deals. And that's one of the reaso ns why that enabling resolution helps.

And to answer your specific question, can I expect it to be 20%, 25%? I would say we would like to get to a number which is mid -double digit, mid -teens to start with. But that's really a possibility given where the pipeline is today.

Achal Lohade: Excellent. That's very heartening to hear, sir. Just one clarification. With respect to Centrica, has it started contributing to the numbers now, or it will start from FY'25 onwards?

Ravi Prakash : It has already started. In fact, from May onwards, it has started, Achal. The full run rate will be expected to be Q4 of FY'24, current Q4, as we speak.

Achal Lohade: Got it. This is very helpful, sir. Thank you and wish you all the best.

Ravi Prakash : Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Ravi Viswanathan: Thank you. And I would like to thank all participants for being part of this discussion on business performance and outlook. These are early days in our journey as a listed company. We have a clear vision in terms of where we want to be as a global logisti cs company.

We will continue to walk along the path of growth with focus on margins and profitability.

Thank you all once again. It is a pleasure interacting with you. Looking forward to speaking with all of you soon.

Moderator: Thank you, members of the management. On behalf of TVS Supply Chain Solutions Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2024

June 03, 2024
To
BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051
NSE Symbol: TVSSCS

Dear Sir/Madam,
Sub: Transcript of earnings call with analysts/ investors

Pursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Solutions Limited ("Company"), analyst call held on May 28, 2024, to discuss the financial results for the quarter and year ended March 31, 2024.

The transcript is also uploaded in the Company's website https://www.tvsscs.com/investor-relations/

Kindly take the above information on records.

Thanking You,
Yours faithfully,

For TVS SUPPLY CHAIN SOLUTIONS LIMITED

P D Krishna Prasad
Company Secretary

Encl: As above
Page 1 of 16

"TVS Supply Chain Solutions Limited
Q4 & FY '24 Earnings Conference Call"
May 28, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 28, 2024 will prevail.

MANAGEMENT : MR. RAVI VISWANATHAN – MANAGING DIRECTOR –
TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. RAVI PRAKASH – GLOBAL CHIEF FINANCIAL
OFFICER – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. J.SIVAKUMAR – HEAD, INVESTOR RELATIONS –
TVS SUPPLY CHAIN SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the TVS Supply Chain Solutions Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participants' line will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. J Sivakumar, Head Investor Relations at TVS Supply Chain Solutions. Thank you and over to you, sir.
J Sivakumar: Thank you, Moderator, and good afternoon to all. We welcome you to the TVS Supply Chain Earnings Call Q4 and FY '24 full year, ended 31st March 2024. We have with us today, Mr. Ravi Viswanathan, Managing Director of the company and Mr. Ravi Prakash, Global CFO. Our financial results and investment presentation have been posted in the Stock Exchange website and also in the company website.
We now commence the call with opening remarks from our management team followed by an open forum for question-and-answer. Before we begin, I would like to point out that some of the statements made or will be made during today's call may be forward-looking in nature and must be reviewed in conjunction with the risks that the company faces. A disclaimer to this effect has been included already in the earnings presentation that has been shared.
Now I hand it over to Mr. Ravi Viswanathan, Managing Director of the company, to make the opening remarks. Over to you sir.
Ravi Viswanathan: Thank you, J S, and good evening to all of you. I welcome you once again. We would like to discuss our Q4 and our full year FY '24 performance. I will share with you the highlights of our performance and my colleague Ravi Prakash, the Global CFO, will then take you through the analysis of our numbers. We look forward to interacting with you as part of the Q&A.
Before I begin, I think I will provide a brief background of our company for the benefit of those participants who might be joining our analyst call for the first time. TVS Supply Chain Solutions is a tech-led and asset-light supply chain solutions provider with capabilities across the value chain. We operate in two segments, the Integrated Supply Chain Solutions segment, which is called ISCS, and the Network Solutions, or the NS, segment.
Our presence spans four continents, Asia, Europe, North America, and Oceania, with a diversified customer base spread across multiple sectors. Our customer contracts are fairly long-term in nature, with an average relationship span of 12 years for the ISCS segment and 11 years for the NS segment, reflecting the mutual trust and collaborative nature of the relationship. To summarize, TVS Supply Chain Solutions is an Indian multinational with strong local and global presence in a competitive space with the best in class in the industry.
The management focus is on capability-driven customer growth with profitability. We pride ourselves on the fact that we have over 78 of the Fortune 500 companies as our customers, which has increased significantly from 61 just two years ago. The steady growth of marquee customers positions us favourably in our stated goal to be among the top 50 logistics companies worldwide.

With this short introduction, I shall now move the performance highlights for Q4 and year-ended 31st March 2024. We had a strong quarter and a strong year in the Integrated Supply Chain Solutions segment, with good growth both on revenue and margins. The ISCS segment delivered sequential growth of 8.4% and on a full-year basis it grew by 14.4%. ISCS segment revenues growth were broad-based across all our key geographies, namely India, Europe, and North America, through e

xpansion of current customer engagements and new business wins. And this momentum will continue in FY '25.
The ISCS segment margins for the quarter were 9.6%, which was a 40-bps improvement year-on-year. And on a full-year basis, ISCS segment margins were 10.2%, which was 130 bps higher compared to the year-ended March 2023. The Network Solutions segment of the NS segment, within that the Integrated Final Mile revenues saw steady revenue growth on a quarter-on-quarter basis. The segment, however, faced margin pressure due to extraordinary inflation levels, mainly in the UK and Europe, which it started easing now.
The Global Forwarding Solutions or the GFS business, which is the second segment within the NS, saw revenues for Q4 increase, reflecting the uptake in demand after the slowdown in freight observed in the last few quarters.
Ocean freight rates for the quarter were nearly at the bottom end of the curve, with year-term rate outlook being positive. On a full-year basis, freight volumes, however, reflected the global

industry trend and were weak across all our trade lanes. On a year-on-year basis, our NS segment revenues were 26.9% lower. Our margins for the NS segment were consistent on a quarter-on-quarter basis at 4.5%.

In IFM, we are currently implementing pricing revisions with our customers and executing operational efficiency initiatives aimed at margin improvement. In GFS, our focus has been on procurement efficiency and operational efficiency, which has helped soften the impact of low rates. Additionally, we have also taken specific cost reduction measures across both these sub-segments.

Between both the ISCS and NS segments, business development contributed 9% of the quarterly revenue and has been consistent with previous quarter growth. On a consolidated basis, revenues for the quarter were 9.2% higher sequentially and 4.5% on a year-on-year basis, with adjusted EBITDA margins for Q4 at 7.2%. On a full-year basis, our consolidated revenues were down by INR794 crores, a reflection of the rate decline in the global trade. We grew our EBITDA, however, by INR25 crores in spite of this significant reduction in the revenues. On a full-year basis, revenues were down by 7.9% year-on-year, while adjusted EBITDA improved by 80 bps.

So, with this background, I will hand it over to Ravi Prakash, our Global CFO, who will take you through a detailed analysis of the numbers.

Ravi Prakash: Thank you, Ravi. Good afternoon, everybody, and thank you for joining our earnings call. I will take you through the highlights of our financial performance for Q4 and the year-ended 31st March 2024. Q4 FY '24 marks an important step on our journey to establishing a consistent growth and margin trajectory.

We have reported revenue growth on a consolidated basis after a couple of quarters, and that is on the back of the ISCS segment, continuing to remain strong. The power of a strong portfolio is coming through very well, and most importantly, we have delivered positive profit before tax. The company has demonstrated a consistent turnaround in profit quarter after quarter sequentially.

I would just like to remind the participants that Q1 PBT was a loss of actually minus 10.7, Q2 was minus 4.5, Q3 we broke even and Q4 we are a positive of INR5 crores. In FY'25, we expect to further build on this momentum and deliver improving results quarter-on-quarter.

Along with the release of our annual results, we have provided additional geography and segment-wise financial information. This is something we hope to do on a periodic and definitely on an annual basis. We hope that this detail will provide appropriate context to our performance. As you review this material, a couple of specific callouts from our side.

All parts of our ISCS business have been growing at a 17% to 18% CAGR over the past three years. As we grew, we have diversi

fied our customer base while adding more Fortune 500
clients. And in terms of revenue drivers, as we have mentioned in the past, in our case it is our ability to penetrate more customers, increasing wallet share that matters and not strictly the GDP of the countries that we operate in. We expect to periodically update these and revisit the disclosures for any further information.

With that, let me walk you through an analysis of the key line items in the financials. Q4 FY'24, revenue stood at INR2,426.3 crores compared to INR2,221.8 crores in the previous quarter and INR2,321.6 crores in Q4 FY'23, resulting in a year-on-year growth of 4.5% and a quarter-on-quarter growth of 9%. Revenues from business development maintained their momentum with INR218 crores being clocked in Q4. f

For full year '24, revenue from operations was INR9,200 crores compared to INR9994.4 (Rectified with correct data) crores last year. Despite an approximately INR1,600 crores decline in the GFS business on account of pricing, annual business development revenues of INR881 crores and momentum in the ISCS segment has enabled us to deliver INR9,200 crores revenue.

Other income for the quarter was INR6.8 crores compared to INR21.6 crores in Q3 and INR10.9 crores in Q4 last year. Other income comprises mostly of interest income from bank deposits and other deposits and a little bit of exchange rate. With this, the total income for the quarter was INR2,433.1 crores, which was a growth of 8.5% sequentially and 4.3% year-on-year. For the full year, it was INR9,245.8 crores, down 8.1% year-on-year.

A brief explanation of how our major expense line items have evolved. Freight, clearing, forwarding, and handling expenses reduced significantly, driven by the decline in freight rates and improved procurement efficiencies. This expense line item for the quarter was INR637.9 crores, a reduction of 7.5% year-on-year and INR2,327.8 crores for the full year, down 37.6% year-on-year.

As you can notice, the number has reduced more than the revenue and that is because of the procurement efficiencies and the operational discipline, which are reflected in the variable margin, which has improved by almost 300 basis points, both for Q4 and full year. And that has been called out in the earnings presentation.

The other major line I'd like to talk about is employee benefit expenses. For the quarter, it was INR568.3 crores versus INR491 crores in the prior year and INR552.3 crores in the previous quarter. On a full year basis, it was INR2,243.2 crores versus INR2,010.6 crores last year. As we have mentioned in our past calls, the year-on-year increase in employee benefit is on account of ramp-up in customer engagement in the ISCS segment, requiring manpower deployment. And the quarter-on-quarter increase was because North America operations reverted to normal after the UAW strike in Q3. Most of these cost increases are absorbed in the gross margins of the respective business segments. We have provided the segmented results for ISCS and NS segments on pages 21 to 26 of the investor presentation.

Consolidated adjusted EBITDA for Q4 was INR174.5 crores compared to INR173.6 crores in the previous quarter growth and INR170.8 crores in Q4 last year. Adjusted EBITDA for the full year was INR710.2 crores compared to INR685.1 crores previous year. Once again, I'd like to call out that despite INR794 crores decline in revenue, we have managed to grow EBITDA from INR685 crores to INR710 crores.

Lastly, an important step which we have been talking about through the year was completing the debt reduction exercise. We have completely used the IPO proceeds as well as funds from internal sources to repay all our long-term debts and a substantial portion of our working capital borrowings.

As a result, our interest expense, which was running at about INR41 crores per quarter in

Q1 has
now come down to INR16.6 crores and that is the range in which we expect to see in the next few quarters. Finally, we achieved a profit before tax of INR5 crores compared to a breakeven profit of INR0.6 crores last time and I'd say demonstrating the turnaround. This concludes the summary of the financials.

I will now hand it over back to Mr. Ravi Viswanathan.

Ravi Viswanathan: Thank you for the analysis, Ravi Prakash. Our business development continues to contribute 10% of incremental revenue across both the ISCS and NS segments and for quarter 4, the business development contribution was INR218 crores. For details, please refer our investor presentation Page 7.

We had significant new customer wins in both the segments. In the ISCS segment, we won in India a diversified equipment manufacturing company and a commercial vehicle OEM and an engine or a generator manufacturer in India. We won new deals with a defence contract in UK and a water utilities company in the UK.

On the Network side, we won a tech or a solutions integrator. We won a large engagement with a tech solutions integrator in the UK, a communication equipment manufacturer in the UK, an auto component or a battery manufacturer in India, an engineering and product manufacturer in the U.S. and a clothing and a paddle manufacturer in APAC.

Our pipeline of new opportunities is strong and currently presents a revenue opportunity in excess of INR4,000 crores. In addition to business development initiatives, continuous customer engagement provides us newer opportunities as part of our encirclement strategy, where the objective is to enhance the share of revenue from the customer through effective cross-selling. Here it is pertinent to mention that recently we were awarded partner level status by John Deere, which is a recognition of our dedication to providing products and services of outstanding quality as well as commitment to continuous improvement. It also provides us an excellent platform to explore more opportunities within the customer ecosystem.

Also, we have a very long relationship with an American auto OEM. We've been working with them for over 30 years. During the year, we won a contract to provide logistics solution in a second site in addition to the site that we've been engaged in. The reason I say this is, it's coming on the back of a very strong, what I would call a global account management initiative, wherein we are trying to significantly grow our revenues and our large customers through active account mining. As we exit FY’24, we are strategically placed to participate in large opportunities.

When we won the Centrica contract, which was worth over INR2,000 crores, I had mentioned that it is an inflection point where we would be invited to participate in opportunities of that size. I am glad to announce that we have quite a few such large deals now in the pipeline. And the

teams are confident that we will convert a couple of them through the course of this year.
We are actively engaged in AI solutions. And today, we have AI deployed or AI and artificial intelligence deployed at scale in the US, UK, and in India. And we continue to drive our solutions through active technology intervention. In summary, we moved from a position of reporting losses after taxation at the end of Q1 and Q2.
We then turned into breakeven profit in Q3, FY'24, and finally to single-digit profit in Q4, FY'24, thanks to multiple on-ground operational and strategic initiatives. Going forward, we are confident of delivering double-digit PBT numbers in the quarters ahead. With that, I would like to open the floor for questions.
Moderator: Thank you very much. The first question is from the line of Krupa Shankar Nj from Avendus Spark. Please go ahead.
Krupa Shankar Nj: Good afternoon and thank you for the opportunity and congratulations on steady improve

ment
in the profitability witnessed during the quarter. My first question was on the ISCS business. While you have stated that there have been multiple business wins, what would be the time frame when it will start contributing materially to our revenues?
And the robust order pipeline, which we have stated as INR4,000 crores, what proportion of it is from the ISCS business? If you can share some light on that?
Ravi Prakash: Hi, this is Ravi Prakash here. I just want to make sure I have heard the question correctly. I think your question was what ISCS business, what proportion is going to contribute. Today, the integrated supply chain business or ISCS is 55% of the company and it is about INR5,500 crores

in revenue. That is actually the major part of the company and that is the reason it's important that it keeps growing at the 14% that it has been growing. So, I hope that clarifies it.
Krupa Shankar Nj: Sorry, Ravi. My question was, actually -- you have started. You talked about the business development efforts and the business win in the ISCS segment. I was wondering when it will ramp up and contribute substantially to our top line, the one which has been displayed on page 11 of the presentation.
Ravi Viswanathan: This is Ravi Viswanathan here. So what Ravi Prakash is saying is that it's a continuous process. So it is a deal pipeline which gets converted, which has delivered the 14% growth year-on-year in the ISCS segment. And when I said that we are very confident of growth in ISCS, And I will stick my neck out and say we are very confident of a double-digit growth in ISCS on the back of these pipeline deals that are getting converted.
Typically, ISCS pipeline takes about six to nine months to fructify. So, today, the INR4,000 crores pipeline is in various stages of conversion. So, some of them, in our parlance, it could be in stage five, stage six or stage seven, stage seven being the stage when it gets converted to a contract and gets executed. And we typically have lead times of anywhere between four weeks to ten weeks, depending on the complexity of the engagement for them to start.
I do not know if that answers your question. I hope so.
Ravi Prakash: And I just want to also add a little bit. See, it's not like a point in time. It is not like a stop-start engine. At any given point in time, if you look at our deal pipeline, it will probably be the same thing and you will have deals coming through all the time. And that is what we are messaging.
If you see in the investor presentation, we said that this year we were able to add INR881 crores of incremental revenue because of business development.
That is actually a portion of the deal pipeline which would have existed in the prior year. And that's how it goes all the time.
Krupa Shankar Nj: Understood. That's very clear. And second question also on that INR4,000 crores of order pipeline. Now, given that we are in the services sector, how do you arrive at this particular order pipeline number? Is it based on the pre-agreed customer contracts which we have signed and that should translate over the next -- how many years does this thing translate into our top-line growth?
Ravi Viswanathan: So, this is visibility of INR4,000 crores of revenue. So, let's say I convert all of them today, that's the visibility I have for the revenue. But this could be potentially from a total contract value a much higher number. So, INR4,000 crores is not the contract value, but it is the opportunity to convert them as revenue for this current year. So, we are not yet declaring the TCV, but hopefully we will get there in a few quarters' time. How do we arrive at this number is based on what the customer has told us in terms of volumes, in terms of movements, in terms of number of parcels, packages which is based on which we have given the estimates or proposals and that is how we

arrive at the numbers.

Krupa Shankar Nj: Understood. So were there any capacities which were already set up based on this order book and the ramp-up could also drive fair bit of margin expansion in the ISCS business? Is that a fair assumption?
Ravi Viswanathan: It is a fair assumption. We have some amount of contract which we will utilize existing infrastructure and network especially the network business That is how it will be, but in the integrated supply chain solutions where we are designing complex solutions to the customers most of the time that is why I said the lead time will change anywhere between a few weeks to 10 weeks depending on the kind of contract.
So for example the large deal that we announced in the UK it took almost 8 weeks to bootstrap because we need to make sure that we bring in the people, the facilities all of that. So every contract has that complexity built in, but I would say the network solution side typically the ramp-up is much faster And the ISCS segment it takes anywhere between 4 weeks to 10 weeks for the ramp-up to start.
Krupa Shankar Nj: Understood. The last question from my side would be on the network solutions business. We have seen suddenly a spurt in container-free trades on key routes. Now how does it place us over the near term with respect to – because last time, when there was such a large gap in demand supply, we could see that there are margins in the business had jumped up to close to about 7%.
Is there a possibility of a margin reversal if this sustains?
Ravi Prakash: So, this time what we have done is in the investor presentation since you asked this question, we have actually given 4 years revenue 21 to 24 and we have specifically called out the "incremental pricing impact" because of the COVID pricing and if you look at that and at the bottom, we have also given our volume data.
What I can now say is in terms of rates per container or rates per ton of air freight more or less we are back to what I call 21 levels which were probably pre-COVID levels just before the COVID hit kind of levels. In a way this represents a normalization of the trade lane economics in the network segment. The only aberration now is the Red Sea the incremental cost as well as price because of the Red Sea, but it is not on the same scale that we saw during COVID.
Having said that, if you look at EBITDA margins in the GFS business, we have actually been able to hold the margin percentages because we are and that's where I talked about the variable margins doing much better because we've been very good with our procurement efficiencies. So going forward in the next three, four quarters the outlook would be that we are focusing on volume improvement.
We expect prices to move at a narrow band and with the help of volume and we have taken some very stringent cost containment measures. We expect to see improving profitability.
Krupa Shankar Nj: Got it. That's it from my side and all the very best.
Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Just a few clarifications. First on the guidance what you've given. I presume that this is FY27 the margin guidance what you've given 4% PBT margin is basis USD2.5 billion revenue. Have I understood it right?
Ravi Prakash: So, Achal we are talking about a mid-teens growth rate of volume year-on-year. So we have not called out a number in terms of revenue. Yes 2.5 billion is our vision, but the guidance that you see in page 18 of our investor presentation is that by FY27 if you keep growing revenue at about say 15% year on year this is where we expect to hit by FY27.
Achal Lohade: What is the mix here we have assumed because there would be difference between the NS and the ISCS PBT margin. So what

is the revenue mix we should assume here it will remain same.
Is that so?
Ravi Prakash: You should at the minimum assume ISCS at 55% and a little bit probably maybe a few percentage points better. The IFM business would probably be between 18% to 20%, and the balance would be the GFS business.
Achal Lohade: On the IFM piece if you could help us understand the challenges what we went through, what the solutions and the outlook if you could specifically talk about this particular sub-segment.
Ravi Prakash: Yes, what I'll do is I'll talk a little bit and then I'll probably request Ravi Viswanathan to talk about the business outlook. Look this time we have specifically disclosed the IFM business revenue separately and the reason we've done that is to actually put out that the IFM business has been growing revenue consistently. It's an INR1800 crores business today as we speak.

So the challenge we've had is actually on the cost side in IFM and that is because in the last 2 years the IFM business a significant portion of its revenue is from the UK. UK went through an extraordinary set of circumstances. Inflation, which was never seen before between 11% and 12%, energy prices which sometimes went up almost 20%, 25%.
Then on the third minimum wage increases which almost over the last couple of years have gone up 20%, 25%. All of them hit at the same time and then the government also withdrew some of the rate benefits that they had given to properties which they had given during the COVID. So in a way, it was almost like an event which we had never seen that before. It took us time to transmit a lot of these prices to our customers this huge cost inflation.
It coincided like we talked earlier with the ramp down of the very profitable contract that we had on the health sector in the UK delivering the COVID vaccines. So this combination is what put pressure on the cost. So it's actually a cost side problem that we have.
We've been working on it for the last couple of quarters. We have taken significant steps to reduce our fixed costs. We are looking at all elements of our infrastructure, whether it's property, whether it is routes, etc., to kind of bring it to a more optimal level, while also working on pricing. We have seen improving results in Q3 and Q4 of this year. We expect to see continued improvement in Q1. And by the time we close Q2 of FY25, it is our expectation that we will hit the run rate profitability that we would like to get to in IFM.

Ravi Viswanathan: Achal just to add that IFM continues to win significant deals. So for business development and a pipeline perspective, I would say it's very healthy. Like Ravi Prakash said, our focus really is now to pass on some of these cost inflations back to the customer. We have succeeded in quite a few, and we're still in the process, like I said earlier. And of course, ensuring that we are consolidating a lot of our assets to see how we can spread it better. Like Ravi Prakash said, by Q2, we should hit the target run rate for IFM. But it is work in progress.
Achal Lohade: Just a quick clarification on that. In terms of customers, in terms of revenue, how much of the customers have already passed on these cost inflations? Ideally, in terms of the revenue sizes, or if not, in terms of number of customers, percentage where how much is already passed on? You know, customers accepting those cost inflation.
Ravi Prakash: Achal, actually, a significant number of customers have taken at least one round of price increase. And we are working with a few large ones for a second round. Because as you can imagine, typically in an economy like the UK, you would normally see about 1% or 2% percent price increases because they have linked inflation, whereas this is almost like a reset of the contract, because of the property and the other price increases.
So, we have done one

round, which has been passed through, and we are in the process of doing a second round. And that's why we gave out Q2 as the target, because by then we hope to complete most of the pricing actions.
Achal Lohade: And if I were to ask you, sir, what is the blended cost inflation? And in the first round, how much is already passed on? I'm just trying to figure out in terms of the margins, what kind of delta we could see from IFM, in IFM and also at the total level.
Ravi Prakash: So maybe, let me put it this way. See we don't give margin breakup by probably at this level, Achal. But if you think about, if you can talk, if you can go back to some of the numbers that I quoted, costs have gone up by almost 10% to 11% in most part of the, what do you call it business. Right. And we are kind of trying to recover that in a couple of price increases.
Achal Lohade: Okay. Got it. Another question I had was in terms of India growth, if you look at the growth, particularly for the fourth quarter, the supply chain business seems to be a little weak. Can you help us understand what is happening here, specifically for India business, I'm saying, for both the supply chain and the network solution, if you could talk in both fashion and what is the outlook here?
Ravi Viswanathan: Right. So, if you look at the supply chain segment, it's been flattish, Achal, Q3 to Q4, while on a year-on-year basis, I guess there's been a slight decline. Actually if you look at the market itself, I would say it's been fairly sluggish this fiscal year. And probably if you do a benchmark comparison, you'll find from a supply chain perspective, we are probably, better than the median number in terms of growth. So, many of our large customers are, probably waiting for June, I hope. But we expect those things to change post-elections.
But FY24 marks a definite sluggishness in the India supply chain business, not just for us, but also for our peers. On the network solution side, I would say that the decline was sharper and

that came on the back of, of course, very significant decrease in the freight rates. However, I would say that network side in Q4, we saw a significant increase linearly.
That is, from Q3 to Q4 we saw a significant growth. And also on a year-on-year basis, we saw a significant growth as we saw a couple of customers' export volumes go up significantly. So, I would say India geography, ISCS, flattish and the network solutions, predominantly driven by freight, showing very good recovery in Q4.
Achal Lohade: Understood. And one of the comments you had made in the interview today in the morning was about the working capital improvement. Can you talk a little bit about that? What are we trying to achieve here?
Ravi Viswanathan: I lost you. What was it?
Achal Lohade: Can you talk a little bit about the working capital improvement? Because that is also one of the contributor to your PBT margin expansion?
Ravi Prakash: Yes. So, Achal, I think we are looking at it in two steps, Achal. The first one was to bring the overall debt levels down. We also moved out of some expensive financial instruments that we had deployed in the past. We have actually reduced the amount of factoring etcetera, that we do.
And therefore, the interest cost has come down from a run rate of INR41 crores in Q1 of this year to 16.6 in the Q4. And therefore, we have actually shown what the pro forma P&L could look like with the new interest rate that is going on. In the interview, we had messaged that the gross debt today is about INR794 crores. All of it is working capital debt.
We expect to grow our revenue without materially changing that working capital debt. It may – there may be short-term blips, ups and downs, but we want to fund most of the working capital revenue growth through internal sources. And therefore, what we would like – we expect to see the inte

rest rate not move very much beyond the numbers that we talked about. It may move a little bit up and down, depending on quarter-on-quarter, but in general, we would like it to be in this range.
Achal Lohade: Understood. And, sir, a couple of clarifications. One on the…
Moderator: Sorry to interrupt you, sir…
Achal Lohade: Okay, I'll follow back in with you. No problem. Thank you.
Moderator: Thank you, sir. The next question is from the line of Amyn Pirani from JP Morgan. Please go ahead.
Amyn Pirani: Yes, hi. Thanks for the opportunity and for the details in the presentation. I had a very high-level revenue growth question. If I look at your slide seven, where you've given the revenue waterfall.
Now, new business development has been quite consistently, I think, in the INR220 to INR230 to INR240 crores range. And this year, you had a very big decline coming from price and volume impact on global trade.

And price and volume growth in other businesses actually should also be better this year, looking at your commentary. So, if I just add this and assume a positive impact from price and volume in global trade, would it be fair to say that we can look at actually more than a 15% to 20% revenue growth on a console basis? Is that a fair way to think about it?
Ravi Viswanathan: Amyn , you're forcing something through. But let's just say that we are optimistic. We are cautiously optimistic about the network solution segment. We are cautiously optimistic about the growth and revenues, but I wouldn't want to put a number. I think I said that in the morning interview to one of the channels, that as far as GFS is concerned, I would watch the space. I would watch the network solution space before I put my head out.
But on the ISCS segment, I would confidently say we are running for a double-digit revenue growth. On the GFS, I will hold until we see some stabilization, especially on the Red Sea and the volumes picking up. The key for us, Amyn, is the volume growth in the freight business.
Volumes have been fairly stagnant, and this is not just TVS supply chain solutions. Our peers, the volumes have been fairly moving in a very, very narrow range.
And that is going to be the key. And that really depends on global trade volumes picking up. The wall is not helping, but we will hold our commentary on the network solution growth, especially on the freight business, until we see things coming back normal from a volume perspective.
Rates are slightly higher now because of the Red Sea, but that's, again, a transient and that is something which we don't want to get into a forecast situation. But for us, the key is going to be volume more than anything.
Amyn Pirani: Okay. And you also mentioned that you have actually talked about the variable margin. So even on the GFS side, I think you managed to control costs. So now as freights are rising and hopefully some volumes come in, will you be able to continue to control costs? Are there any cost headwinds? Are we seeing this year?

RaviPrakash: So the main cost headwind in the – so there are two parts to it. Let me first address the main question on the freight. Amynif you see Q4 versus Q3, you see actually the variable margin has dropped a little bit in the network segment. That is because the Red Sea costs, we have not been able to 100% pass on because these are being levied as surcharges. Okay.
So if you ask me, the one risk factor at the moment is the – I mean, it will not make a difference to the dollar per container that we earn, but it will make a difference to the reported percentage margin. Because, right, we are not actually in any way moving the needle in terms of the dollar per container because of the increased pricing on Red Sea.
Amyn Pirani: Right.
Ravi Prakash: That's the only risk. Right. And to your broader question of can we expect – see, variable margins have mov

ed up by almost 300 basis points this year. I would say that is probably – we are now probably at the optimal level. Because in a way, we normalized a very irrational situation that existed last year. Right. So what you see in Q4 is probably a good representation of where the P&L might look like in terms of variable margin and the cost below that at a consolidated level.

Amyn Pirani: Okay. That's helpful, sir. I will come in queue. .
Moderator: Thank you. The next question is from the line of Nihal Shah from Prudent Broking. Please go ahead.
Nihal Shah: Thank you for the opportunity. So my question was in the cash flows. So our operating cash flows from – our operating cash flows have come at INR128 crores coming down from INR734 crores last year. So what was the main reason for that dip?
Ravi Prakash: So I think last year, we had probably a very – and you should probably normalize it, Nishant, in terms of – last year, we had a very, how should I say, unique situation at the end of March 31, 2023. We had taken a number of working capital initiatives, which on which actually earlier I said we had pulled back.
For example, we had maximized our factoring, which reduced our receivables by almost INR300 crores last year. We had also taken a few vendor payment initiatives on vendor financing, which also reduced our payable – I mean, which increased our payables as well. So that kind of drove almost like a INR350 to INR400 crores improvement in working capital, capital which we have normalized in FY '24. The reason we normalized that is we have found that as interest rates have gone up factoring rates are actually proving to be very uncompetitive.
Now that we have got the IPO funds, and the leverage is under control we can go through regular working capital financing. So that is the reason. So, in a way last year's numbers are probably how should I say, overstated because of this situation.
Nihal Shah: Okay. So, it comes out to around 18.5% to 19% of our operating profits flowing into the cash flow. So, can we assume that to be around 20% for the years coming ahead?
Ravi Prakash : I can always come back to you in terms of – because you are looking at the reported number, so if you take the FY '24 number the next year number should be a little bit better than that in terms of the – if you take the statutory cash flow and if you are reading off that next year should be a little bit better than that.
Nihal Shah: Okay. And another question was like we have a INR4,000 crores deal pipeline. So let us say we win an order. So how much of capex is required there because we are having around INR200 crores of net debt, and we hope to maintain that in the coming years. So how much is the capex that is required if we win an order?
Ravi Prakash: So, our capex guidance does not change. I think we will still keep it between 1% to 1.5% of revenue. The only change to this could be if there is any major deal – how should I say – strategic 5 to 10 years which can give us a big – we may look at investing because in the past the only time that we have deviated from this 1% capex policy is when we have got – how should I say – I call breakthrough deals which can change the trajectory of a business or a country.
That is what we have looked at. Having said that we will still like to manage it between the 1% to 1.5% of revenue and for the medium term, that is the average that we are working with. And therefore, I think that is how you probably work through the debt as well.

Nihal Shah: Okay. Thank you. Thank you for the answer.
Moderator: Thank you. The next question is from the line of Vikram Suryavanshi from Philip Capital. Please go ahead.
Vikram Suryavanshi: Hi. Good evening, sir. I have two questions. One, partly you try to understand regarding the

network ser

vices. So, how do we ensure the profitability because trade rates will continue to remain volatile? So, basically is there any scope to create value within that service or it will be largely a function of trade rates going forward? And should I ask the second question or the?
Ravi Prakash: Go ahead. Please ask the second question as well. We can answer both together.
Vikram Suryavanshi: Sure, sir. Thanks. So, in case of ISCS business or if you look at the exposure to India how we can use the global learning to Indian context, or which are the segments or services we can expand in India as a slightly long-term strategy for us?
Ravi Prakash: Okay. So, what I will do is I will quickly -- I will answer the question on network services and then I will request Mr. Ravi Viswanathan to say how the global capabilities is influencing Indian ability to grow in India. Look, on the network side there are two parts of the business and this time in the earnings presentation, we have given a separation between both of them. We have called out GFS which is a freight forwarding business and then we called out IFM; integrated final mile which is a closed-loop spare parts business which is INR1800 crores. The IFM business is in many ways similar to the integrated supply chain business. It is driven by long contracts.
It has an infrastructure setup and as you push through more demand through that, you actually get better revenue and therefore margin. So, like I said, in the case of the IFM business, we have adequate revenue visibility. Our challenge is more on the cost side and like I was explaining to Achal from JM, in the next couple of quarters, we expect to bring the cost situation to a point where we will probably hit a reasonable run rate.
On the freight forwarding side, look it is not price is not the only determinator. Like we said, I was explaining to the other gentleman, even though prices came down, we were able to manage procurement to actually improve our variable margins. And so, we have levers at play. And then on top of that, we do have fixed cost in terms of people deployed at various points in the points of the offices in the network, which we can actually vary as demand moves.
And we have done that as required. So, therefore, there are levers in the case of GFS, like you said, procurement is a lever and cost management is a lever. In the case of integrated final mile, the throughput is a lever, cost management is a lever. I will request Ravi to talk about how the global capabilities have influenced our Indian business.
Ravi Viswanathan: Right. So, let me say, there are two major elements that we are benefiting from the global operations. One is bringing some of the capabilities here. For example, today we are an aftermarket leader in India, and that comes from a very strong aftermarket capability that we were able to transfer from the UK.

So, our growth in some of the new segments, both in aftermarket and also in the IFM business has come on the back of very strong capability replication from what originated in the UK. A lot of what we do in our in-plant warehouse in terms of automation, etc. Is coming from some of the global capabilities that we have built.
The second, and I think probably what is most important, is the ability for us to work with some of our large customers globally who are either setting up operations in India or who are present in India, and therefore be able to get into what I would call strong account mining, thereby building on the execution that we have had in the western market, for example, the ability for us to replicate those services here and deep mine those customers. So, global customers and specific global capabilities that we have brought to India, which has expanded both our ability to service the customer and grow the revenue.
Vikram Suryavanshi: So, in service side, I g

ot clarity but in case of sector-wise, are there any sectors opening up for this idea or it will be more like existing customer where we will try to get a walletshare higher, and then it will take some time for other sectors to really go for this services. Are they ready to accept this services on products or sectors, or there are only three sectors which will, I think, initially target?
Ravi Viswanathan: Right. We actually operate in multiple sectors. If you are talking about industrial sectors that we operate in, we probably have a very diversified portfolio of sectors that we operate in. And what we have effectively been able to do is to take this know-how and be quickly able to put the process for different sectors.
So, for example, we started our journey long back in the industrial and engineering side of the business, but we have moved to consumer durables, we have moved to utilities, we have moved to technology services, to consumer retail, and so on. So, I think from a sectorial diversification, we have a very, strong sectorial diversification, and we continue to explore new sectors -- both internationally and in India. So, I think from a sector diversity perspective, we have a very strong

distribution of our business across multiple customer segments. I think it's there in page 9 of our investor deck.
Vikram Suryavanshi: Got it, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Arif M, who is an individual investor. Please go ahead.
Arif M: Hello, sir. Good afternoon, following up on the previous question from the participant, I want to ask you what is the exact time on Indian opportunity, and can you tell us how do you differentiate yourselves from your competitors in Indian landscape? I want to know how organized is Indian market and what is the value addition we are adding compared to our competitors in India?
Ravi Viswanathan: Arif, it's a good question. I think India is an evolving market. We would like to see India evolving into an outsourcing market, which is where we do a lot of our work outside of India. So here I would say, it is more relationship-based.

It is really based on the ability for us to connect with the customer. The differentiation comes from us being a full-scale player. When I say a full-scale player, we are a company probably uniquely positioned to manage global freight, integrated final mile, and, of course, multiple components within the integrated supply chain solutions.
So when it comes to in-plant warehousing solutions or aftermarket solutions, we have a very, very strong differentiation. The second differentiation comes from the fact that we have our own IT stack, which we try to deploy in many of our customers, which integrates with standard software like SAP and so on. So that gives us an edge.
And third, specifically for multinational customers, because of our presence in multiple countries, we probably have built strong relationships or at least early inroads into these relationships before they move to India. And therefore, we are able to manage early wins with these MNCs who are coming and setting up shops in India. So differentiation comes from multiple layers.
One is specific capability, which we have, which we differentiate, like I said, an aftermarket or an integrated final mile. Second is in terms of the ability for us to provide an end-to-end solution from global freight to transportation to a complete reverse logistics kind of setup. And the third is the strength that we bring on multinational. And all of this is tied very strongly with our own tech stack, which differentiates us in the market.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Ravi Viswanathan: All right. Thank you. First of all, I would like to thank all the pa

rticipants for being part of this
discussion on our business performance and the outlook. This is the first annual result submission of the company as a listed company. In our investor presentation, we have laid out a clear vision in terms of where we want to be as a global logistics company. Our action plans would be guided by the goal, and which will lead us to profitable growth. Once again, let me thank all of you. It is a pleasure interacting with you and look forward to speaking with all of you very soon.
Moderator: On behalf of TVS Supply Chain Solutions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

August 06, 2024
BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East),Mumbai 400 051
NSE Symbol: TVSSCS

Dear Sir/Madam,
Sub: Transcript of earnings call with analysts/ investors

Pursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Solutions Limited ("Company") , analyst call held on July 31, 2024 , to discuss the financial results for the quarter ended June 30, 2024 .

The transcript is also uploaded in the Company's website https://www.tvsscs.com/investor -relations/

Kindly take the above information on record.

Thanking You,
Yours faithfully,

For TVS Supply Chain Solutions Limited

P D Krishna Prasad
Company Secretary

Enclosure: As above

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TVS Supply Chain Solutions Limited Q1 FY25
Earnings Conference Call "

July 31, 202 4

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 31st July 2024 will prevail.

MANAGEMENT : MR. RAVI VISWANATHAN – MANAGING DIRECTOR ,
TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. RAVI PRAKASH – GLOBAL CFO, TVS SUPPLY
CHAIN SOLUTIONS LIMITED
MR. J. SIVAKUMAR - HEAD, INVESTOR RELATIONS ,
TVS SUPPLY CHAIN SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, we welcome you all to the Q1 FY25 Earnings Conference Call of TV S Supply Chain Solutions Limited.
This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call . These statements do not guarantee the future performance of the company and may involve risks and uncertainties that are difficult to predict.
As a reminder, all part icipant lines will be in the listen only mode and there will be an opportunity for you to ask question after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone . Please note that this conference is being recorded.
I now hand over the conference to Mr. J . Sivakumar – Head, Investor Relation for TV S Supply Chain Solution s. Thank you and over to you , sir.
J. Sivakumar : Thank you, Moderator. Good afternoon and welcome all to the TV S Supply Chain Earnings Call for Q1 FY25.
We have with us today , Mr. Ravi Viswanathan - our Managing Director and Mr. Ravi Prakash - Global CFO.
Our Financial Results and the Investor Presentation have been already hosted in the company website and also reported to the Stock Exchange. We will commence the call now with the opening remarks from our Management Team followed by an open forum for question and answer s.
Before we begin, a customary remark , I would like to point out that some of the statements made during today's call may be forward -looking in nature and must be reviewed in conjunction with the risk that the company faces. A disclaimer to this effect has been included in the earning deck that has been shared .
I now request and hand it over to Mr. Ravi Viswanathan - Managing Director of the Company to make the Opening Remarks .
Ravi Viswanathan : Thank you J S, and good evening to all of you. I would firstly like to welcome all of you once again to our Earnings Call to discuss the performance in the 1st Quarter of this Fiscal Year 2 024-25.

I will share with you the highlights of our performance and my colleague , Ravi Prakash , will then take you to the analysis of our numbers. We look forward to interacting with you as part of the question -and-answer session.
Before I begin, it is custom ary that I provide a brief background to our company to the benefit of those participants who might be joining the analyst call for first time. TVS Supply Chain Solutions is a tech -led and asset light supply chain solutions provider with capabilities across the value chain. Integrated Supply Chain Solutions, or ISC S segment and Network Solutions or NS segment are the two business segments of the company. Our presence spans 4 continents, Asia, Europe, North America and Oceania with the diversified customer base spread across multiple sectors. We offer bespoke and tailor -made solutions to our customers , so our customer contracts are generally long term, and our customer services are predominantly in the 3PL space and evolved overseas markets , we also offer 4PL service.
To summarize :
TVS S upply Chain Solutions is a company with a strong Indian base and the global presence offering Best in Class supply chain solutions across the globe .
With this short introduction, I shall now move to the performance highlights for Quarter 1 of Fiscal Year 2 024-25:
At the outset, I would like to state that we continue the momentum of quarter -on-quarter profit - led growth in both I SCS and Network Solutions segments . The I SCS segment delivered quarter - on-quarter growth of 3.4% linearly and growth of 8.1 % on a year-on-year basis and grew both in India and the rest of world operations.
The Network Solutions se

gment grew handsomely and delivered quarter -on-quarter revenue
growth of 6.4% and 14.8% on a year-on-year basis. Business development continues to be robust across the segments and contributed 10.7% of total revenue. At a consolidated level, the company achieved a revenue growth of 10.9% on a year-on-year basis and 4.7% on a Q-on-Q basis. The company report ed PBT of Rs. 13.7 crores which reflects our resilience and quarter -on-quarter profit enhancement measures.
With this brief background, let me hand it over to Ravi Prakash - our Global CFO, who will then take you through a detailed analysis of the numbers.
Ravi Prakash : Thank you, Ravi. Good afternoon, everybody and thank you for joining the Q1 FY25 Earnings Call.

Let me walk you t hrough the highlights of our Financial Performance for the quarter ended 30th June 2024 :
In the last Earnings Call , we had called out that the company had reached an important milestone on its revenue and margin journey by growing consolidated revenue and delivering positive PBT. This is with reference to the earnings call in Q4. This Quarter 's Results provide further evidence that we are continuing on this journey and further building on the growth momentum .
With that let me walk you through an analysis of the key line items in the financials :
Q1 FY 25 revenue was Rs. 2,539.4 crores compared to Rs. 2,426.3 crores in the previous quarter and Rs. 2,2 88.9 crores in Q1 FY 24. This translates to a year-on-year growth of 10.9% and quarter -on-quarter growth of 4.7%. The drivers of this revenue performance first, both our segments Integrated Supply Chain So lutions and Network Solutions have delivered strong growth. The ISC S segment grew 8.1% and the Network segment grew 14.8% .
In the Network segment, revenue growth was driven by healthy volume gr owth in the forwarding business. Revenues from business development maintained their momentum with Rs. 246 crores being clocked in this quarter, which is about 10.7% of the base revenue. The pipeline of orders continues to be healthy. So, these are the three components which kind of helped deliver the strong revenue performance. Other income for the quarter was Rs. 5.6 crores compared to Rs. 6.8 crores in the last quarter and 18.2 in Q1 o f last year. Other income in the quarter was mostly interest from bank deposits and a little bit of FOREX gain. With this , total income for the quarter was Rs. 2,545 crores, which was a growth of 10.3% year-on-year and 4.6% sequentially.
I now move to a brief explanation of how the major expense line items have evolved and have resulted in margin performance :
Material costs for Q1 FY 25 were Rs. 488.7 crores, which increased 17.3% on a year-on-year basis and 4.6 % on a quarter -on-quarter basis . Incremental material cost is on account of the change in business mix in the rest of the world operations and this is due to the nature of the contracts that we have entered to in some of the geographies . The company can manage these fluctuations within its gross margin and offset any variations through it through operating leverage. Freight clearing, forwarding and handlin g expenses being variable in nature increased due to the higher volume of trade handled in the G FS business and due to additional cost charged by ocean carriers on account of the Red Sea situation. This expense line was up for the quarter by 29.2% year-on-year and 15% on a quarter -on-quarter basis due to the reasons that I have already described .
Employee benefit expense for the quarter was Rs. 576.8 crores up 4.9% year-on-year and 1.5% quarter -on-quarter basis . The year-on-year increase in employee benefit expenses is on account

of the ramp up in customer engagements in the I SCS segments and these costs are absorbed in the gross mar

gin of the respective contracts. In fact, the rest of the employee expense, which is
mostly overhead in nature, came in pretty flat. With these numbers, the ISCS segment reported an adjusted EBITDA of 9.7%, which is pretty much i n the range that we had always talked about EBITDA of 9.5% to 10%.
I would like to spend a little bit of time on the EBIT performance of this quarter . We have added about 30 basis points of EBIT margin versus the same period last year. That is the result of an increase in the absolute gross margin and the fixed cost leverage. This is in line with our midterm plan. EBIT improvement has been further supported b y a drop in interest a nd we have managed the gross debt very tightly. In fact, you will notice that the gross debt is actually slightly lower than March numbers and we have funded the entire revenue growth through internal cash accruals . As a result , PBT m argins have improved 100 basis points versus the same period last year, leading to a Rs. 13.7 crores P BT. We expect to build on this momentum in the ensuing quarters. This concludes a quick summary of our financials . I now hand it back to Mr. Ravi

Viswanathan .
Ravi Viswanathan : Thank you, Ravi Prakash for the analysis.
Let me touch upon business development and the key engagements :
We have been able to grow revenue in both the I SCS and the NS segments for the quarter and also result in higher net profit for the quarter demonstrating turnaround of the business. Our BD continues to contribute 10.7% of the revenue across both I SCS and NS segments and for Q1, the BD contribution was Rs. 246 crores . And for those details, please refer to our investo r presentation , pages 12 to 15.
We had significant new customer wins in both the segments . In ISC S, we had a global IT service provider in India, the metal forgings manufacture r in India, the passenger and commercial vehicle manufacturer in India, w ater management utility services provider in the UK and industrial machinery manufacturer in Europe and the passenger car manufacturer in the US are some of the customer wins that I wish to call out. Some of the new customer wins in the Network Solutions segment were the global electronic component manufacture r in the Asia Pacific , two-wheeler manufacturer in India, the furniture manufacturer in Asia Pacific , material handling equipment manufacturer in the UK and a system integrator on IT services company in Europe.
What is exciting for us is that our pipeline of new opportunities continues to be strong and we are building on that strength quarter -on-quarter and it currently presents a revenue opportunity annualized in excess of Rs. 4,000 crores.
While on the subject , I would probably like to call out two key developments. Firstly, our contract in the UK with the leading energy major company which was announced last year where

we offer best in class inventory optimization and final mile delivery solutions at a very large scale and complexity . This unique solution offered has now opened the doors for TVS SCS in Europe to participate in large deals in the UK region . And what is worthwhile mentioning is that the average deal size since we signed that contract has more than tripled to £9 million from £2.7 million before we engaged with this utility company. By the same token, farm equipment manufacture r in the US , we have an engageme nt of 4PL solution involving inventory and aftermarket warehouse solutions, again of large scale and complexity in the USA and offered by TVS SCS in North America.
Thanks to the fulfillment of this prestigious contract , we are now seeing actively engaged in similar sized opportunities, which otherwise we were not invited to. Now , the average new opportunity size in the US has more than doubled in the last 12 months if I look at my pipeline. We are motivated by t

hese wins and given the large deals in the pipeline, we are confident on continuing the revenue growth and BD driven revenue growth momentum. In terms of deliverance meaning engagement , we have delivered of significance in the last quarter. I would add the following. We announced a 5-year strategic supply chain contract with the global auto major which amongst key deliverables include handling 8 ,000 SKUs and 65,000 order lines. This signifies the trust placed on the company to handle critical supply chains for the global auto major company. We achieved our milestone of handling 500,000 completely knocked down kits for a domestic auto major company for its EOU plant through our offer of wo rld class sub -assembly and kitting services, which are unique in state -of-the-art solutions .
We had earlier mentioned about a global account management and on the way forward we a re present across 4 continents in the bouquet of service offerings and marquee customers that we have. We are uniquely pla ced to grow the widespread captive customer base . The company has embarked on a global account management program for about 10 cust omers with three key objectives, namely cross sell more of this capability , cross sell across geographies and tap the economies of scale. Today , we have over 60 active propo sals across these global accounts which we are pursuing. And all of this comes because of the growth enabled, which is the IT platform , IT systems and IT is the backbone of the supply chain service offering of the company and IT based applications provide the impetus for reaching new customers and enhancing the wallet share among our existing customers.
During the quarter that just concluded, we implemented several key tech initiatives across our businesses and what we would like to call out is predominantly in the area where we are deploying AI at scale. We have Alpha Platform in India which uses AI to validate Proof of Delivery, and this is in the India transportation platform. We implemented our vision inspection using AIML in the sub -assembly processes allowing for real-time quality checks for one of our large customers in TVS S CS North America. An AI based polarized light damage detection deployed for our beverage clients in Europe and finally working closely with academia we have

a partnership with the leading UK based university focusi ng on AI governance and how to
implement it as a core structure throughout our businesses global ly.
In Summary :
Q1 FY25, we continued with our revenue growth, and we have revenue growth across both our
segments, and we are back to quarter -on-quarter profit -led growth .
With that, let me open the floor for questions. Thank you .
Moderator: Thank you very much. We will now begin the question -and-answer session . The first question
is from the line of Sanjay Shah from KSA Securities Private Limited. Please go ahead.
Sanjay Shah : Sir, Thanks for the opportunity congrats for the good numbers, nice presentation and I appreciate
the way you explained and make us understand the company . The question which was coming
to my mind was regarding the growth and the complexity of the solutions, what we provide and
the third -party logistics that is 3 PL which is growing at a very rampant speed world over and in
India, so can you highlight upon it how we stand because we are now g rowing global. So, how
do you see the difference between what you do for the customer in India as well as outside India,
is there any change in the requirement and what we offer to them and what is our future offerings
to them?
Ravi Viswanathan : Thank you for the question and the wishes. Let me answer by saying, we are operating across
two distinct regions , India and rest of the world . What we are seeing in the rest of the world is,
I would say large scale outsourcing, whic

h means that organizations are outsourcing , bulk of
their 3PL and 4PL activities and our solutioning combined with our ability to bring in a lot of
technology into our solutions is the key differentiator as we deploy large scale outsource
operations for our customers. S ome of the example I gave, whether it is the beverage industry
or the farm equipment or the commercial vehicle that we spok e about or the utility company ,
they a re all mega projects if you want to call it, which is basically transformational in nature.
So, we are taking over the supply chain operations, transforming it both from a process and a
technology perspective and bringing in higher levels of efficiency. So, they are typically 5, 7, 9,
10-year contracts which clearly outlines how the transformation will layout. We had mentioned
it earlier in our earnings call that India is an evolving outsourcing market. We obviously nee d to
work very hard in ensuring that we propagate all our success stories and our capabilities and
ensure that we are participating a s the outsourcing market opens up . India, it is still a 3PL and
maybe more value -added services like contracts and not supply chain outsourcing per s e. But
the key common thread in both of this is the use of technology. In both India and rest of the
world, we focus on putting technology to play and bringing in high level of automation in the
processes that we are deploying across the globe , but there are different platforms, one for India

and one for the different parts of the globe. I don't know if I answered that question sufficiently,
but I am happy to take more questions as we go along.
Sanjay Shah : Sir, that w as really helpful. M y second question was just to understand our I SCS and networking
what we cater to and offer solutions to our customers, how do we actually do that ? I am sure it
is a basic question , but we need to really be helpful to us to understand how it is managed
globally, we use the outsource d third -party to support our solutions or we have our in -house
solutions for everything ?
Ravi Viswanathan : So, most of the time , the solutioning is done by us, by our company of course , but we do engage
with a lot of third -party providers o r maybe services like warehousing or transportation, but
bringing in tog ether of all of the pieces and stringing it together with technology is where the
differentiation comes and where the efficiency is built. So, for example, I said we are an asset
light company, so we don't own any transportation fleet, nor do we have an extensive network
of our own wareho uses. So, we will lease these facilities from third -party providers and make it
into our solution when we go in for our customer engagement.
Moderator : Thank you. The next question is from the line of Disha Gir ia from Ashika Institutional Equities.
Please go ahead.
Disha Giria : Sir, first I wanted to understand, there has been de growth in the I SCS segment in the India r egion.
So, could you give some idea on the same? The NS segment has performed exceptionally well
in both India and rest of the world, but the ISCS segment faced a 6% decline. So, could you give
some flavor on the same?
Ravi Viswanathan : Let me probably first take it and then Ravi Prakash can add to it. As you have seen from the
data, Q1 has been relatively soft in India, probably because of the elections , but what we did see
was a higher push towards export s. And that explains why we had a higher NS business as
compared to the ISCS business. But from an IS CS perspective, w e have quite a few deals out
there in the pipeline which is looking very healthy . I would call it a quarter phenomena rather
than anything which is trending. Ravi you may want to add to this.

Ravi Prakash : Disha , I kind of build on what Ravi Viswanathan already said. I will look at this more as

a timing
thing. If you go back to what we had put out in the Q4 Earnings , we had given three years CAGR and you will find that across 3 years, all three businesses, Europe, North America and India were growing at about 17 % to 18%. So, over a couple of quarters, these things normalize , sometimes because of the timing of deals or like Ravi talked about elections or a couple of things, one or two quarters mi ght be up or down , but over a four to six quarter period, these things normalize.
Disha Giria : So, for the FY ending March 2025 , what would be your outlook for the NS segment?

Ravi Viswanathan : For the NS segmen t ? Look for the NS segment in terms of the revenue that you have seen in this quarter, that is probably a good number to start with because we kind of see that run rate continuing. The only change and that maybe we can look at it towards the end of the calendar year is the Red Sea . Right now, prices are a little bit elevated. There is an impact of approximately Rs. 30-Rs. 4 0 crores on revenue this quarter because of the Red Sea situation . That maybe in the next couple of quarters we will have to reevaluate. Other than that, the underlying trends, I would expect them to continue.
Disha Giria : Secondly, in the annual report, if I see your total number of customers has been kind of declining like it was 10,531 in FY 22, but 6 ,909 in FY24, so could you give some sense on it?
Ravi Prakash : So, Disha, actually I would like to break it up. So, we have two kinds of customers . About 2000 to 3000 customers are wha t I call the core customers who ha ve been there for a very long time. But in the freight forwarding business, we have a long tail of customers. And many of them came on board during the COVID period and they are more tactical in nature. They might do a couple of shipments and they might fa ll off. So, that is the reason you will find that the number of customers has declined. But on the other hand, if you look at the business development every year, we have been doing the same numbers, Rs. 1,200-Rs. 1,300 crores and the revenue has grown. So, in terms of real revenue, what do you call big revenue contributors , we are doing well, and the number of Fortune 500 customers is actually going up year-on-year.
Moderator : Thank you. The next question is from the line of Anshul Agarwal from Emkay . Please go ahead.
Anshul Agarwal : Sir, could you throw some light on the difference between the Indian supply chain market versus other developed markets. I understand we are far behind in terms of evolution, but say in terms of margins, competitive intensity or efficiency, productivity leve rs that we would have in the Indian markets versus the developed market ?
Ravi Viswanathan : So, I think I partially addressed Anshul , in the first question, but the Western hemisphere is predominantly, I would say driven by large outsourcing opportunity. So, typically you would go and pitch for moving entire sourcing and procurement of the certain organization s or managing the entire operations of a certain industrial customer or managing the entire aftermarket for auto provider or the like. So, they are typically larger deals positioned as outsourcing opportunity and they are also typically multiyear deals with built -in efficiencies year-on-year. So, if you look at it from an IT perspective, which is multiyear every year, efficiency is being ba cked in , so that by the end of the outsourcing period the company has had a significant cost takeout and efficiency build in into their supply chain operation , in India it is more evolving . And secondly let me also say that it is highly system driven meaning IT, and it is easy for us to price the IT in those kind of outsourcing deals or bake it in as part of the pricing in a very transparent manner. In India, I would say it is still

evolving. I don't think we are seeing the likes of such outsourced
deals. We probably saw one or two early in 2021, but since then we are not seeing very large -

scale outsourcing deals. So, where we see our sweet spot is in taking parts of operations which we believe are inefficient in a customer organization and go and build a tailor made or a bespoke solution using technology components and building in that efficiency. So, from a pricing perspective , it is aggressive, more competitive. From a com petitive perspective, I would say the market is probably as comp ared to outside as it is here and on the I SCS side, the margin profile would be not very different. It wil l be similar, but maybe Ravi Prakash can throw some light on those . But largely I would say systems, processes, outsourcing and the maturity of outsourcing is high in the western market is more evolving here in the India market .
Ravi Prakash : So, let me build Anshul , with a little bit of specific numbers, which probably might help you. If you take a typical Indian supply chain contract , three years is probably a good number. The customer relationship itself might exist for 10 -15 years, but normally you would probably look at a three -year contract . In the UK, 5–7-year contract is quite normal . In the US as well , you can

actually look forward to 5-7. There are contracts in the UK which you can go up to 10. So, in general, the average length of the con tracts and I would refer you back to our Q4 Earnings Presentation , where we have given the average length of the contra ct for various geographies, you wi ll find it is longest in Europe a nd then India and then North America. So, that is thi s. In terms of preparatory phase, typically in an Indian contract you are working for about maybe 6 months before you start up from the time you know of an opportunity to actually you starting to recognize revenue. I am not doing exact math, but anecdotally I would say about 6 months could be the leader. In the UK, it would typically be around a year at least if you are talking about large contracts which are about 5 to 7 years old . Now, h ow does that help in the margin profile? I will go back to what Mr. Ravi Viswanathan said, systems, processes and that means S LAs a nd in terms of deliverables are very tightly and in a great level of detail defined in the overseas market. The plus of that is you can plan your operations very well , so the degree of predictability is very high and if you execute the plan, the predictability of margins is very high. The margin absolute percentage itself may not be very different, but the predictability of margin is very high outside of India a s long as you are meeting your deliverables. So, the ISCS business itself from an EBITDA perspective as a portfolio, we don't look for a country versus another country because most countries are actually moving in a similar region, except that the moment when you have a much longer contract, you have a better chance to plan, and you have a good period of ramp up and you have a longer period of burnout. I hope that kind of gives you a sense .

Anshul A garwal : Definitely. A follow up question on this, since contracts in India are slightly shorter or way shorter than probably US or Europe, s calability in India would also be a challenge because from what I understand in this market , you need to demonstrate , you need to first because these are all customized contracts, right , you need to understand the customers business es, processes, then demonstrate how you will add value and then probably you will get that contract. Please correct me if I am wrong ?

Ravi Viswanathan : I think what you are saying is right, but scalability is not a challenge. What you are saying is absolutely right.

We have to prove the concept. We probably would run a quick pilot to ensure that the systems and processes that we are talking about are proofing the solution. But scalability per se, we can do a fair amount of lift and drop of processing systems across engagement. So, that is probably something which we are focusing on and to

Ravi Prakash: just to build on that, see look there is one thing which is very similar between India and rest of the world . The contract to me is only a paper definition of a project. The relationship actually in both cases is at least 10 to 11 years. In both countries, both India and rest of the world , customer might in India renew the contract every 3 years and the customer in the UK might renew it once in 5 or 7 years. But if you look at our 20-year experience has been that the length of the customer relationship continues. So, going back to your scalability questions, when we go into a customer, our intention is that we are going in with , hey listen , we are here to make a long-term difference to the customer 's supply chain . That is how we operate and therefore we can actually deliver value.

Anshul Agarwal : And even just one last question on this again , so can I say operating leverage only kicks in by farming an account?

Ravi Prakash : No, l et me clarify the operating leve rage. There are two parts to the operating leverage. See, there i s a contract level leverage and then there is a company level leverage. When you talk about a contract level leverage , at a contract, let us assume you are trying to take a contract at a gross margin of X. That leverage moves in a pretty narrow band , 50 to 100 basis point s. If you have a contract, which is geared for X , it is never going to become 2 x, nor is it going to become 0.5X because there at the contract level it is a pretty narrow band, and our contract is a unit of measure . What we are banking on is actually not contract level operating leverage , we are banking on company level operating leverage. What do I mean by that? If today we have, I am just making a few 1000 contracts in the company , all these contracts are supported by a sales team, a solutions team , finance, HR, management. That total cost of the company is approximately 10 .5% to 11% to the company of the revenue . If I take a global benchmark, that number can come down to anywh ere between 8 % and 9%, so there is about 200 to 250 basis of leverage available. What we are banking on is if we can as a portfolio keep our gross margin percentage in a narrow band, every incremental contract at the EBITDA level and at the more importantly at the EBIT level contributes higher than the existing business and that is what I call company level leverage, which is what we have been , even again, I will refer you back to our Q4 earnings presentation, what we call as operating leverage that is what we refer to for long term margin growth.

Moderator : Thank you so much. The next question is from the line of S oumil Shah from Par as Investment. Please go ahead.

Soumil Shah : Sir, in your presentation you have a medium -term outlook of 4% PB T by FY27. So, how confident are we to achieve that? And can you also guide us on your revenue front by FY27, what revenue growth can we look at?
Ravi Viswanathan : Let me answer that question. Let us look at it as two parts. The revenue growth is driven, like I said across what I would call 3 fundamental drivers. One is what I would call as large contracts today that we are participating in, which o therwise we were not participating in. So, I told you that the average deal size in the UK has tripled , the average deal size in the US has more than doubled and what it basically means that today we are into more of the multimillion multiyear contracts than we ever were before and that was c

oming because we have a very strong now a
track record and also th e ability to now win and deliver large size pro jects. So, first and foremost, that is going to be a significant inflection point in terms of our revenue numbers . Our revenue should exponentiate going forward given that we are participating in quite a few large deals and winning just one, two or maybe three of them could significantly alter that graph in our favor . The second is we are today working with a lot of Fortune 500 customers and one of the things that we have done is to spawn off a global account management pro gram where we are saying for an account , we do now have a one account manager who is looking at the opportunity landscape not just within one region, which is how it used to be in the past, but the entire account and globally and therefore creating more opportunities both away from the home geography and also in multiple capabilities that we operate in . That has increased the throughput of opportunities and therefore an expansion of the pipeline and the potential for us to convert them into revenue in the short to medium term, so a gain another driver which gets our revenue in. The third, I would say is a huge differentiator. I spoke about AI that we are deploying at scale. We have always showcased our technology and today we are showing more and more of that. We today in three main geographies, that is the US , in Europe and in India we are showcasing AI at scale, we have an early AI program now in Asia Pacific too. So, the entire operations of ours, we will have showcase d AI programs at scale and how we are bringing that to bear when it comes to our solutioning and therefore differentiating ourselves in the market . And our engagement with one of the leading universities in the UK is only going to further that or accelerate that whole progress. So, three main components, large, ve ry large deals, global accounts a nd thirdly, the way we are leveraging technology in our solution, all of that puts us on a path to exponentiate our revenue growth and of course with that revenue growth comes opportunity for us to scale our EBITDA and PBT numbers and Ravi, you want to touch upon any of the margin related , 4% margin that Soumil has spoken about?
Ravi Prakash : Soumil, to me, the 4% in the company, if we think about it as if you are about 3 years away, 12 quarters away. And that is what we have been saying from our first earnings call . Every quarter has to be better than the previous quarter. So, in four quarters, what can we demonstrate , the PBT margin in Q1 FY25 is 100 basis points better than what it was in Q1 FY24. And sequentially, it has been better for the last three quarters. That is what we are focused on. It goes

back to my comment about company leverage. The three levers are very simple. Have a strong pipeline which leads to double -digit revenue growth , step one ; manage your gross margin in a very tight band , step 2 ; keep your overhead growing at a rate lower than the revenue , step 3. Naturally, t 3he incremental gross margin most of it falls down to the bottom line and therefore at the company level leverage improves your P BT margin . And we are managing our debt again in a very tight manner. So, that is how we plan to build it and at the moment, we believe we are on that track.
Soumil Shah : So, at least, in terms of revenue, we can see a double -digit growth, year-on-year?
Ravi Viswanathan : I don't want to fall short of giving you guidance, but the organization ’s focus is definitely towards converting all of these large deals and hopefully also get s significant mileage out of the global accounts that we ha ve identified.
Soumil Shah : And sir, what is our gross total debt position as on today?
Ravi Prakash : Rs. 775 crores, all of it is only working capital debt. It used to b

e Rs. 795 in Q4 and before the
IPO it was Rs. 1,700 crores. So, it came down from Rs. 1,700 crores to Rs. 795 to Rs. 775. I think what we have done is incremental revenue, the working capital required for that, we are funding internally. So, we are keeping the debt in a very narrow band .
Soumil Shah : But sir, I a m unable to understand in every quarter , I think this quarter we have paid about Rs.

40 crores interest. So, yearly it comes to around Rs. 160 crore and the debt is around Rs. 800 crores. So, I am not able to understand why so much….
Ravi Prakash : Let me clarify that . The interest portion, because the inte rest number includes the IndAS interest. If you actually split it out, the bank interest is actually Rs. 17 crores. So, on Rs. 775 it is Rs. 17 crores per quarter . Right now , we are at about Rs. 17.2 crores per quarter.
Soumil Shah : And t he remaining amount ?
Ravi Prakash : That is the IndAS interest, the lease rental interest that is just an accounting thing .
Soumil Shah : And sir, same way with the depreciation part also?
Ravi Prakash : Same thing with the depreciation. The IndAS depreciation is different from the actual depreciation.
Soumil Shah : So, what could be the actual depreciation ? Could you please guide us?

Ravi Prakash : I think we have given that in the balance sheet in Q4. You can look it up or later on, maybe follow up with our IR team, we will give you the numbers, maybe we give us another chance because there is a long question queue, if you don't mind, let us give others a chance.
Moderator : Thank you so much. The next question is from the line of Bharat Sheth from Q uest Investment. Please go ahead.
Bharat Sheth : Sir, my question is related now when we are talking of large deal , see in some of the deal that where we have to buy the material on our account on behalf of the customer like particularly servicing ATM and all , such kind of a deal. Now, when we are talking of such a n ew deal which we want, does it include that also and on account of that how much additional working capital we may need to require?
Ravi Prakash : So, let me answer that Bharat . In general, we don't take inventory on our b ooks, for example the large UK utility company deal , there is no inventory involved. In general, we prefer to take a pure service contract where we are only paying for people and maybe some of the equipment and technology that we put in place . That is the general policy of the company. Having said that there are a few deals and I underline the word few where lar ge customers would like you to make their process simpler. Buy inventory on their behalf and just not buy , they would like you to store it . In many cases, do some kind of value addition to it in terms of assembly or whatever it is and deploy it . So, whenever we take a deal which involves some inventory purcha se, we don't take a standalone inventory purchase deal. Typically , it is combined with other services that we offer and th ose deals are not , we are very careful about the number of such deals we take and those deals are always backed by very strong working capital practices from the customer. For example, we do these deals in the UK and US. In most cases , we have very favorable payment terms. So, the working capital that we deploy on that does not actually place a burden on the company . Therefore, in fact, if you look at it, our material cost this quarter has gone up significantly because of one of those contracts in the US, but you will see that my debt has not gone up. The gross debt has not gone up . In fact, it has come down because we are able to manage the working capital quite well.
Bharat Sheth : Then s econd question is now when we pur chase inventory and keep in on behalf of the customer , so who in case of movement of the prices of those inventory

, who will bear the risk?
Ravi Prakash : That we don't take any risk at all. So, we don't take any risk of total quantity or price of inventory. That is 100% with the customer. We never speculate on price or quantity. So, the inventory is always procured based on a fixed or a forecast by the customer. And typically, we always have an understanding in terms of the utilization of the inventory. So, in fact, if you look at our financials over the last 5 -6 years, you will never see anywhere where there has been a risk either on price or on inventory write -off.

Bharat Sheth : And g oing ahead , it will not affect any way either our profitability or working capital requi rement. Is that fair understanding ?
Ravi Prakash : Yes. See, look at the profitability, right, you think of these contracts as part of the overall mix. There are some contracts which come here, and we tend to look at the advantages of doing these contracts because if you are doing inventory for a customer, the customer is that much stickier with you. We do it selectively for very good customers and we kind of do it. And l ike I said, we are quite confident that we can manage the gross margin percentage at the overall portfolio level .
Ravi Viswanathan : So, just let me add to that , Bharat. So, today one of our largest customers in the US, we started the relationship with an engagement which was probably more to do with the kind of one that you mentioned. And we were billing maybe about $5-$6 million a year to the customer. Today , we have expanded the scope of services with that customer, where we probably are billing the

same amount on a monthly basis . So, many times it is to our tactical advantage, like Ravi Prakash said, getting into the engagement creates stickiness with the customer. We also have a very strong understanding of what happens to those inventory items and therefore the ability for us to go back with proactive proposals where we can value add and create more opportunities for us to engage in. So, this is a classic example in the US where we started predominantly with this kind of an engagement, but today we are full services player, billing almost $5-$6 million a month.

Bharat Sheth : Second question, last year we rationalized some of our warehousing , so currently now where do we stand in that process of rationalization of warehouses ?

Ravi Prakash : So, look this thing as looking at our warehousing space and network is a continuous process . Every time as we look at our deals , as we see the business footprint, we keep evaluating our warehousing space. We keep evaluating the network and we keep adjusting it accordingly depending upon what we know of existing customers and what new contracts are g oing on . So, I look at this more as an ongoing process, it is not a onetime thing.

Bharat Sheth : And are we seeing more occupancy in our warehouses in India?

Ravi Prakash : So, in our case, we typically don't take warehouses on “a speculative basis. ” All our warehouses are back ed by customer contract. So, it is not that first we do a warehouse and then look for customers. It is typically we win the contract and then get a warehouse. So, most of our warehouses probably will be operating it upwards of 85% capacity .

Bharat Sheth : And international also the same way ?

Ravi Viswanathan : Yes, the model is similar.

Moderator : Thank you very much. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah : Sir, I had a few questions. So, firstly, you indicated that the margin in the I SCS busi ness could be in the range of 9.5% to 10% going forward as well. But if I look at your last year , in the first 9 months , margin s were around 10.4% between 10 % and 10.5% range, so why has the margin come

off and are these levels sustainable or there is further possibility of a reduction or we can go back to that 10 %-10.5% levels as well?

Ravi Prakash : So, Vaibhav, actually if you go back last year, right, and we had said that in the earnings call earlier as well, there was about onetime income on consultancy that we had in one of those quarters which took the margin to 10.4%. In fact, as we went into the IPO, we had said 10% as an “aspirational goal ” for the segment. And we have always been saying that we seem to have gotten there much faster and that is why we ha ve kind of given a range of 9 .5% to 10 .5%, 9.5% to 10% . So, at the moment we a re quite comfortable in the range of 9 .5% to 10 % and that is what we should see coming in the next couple of quarters as well.

Vaibhav Shah : Sir secondly, if I look at the growth in this quarter both in terms of revenue for I SCS and NS segment, so that revenue growth should be similar for re st of the year as well on a Y -o-Y basis ?

Ravi Prakash : Let me put it differently , Vaibhav. If you look at the I SCS revenue , you can see sequentially for the last 4, 5, 6 quarters , we have been adding about 3 %-4% every quarter, right . If you go back to our guidance , it is very simple , the business development is running at about Rs. 250-Rs. 260 crores. You have the base revenue of ISCS that can give you a pretty good sense of where we are. Revenue is predictable and from going forward, if anything, this quarter's revenue should replicate and might proba bly move up a little bit. That is where we are . On the N S segment, I also said that this quarter we had this one time, how should I say , I won't call it a benefit , elevation because of the Red Sea surcharge, which is roughly equal to Rs. 40 crores this quarter. Now , I don't know how long this will continue, but at least for the next couple of quarters, that is something that is probably “extraordinary .” Other than that, the rates if you adjust for that i n the freight forwarding segment are pretty much back to normal levels. So, even NS revenue for that Rs. 40 crores, if you take that out, we are more or less on a decent run rate. So, that should give you a sense of where the year should end.

Vaibhav Shah : And sir, lastly on the debt side, how do we expect it to come off in the next , maybe by March 25?

Ravi Prakash: I wouldn't expect it to come off. This is probably , I would expect it to move in a narrow band , Vaibhav .

Vaibhav Shah : So, it should be in similar range, roughly around Rs. 775 odd crores?

Ravi Prakash : Definitely , I don't expect Rs. 775 to go to Rs. 500, for example, Rs. 775, maybe Rs. 800, maybe Rs. 750. Th at is more a quarterly may be we do, look significant portion of that is actually going

into, as revenue grows , some of it is going with the investment. So, we will try and make it more
the narrow. We will try and manage it in the narrow ban d. That is what I would say.
Moderator : Thank you so much. The next question is from the line of Disha Giria from Ashika Institutional Equities. Please go ahead.
Disha Giria : Sir, you briefly mentioned regarding the Red Sea surcharge of around Rs. 40 crores, s o can you just elaborate on the same ?
Ravi Prakash : So, what is happening Disha is because of the Red Sea situation, ships are having to go down the Cape of Good Hope , all the way around South Africa to go to Europe when they moved from Asia to Europe, right. So, that is actually creating a n incremental cost for the lines which they are passing on to customers and freight forward with some customers as a surcharge. So, if let us say if a container normally used to cost say $1 ,000, now you have to add the incremental cost of this round trip around the African continent to the cost. So, that is the Red Sea surcharge.
Ravi Viswanathan : Typically , the carriers a

re incurring more costs, and we don't get a percentage of that increase.
So, we see a revenue increase , but not a not a margin impact. Therefore, the margin percentage actually drops a little bit because of that surcharge. Does that explain Disha?
Disha Giria : So, going forward also would our entire like the margin percentage be around the same range as it was in 1st Quarter ?
Ravi Prakash : I think as long as you have the Red Sea situation, at least for the next couple of quarters, I think that is where we will probably see this.
Moderator : Thank you. The last question is from the line of Bharat Sheth from Q uest I nvestment. Please go ahead.
Bharat Sheth : Sir, I just want a small question on , so in global freight forwarding, which are the major route we are operating ? If you can give some color like Europe is contributing how much and other reason contribution of percentage o r total?
Ravi Viswanathan : No, I don't think we are disclosing that as yet . Hopefully we will get to that level maybe a bit later, but we basically operate around 14 lanes across the globe, 8 sea lanes and about 6 air lane.
So, China -Australia is an important lane , India to Europe, India to the US is a big lane, similarly China -Europe is a big lane. Airlines wise, Germany -Singapore, Germany -Australia, Singapore -Australia, they are all significantly large lanes, so broadly 14 lanes, 8 ocean lanes and six air lane.

Moderator : Thank you. Ladies and gentlemen, I would now hand the conference over to the management for the closing comments .
Ravi Viswanathan : Thank you so much. It was a very engaging session. I hope all of you had a good view into the company and also the performance of the company and the outlook as we go forward. I would like to thank all of the participants for being part of the discussion on the business performance and the outlook. It is a pleasure interacting with you and look forward to seeing and speaking with all of you in a few months' time . Thank you. Have a good day. Thank you.
Moderator : On behalf of TV S Supply Chain Solution Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

November 19, 2024
BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051
NSE Symbol: TVSSCS

Dear Sir/Madam,
Sub: Transcript of earnings call with analysts/ investors

Pursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Solutions Limited (“Company”), analyst call held on November 12, 2024, to discuss the financial results for the quarter and half -year ended September 30, 2024.

The transcript is also uploaded in the Company’s website https://www.tvsscs.com/investor -relations/

Kindly take the above information on records.

Thanking You,
Yours faithfully,

For TVS Supply Chain Solutions Limited

P D Krishna Prasad
Company Secretary
Encl: As above

“TVS Supply Chain Solutions Limited
Q2 and H1 FY25 Earnings Conference Call ”
November 12 , 202 4

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th November 2 024 will prevail.

MANAGEMENT : MR. RAVI VISWANATHAN – MANAGING DIRECTOR –
TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. RAVI PRAKASH – GLOBAL CHIEF FINANCIAL
OFFICER – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. J. SIVAKUMAR – HEAD INVESTOR RELATIONS –
TVS SUPPLY CHAIN SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, welcome to the Q2 and H1 FY’ 25 Earnings Conference call of TVS Supply Chain Solutions Limited . This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements do not guarantee the future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone telephone. Please note that this conference is being recorded.

Now, I hand over the conference to Mr. J. Sivakumar of TVS Supply Chain Solutions Limited . Thank you and over to you sir.

J. Sivakumar: Thank you Ri ddhi. Good evening and welcome all to the TVS Supply Chain Earnings Call for Q2 FY25 and H1 FY 25. I hope everyone had a chance to look at the financial results and investor presentation which were recently posted in the company website and also in the stock exchanges.

We have with us today Mr. Ravi Viswanathan , our Managing Director and Mr. Ravi Prakash, our Global CFO. We commence the call now with opening remarks from our management team followed by an open forum for questions an d answers.

Before we begin a customary remark, I would like to point out that some of the statements made during this call may be forward -looking in nature and must be reviewed in conjunction with the risks that company faces. A disclaimer to this effect has been included in the investor presentation and I request and hand it over to Mr. Ravi Viswanathan, Managing Director of the company to make the opening remarks.

Ravi Viswanathan: Thank you JS and good evening to all of you. Firstly, let me welcome all of you once again to our earnings call to discuss the performance in Q2 Fiscal Year 2024 -25 and for the first half of the Fiscal Year 2024 -25. I will share with you the highlights of our performance and as always my colleague, Ravi Prakash, our Global CFO will take you to the analysis of our numbers. We look forward to interacting with you as part of the Q&A session.

Before I begin, it is customary that I provide a brief background to our company to the benefit of those participants who might be joining the analyst call for the first time. T VS Supply Chain Solut ions is a tech -led and asset -light supply chain solutions provider with capabilities across the value chain. The company has two main business segments, namely Integrated Supply Chain Solutions, or the ISCS segment, and Network Solutions or the NS segment. Our presence spans four continents, Asia, Europe, North America and Oceania, with a diversified customer bas e spread across multip le sectors.

We offer bespoke and tailor -made solutions to our customers, so our customer contracts are generally long -term in nature and our customer services are predominantly in the 3PL space and in evolved overseas market s, we also offer 4PL service in the ISCS space. To summarize, T VS Supply Chain Solutions is a company with a strong Indian base and a global presence, offering

best-in-class supply chain solutions across the globe. Let me give a brief business overview, followed by the operational highlights and financial performance in Q2 FY25 and H1 FY25, and our focus areas for the remainder of the year.

The ISCS segment continues to drive the overall profitability of the company through robust customer contracts and pricing benefits. In the freight forwarding segment, the company grew its revenue impressively, despite the macro

economic factors both in the ocean side – I mean,

mainly in the ocean side of the freight traffic. Firstly, the Red Sea situation is continuing where quite a few carriers are being diverted via the Cape route, thereby limiting their effective carrier capacity, triggering longer voya ges, increasing fuel consumption and therefore running costs. Secondly, this quarter also saw dock workers' three -day strike in U.S. ports which impacted 36 ports in the Eastern Coast of the USA, and this strike impacted routine clearance and caused unusual delays in freight clearances across the Eastern sea board. As informed in the previous call, the integrated final mile or the IFM segment within the network solution segment is in the turnaround phase where we are witnessing the benefits of process excellence through digitization initiatives and smart cost reduction measures. We expect by end of H2 FY25, the IFM segment will be back to run rate profitability.

Now, moving on to the performance highlights for quarter 2 of Fiscal Year 202 5 and H1 of FY24 -25. Firstly, we continue the momentum of the quarter -on-quarter profit -led growth for the fifth successive quarter as envisaged. Q2 FY25 consolidated revenue remained flat in comparison with previous quarter, while it grew by 11% on a year -on-year basis. In terms of segmental performance, both ISCS and NS segments grew on a year -on-year basis. Business development continues to be robust across the segments and cont ributed 12.4% of the Q2 FY24 revenue in this quarter.

The company reported a PBT of INR 17.9 crores for the quarter, reflecting a strong resilience

and orderly performance. Now, a quick look at the H1 FY25 performance. Consolidated revenue for H1 FY25 grew by 11% compared to the corresponding previous year. PBT for the same period H1 FY25 was INR 31.6 crores, reflecting progressive turnaround compared to the loss in the corresponding year. With this brief background, let me hand it over to Ravi Prakash, our Global CFO who will then take you through a detailed analysis of the numbers.
Ravi Prakash: Thank you, Ravi. Good evening, everybody. An opening comment, the Q2 results reflect the benefits of sustained revenue growth and our ability to manage our borrowings in a very tight band. That's what's driving the PBT performance. Let me walk you through line by line. Q2 FY25 revenue was INR 2,512.9 crores compared to INR 2,269.9 crores for the same period last year. That rep resents 11% growth year -on-year a nd this growth was quite driven primarily by the network segment, but also a pretty strong performance in t he supply chain segment. The ISCS segment grew 6.2% on a year -on-year basis. The network segment grew impressively. It delivered a quarter -on-quarter growth of 4.6% and 17.2% on a year -on-year basis. This was driven by healthy volume growth in the forwarding business which was also supported by higher ocean freight rates. Revenues from business development maintained their momentum, with

INR 280 crores being clocked in this quarter. This reflects a pretty healthy order pipeline. We have shared the numbers in our earnings presentation.
The pip eline today stands at about INR 4,500 crores. So the combination of volume, ISCS momentum and business development helped sustain the revenue performance. Other income for the quarter was INR 28.6 crores and that was primarily due to the interest from bank deposits and forex gains. With this, the total income for the quarter was INR 2,541.5 crores which is a 11.9% growth on a year -on-year basis. When we look at H1 performance versus H1 of last year, the revenue performance is quite similar. We again grew 11%, pretty much in line with what we have been indicating in the past.
So, the number was about INR 5,552.3 crores versu s a corresponding number of INR 4,551.8 last year. Segmentally, IS

CS grew 7.2% while network segment revenue grew 16%. Now I will
quickly move to an explanation of how some of the major expense line items have evolved. Material costs for the quarter were about INR 434.3 crores. They reduced on a quarter -on-quarter basis, but increased on a year -on-year basis. The simple explanation is this is due to the change in the business mix in some of our overseas entit ies, which actually carry inventory as required on some contracts.
However, any fluctuation in inventory cost has been able to be offset within the gross margin through either operating leverage or efficiencies. Freight, clearing forwarding and handling expenses being variable in nature, increased due to the higher volume of trade handled in the GFS business and due to the additional surcharge levied by ocean carriers on account of the Red Sea situation. That's the reason that this expense line was up by almost 30.7 % on a year -on-year basis and 1.6 % on a quarter -on-quarter basis. Employee benefit expense for the quarter was INR 576.2 crores. It's kind of flat year -on-year as a quarter -on-quarter basis.
This reflects the fact that we are deploying additional manpower only as required within the gross margin of incremental contracts, but other wise having a pretty tight rein on our employee costs. On the EBIT, Q2 EBIT numbers probably are better read after normalizing for the impact of forex losses and business transact ions to the extent of about INR 7.51 crores. Normalizing for that, that would reflect a 6.9% growth year -on-year.
In conclusion, the ISCS segment continues to drive overall profitability, where you can see that EBITDA margins have hit almost 11%, and PBT margins have improved 100 basis points versus the same period last year leading to a INR 17.9 crore s PBT. We expect to build on this momentum in the ensuing quarters. I'll be happy to provide further details during the question - and-answer session, and I'll hand it now back to Mr. Ravi Vishwanath.
Ravi Viswanathan: Thank you, Ravi Prakash, for the analysis. Let me touch upon business development and the key engagements. The sustained quarter -on-quarter profit led by growth is backed by strong BD. Our BD contributed about INR 280 crores for Q2 FY25 and INR 526 crores for H1 FY25, reflecting robust performance. We have those details in the investor presentation pages 11 to 13. We informed in the last earnings call how the company is able to win large deals in the mature markets, both in the UK and in t he US after winning transformational deals in the UK and USA.

During the quarter, we won a significant new contract with a large industrial customer in North

America. This is a multi -year transformational engagement with a total contract value in excess of INR 2,200 crores. This long -term transformational engagement is a testimony to TVS SCS specialized capabilities in complex assembly and automation and the value that we bring as a supply chain outsourcing partner.

Further in the ISCS segment, we had a global auto OEM based in the USA, leading beverages company in the UK, engine manufacturer based in India, a global agri -equipment company based in the USA and also from a kitchen equipment manufacturing company in the UK, where we have own fresh business.

Some of the new customers wins in the network solutions segment included a global engineering equipment manufacturi ng company, a system integrator/ IT services company, a two - and three - wheeler manufacturing OEM in India, a global digital equipment manufacturer based in the UK.

As in the past, the pipeline of new opportunities continues to be strong and we are building on that strength quarter -on-quarter. And it currently presents a revenue opportun ity annualized in excess of INR 4,500 crores. In the last quarter, we announced a 7-year strategic multi -supply

framework contract with the UK agency for providing critical system spares and support, ensuring enhanced availability and operational readiness for their customers worldwide.

TVS SCS UK continues to be a key contributor by meeting the aspirational needs of the UK governmental agencies towards value creation. We also secured a new business contract from a leading manufacturer of earth -moving and construction equipment for managing thei r in-plant warehousing and logistics operations at their facilities for 3 years. This contract further signifies the growing contribution from the company to customer needs over the last two decades.

The company with a widespread geographical presence has been catering its bespoke solutions to multiple marquee customers. And through our global account management program, we have embarked on tapping the cross -selling opportunities within each of the ide ntified marquee customers.

Currently, we have more than 190 proposals across these global acco unts valued at approximately INR 1,800 crores, which are the multiple stages of contract structuring and negotiations. This capital base augurs well for revenue maximization and growth in the ensuing quarters. We continue to focus on delivering state -of-the-art IT -enabled solutions with sec urity features enabled for every business area.

We delivered an end -to-end IT solution of order -to-cash and procurement -to-pay for a key auto OEM based in Singapore as part of our customer value enhancement during this quarter. As part of our security enhancement, we successfully moved to ISO 27001 stan dards in Singa pore and USA with minimal/ no open non -conformances. Deploying AI at scale is something I spoke about earlier and is a key focus area.

And in this regard, I'm glad to call out the following initiatives. We have an AI pilot project with large language model being used to support new business bids. We have a polarized light d amage

detection deployed for beverage clients in the UK and an auction price and target bidding module deployed for Courier Alliance in the UK.

In summary, the Q2 results demonstrate our ability to sustain growth momentum in both revenue and profit amid ongoing macroeconomic challenges. New business wins have added INR 280 crores of revenue for the quarter. Our global account management strategy helped us close large deals that gives us the confidence of sustaining the growth momentum.

Overall, when I look at the ability for the company over the last four or five quarters to close large deals, coupled with the fact that our pipeline is steadily increasing and given that there is a significant bias in this pipeline from our global account s that we work with, it gives us tremendous confidence going forward that our revenue engine is chugging very, very efficiently.

Ravi Prakash spoke about the ISCS margins and we are at about 11% margins in the ISCS business. And with the network solution segment getting its improvement measures that we have implemented and with the confidence that the IFM will return to run rate profitability by the end of this fiscal, we are extremely bullish about what happens goi ng forward. Overall, the results reflect our resilience in navigating a complex environment and we remain confident about our profitable growth in the coming quarters. Wit h that, let me open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.

Vaibhav Shah : Thanks for the opportunity. Firstly, on the margins for the quarter. So are these margins for especially ISCS business at 11% sustainable in the second half and even in the next couple of years?

Ravi Prakash : Vaibhav, any more questions or can I just go ahead and take that

answer?
Vaibhav Shah: Yes, second question is that for the new order that we won INR 2,200 crores. So how big is the contract and how would the revenue flow over 2026 and 2027?
Ravi Prakash : Yes. So Vaibhav, first on the ISCS margins. Look, we've always been guiding that the margin around 10% to 10.5% would be our target margin for this segment. So I would kind of say that is what probably we would look forward to in the next few quarters. The 11% is kind of, we had a very strong quarter where two, three factors came together. A couple of contracts, we were able to invoice some of the startup, wha t you call consulting related services and stuff like that initially.
So I would say a more sustaina ble level is probably around 10.5 %. That's what you should look forward to in the remaining quarters. In terms of the large contract that we talked about, we have started the buildup of the contract. The initial invoicing has started, but it will ramp up slowly and the full benefit of this contract will be seen from Q2 of FY26. That's when we'll hit the expected run rate revenue for this contract.

Vaibhav Shah: And if you could quantify your peak revenue annually and how long is the duration of the contract?
Ravi Viswanathan: So let me take that Ravi Prakash. Let me just say it's multi -year, more than 5 years. I'm restricted due to confidentiality on the term, but let me just say it's mult i-year and more than 5 years in terms of contract duration a nd we expect the steady state revenue to be around about USD 30 million. So you can do the math there.
Vaibhav Shah : Okay. And so lastly on the N S segment, we saw the margins dip to 2.3%. So can we expect around the 4.5% to 5% margin in the second half o r it will take some time to recoup maybe in fourth quarter?
Ravi Prakash: So look, 4.5%, I would say probably an exit this year is probably where we are trying to hit 4.5%. So look, we look at the N S margin in two steps Vaibhav . Till last quarter, we were doing about 4.5%. So the first step is to get back there. And that I would expect probably Q4, we probably have a chance of hitting that. But the ultimate goal remains at 7%. And that probably in the next three to four quarters we will get there.
I'll also offer a comment in terms of what's driving the margin this time, why we've got a hit on the margin. The Red Sea situation has added about INR 80 crores of revenue with literally no margin to the top line. So that is one factor. The second one is in the IFM business, we had messaged earlier that we expect the turnaround to be completed by Q3 and Q4 for the company to the business to hit run rate profitability. We are still on the same track. The IFM situation is all the cost measures and the pricin g measures we have taken are helping.
We expect that by the end of this calendar y ear, those should be completed a nd we should start seeing the benefits in Q4. And that's why I'm saying that Q4, we should probably get back to initially about 4%-4.5% and later on then aim for a more sustainable 7% in the later part of next calendar year.
Vaibhav Shah: So 3Q could be somewhere in the range of say, 3%-3.5% s omewhere between the 2Q and 4Q margins?
Ravi Viswanathan: Maybe we don't want to put a number on that. But I think I've given you a trajectory that should help you.
Vaibhav Shah: Okay sir. Those are my questions. I'll get back in the queue.
Moderator: Thank you. The next question is from the Jainam Shah from Equirus Securities Private Limited. Please go ahead.
Jainam Shah: So this question firstly is so the ISCS revenue India. If we see probably last 7 -8quarters, the revenue has been quite stagnant . I guess in the first quarter, the comment was that because of the election and all, the revenue has been hit during that particular quarter. But if we see the second quarter

also, it is down on a sequential basis. So what is happening in the ISCS India business? What kind of run rate we can expect going forward from this particular part?

Ravi Viswanathan: Okay. Any other questions?
Jainam Shah: We can go one by one, I guess.
Ravi Viswanathan: All right. So, yes, you're right. The first quarter was more to do with the macro. I would say the macro didn’t significantly change, but we also took some significant correction in our business mix. So we exited some of, I would say, not so profitable revenue items in this quarter. So hopefully we'll get back to hitting the trajectory from Q4. In our model, that's the way we look

at it. So this quarter, predominantly because we focused on profitability and exited significantly, I would sa y a couple of significant customer contracts, which were impeding our profit growth.
Jainam Shah : Got it. So on the network segment, as we are targeting 7% margin, if you would explain a bit how we would be going to that number. And what I understood from a normal industry perspective is that, of course, we can have additional margin in the IFM busines s, but freight forwarding might be having a simil ar margin going forward as well a nd if Red Sea is also going out then our revenue might be impacted because of the lower ocean freight rate.
So how we will be bridging the gap between 4.5% exit rate this year to the 7% in the next 1 or 2 years time? What could be the things that we would be doing specifically for the freight forwarding segment that might add up to the margin o r is it just IFM that will be adding up to the margins?
Ravi Prakash : So let me take that question. I would think of two levers. See, the Red Sea situation is at some point, I mean, if you think of the P&L of the freight forwarding business without the Red Sea, you would already probably add 40 -50 basis points to that segment because you will strip away unnecessary revenue and unnec essary costs, which are just inflating both lines. So that's the first step. The second step is, I think, as we have seen over the last couple of quarters, freight rates in general have normalized except for the Red Sea.
So therefore, margins are returning to a more normal level, which if you went back in history, we were able to do about 7% EBITDA margins in the freight forwarding segment. So we are actually not very far away from that on the freight forwarding segment. N ow on the IFM, honestly, what is really pulling us back at this stage is, the IFM margins, which also used to be in the range of 7% or upwards, if you went back a few years, those are tracking significantly below where we expect them to be.
We have talked about it in the past this is because of a number of reasons, a few profitable contracts that were wound down, inflation in the UK, then there is increase in minimum wage in the UK, energy inflation. So a number of factors have come together. We have put in place measures to address a ll this, both pricing as well as cost measures. I always said that by end of Q3, we should be able to hit a more reasonable number there. And I believe we are on track for that. Q4 should be the first step.
So the IFM business, which is almost INR 1,800 to INR 1,900 crores of revenue on a run rate basis, the moment it hits reasonable margins, already you will see the impact on the network segment and that I expect to happen in Q4. And afterwards, when it hits its more normal run

rate, that is the second step towards getting back to the seven. So that is the two steps that I see in this segment.
Jainam Shah : Got it. And sir, from a longer term perspect ive, if we see from the next 2 years , 3 years perspective, of course, we are having a really good order inflow as well as a really strong order pip

eline as of now. What we are foreseeing in terms of the top line growth, like what kind of percentage revenue growth we can expect from a 2 years , 3 years perspective or maybe let's say medium term perspective, on a consistent basis?
Ravi Viswanathan: We are positioned to have a double digit growth and we are targeting somewhere in the mid - teens. That's the range you can think of as the rate of growth over the next 2 years to 3 years.
Jainam Shah : Got it. Sir, and just one clarification question. What has been the forex gain this quarter? It was INR 7.51 crore s if I'm not wrong? The other income that we have reported of around INR 28 CR, what was the forex gain out of this 28 CR?
Ravi Prakash About INR 14 crores.
Jainam Shah : Okay. Interest would be around INR 7, INR 8 CR?
Ravi V Prakash : Yes, that would be the number.
Jainam Shah : Okay. Got it, sir. This is from my side. Thank you so much, sir.
Moderator: Thank you very much. The next question is from the line of Ritesh Poladia from Girik Capital. Please go ahead.
Ritesh Poladia: Thanks for the opportunity. Sir, my question pertains to the supply chain side of a business. India, as you explained, there is a decline. So, how is the future going forward? The growth will be led by the new customers or it would be volume growth from the existing customers? Also, which sectors we are targeting from India side?
Ravi Viswanathan So, we are in an interesting situation in India because there is definitely a lot of interest for a lot of companies to look at the China plus one strategy or t he India strategy. And therefore, that is remaining a potential opportunity for us. We expected that to materialize sometime this year, but the velocity of that is not as much as we anticipated.
So, going forward, we clearly see that as an opportunity, clearly see a lot of MNCs moving part of their production base or their procurement base to India. That will give u s opportunities both

in the ISCS segment and the GFS segment.
We are in dialogue with a couple of our large global accounts who are looking at that as a strategy, and clearly that will represent an opportunity for us too. So, I would call that as new revenue. And then, for us the sectors that we look at, clearly we look at distribution, FMCG. This is a sector where we are seeing a lot of opportunities.

We are already participating in some of that and therefore we look at that growth continuing to deliver. So, that will be more what I would call an encirclement opportunity. As the volumes go up in each of these businesses, we will tend to grow.
And of course, we have a fair exposure to auto and with a good mix of two-wheeler, commercial vehicle and passenger vehicle. We see a clear uptick in the two -wheeler segment. The other two segments are still, I would say, flat to damp. We expect those two sectors also to kick in as we go forward over the next 2 years to 3 years. Maybe even in the next four to five quarters, we expect these two sectors also to start showing significant departure from their stagnant position.
Ritesh Poladia : So, India business can have a flat revenue at least towards the end of the year or the decline will continue?
Ravi Prakash : What was the question again?
Ritesh Poladia: On a full -year basis, can we see the flat revenue on a year -on-year basis or there will be a decline even on a full -year basis?
Ravi Viswanathan: So, there will be a marginal improvement, but on a year -on-year basis, it may probably remain flat.
Ritesh Poladia : Okay. Also, in the rest of the world business, you h ave delivered about 15% growth, b ut how do we see in the rest of the world business given your aspirational revenue target of USD 2.5 billion, what can be the growth going forward?
Ravi Prakash : So, that's why I was saying that for us, the growth number

should be in the mid -teens as a
company because as we return to n ormalcy in the network segment. A s you can see, network solutions are already now at about 17% growth. So, the ISCS business we think will be in the 12%, 13% growth as a company.
And that will be aided both by the rest of the world and India business. The rest of the world is, if you look at the pipeline, it is split exactly in terms of how the revenue split is. It's about 30% India and 70% non -India in the ISCS business. So, I think the rest of the world will continue to keep its growth trajectory. So, we continue to push ourselves to get to that number, which is an aspirational number of USD 2.5 billion.
Ritesh Poladia : Sure. And last question would be, there is a new contract of INR 2,200 crores with the industrial customer in North America. So, what's the duration of this contract?
Ravi Viswanathan : So, I just mentioned to a previous question that we are bound by contrac t not to disclose the duration, b ut I did also mention there's multi -year and you can put a number greater than 5 years. And our annual billing would be about USD 30 plus million . So, you can probably look at it that way.
Ritesh Poladia: Yes. That’s all from my side. Thank you sir.
Moderator: Thank you very much. The next question is from the line of Disha Giria from Ashika Institutional Equity. Please go ahead.

Disha Giria: Good evening, team. So, my first question is, I want to actually understand the interest cost and debt. So, last year, we had a decline in our debt and a INR 35 crores decline in interest cost. And this year if I see our debt has increased in the first half. So, what are we looking at as an exit for FY25 in terms of debt and interest cost?
Ravi Prakash: So, from our interest cost, Q2 should represent pretty much where we are going to be for the next couple of quarters. I think from our actual interest was about around INR 18.1 crores. And that's where we expect it to be for the next couple of quarters. In terms of gross debt for the company, I think we will probably be pretty much where we are today.
I would say the gross debt, just give me a second in terms of the number. It has gone up by about INR 100 crores in the last quarter. We expect that maybe in the next couple of quarters to fund a couple of working capital initiatives, maybe another INR 50 crores. So, we might end around INR 900 to 950 crores . That's the range, b ut then rates are coming down interest rates. So, that's why I would kind of keep the interest at the same level, around INR 18 crores .
Disha Giria: All right. My second question is, in the last few quarters we have been obtaining several

contracts. And I want to understand what is, I mean, in what stage are those contracts currently? Are we recognizing revenue from it o r is it still pre -revenue stage l ike last quarter also, we had certain new contracts. This quarter also, we have a new contract. So, jus t wanted to understand the same?
Ravi Prakash: So, this quarter, the supply chain segment actually benefited from some of what you would call the pre -revenue stage. Because even in the pre -revenue stage, we do get some fees from the customer for the initial planning and the setup cost. So, that's one o f the reasons why I said, in my answer on the supply chain margins, we have got very elevated margins because we did get some unforecasted revenue from this large contract that we were messaging about.
The actual, I mean, what I call proper project revenue like we said for this contract will probably be Q2 of FY26. Now, this is an extraordinarily large contract, b ut in general what you will find is that we have a standard lifecycle for our contracts between 3 months to 6 months from the time we actuall y win the contract to execution a nd that's when we start recognizing revenue.

Disha Giria: So, till last quarter we were discussing about an agricultural contract based out of, I think, US or UK. So, are we recognizing revenue for that contract in this quarter?
Ravi Prakash: Yes, I mean, look, whatever we had messaged as last quarter, I think we are recognizing that revenue for this quarter.
Disha Giria: All right. Thank you. That is it from my end.
Moderator: Thank you very much. The next question is from the line of Saumil Shah from Par as Investments. Please go ahead.
Saumil Shah: Hi, thanks for the opportunity. I have a couple of questions. Sir, we have stated our vision for profits of USD 100 million that is INR 800 crores in next 3 years, whereas currently we are still

doing INR 10 crores of profits quarterly. So, what do you think we can close this year at and by when we can reach our vision of INR 800 crores of profits?
Ravi Prakash: So, look, the vision we had stated was that on a USD 2.5 billion revenue, we want to get to a 4% PBT margin, which is about USD 100 million. And that is profit before tax, not profit after tax.
So, I just want to clarify that. In terms of our profit, the way I would look about it is, if you look at our trajectory for the last few quarters, we hit break even in Q3 of last year. We hit about INR 4.5 crores in Q4 of last year. Then we hit about INR 13 crores in Q1 of this year a nd now we are at about INR 18 crores.
The endeavor of the company is to keep building this profi t run rate sequentially quarter -on-quarter. And obviously, also build a profit margin also accordingly. So, at the moment, we are just around about a half a percent margin. And we keep kind of, if you keep building about we always message that about 50 to 100 basis points is what we like to see as an improvement on every four quarters. If we stay on the track, we should be able to get to that run rate that we are talking about.
Saumil Shah: Okay, so gradually, maybe next year, we can have 2% PBT and then the later year, 3% and then 4%.
Ravi Prakash: Yes, I mean, that actually is the outlook without actually putting numbers to every year, every quarter, we would like to do better than what we did in the last quarter. And we've been able to do that for the last three quarters.
Saumil Shah: Okay. And so almost all of our profits are eaten away by interest and depreciation costs. So are we planning t o reduce this gradually or year -on-year as per our business model, this cost will keep on increasing?
Ravi Prakash: No, in fact, we always said that the asset turns that you take, if you look at our asset turns over the last 3 years or 4 years you will see that consistently, you take the total fixed assets in the balance sheet including our right of use assets, you will find that the asset turn has been steadily improving. And in one of the calls, I still remember talking about the fact t hat there is further scope for improvement.
So one thing is for sure, the rate at which our revenue on gross margin is growing, definitely the assets are not growing at the same rate. So there is operating leverage available there. And therefore, that would be one of the levers to actually improve the EBIT and the PBT.
Saumil Shah: Okay. T hat's it from my side. Thank you and al l the best for future quarters.
Moderator: Thank you. The next question is from the line of Saniya Desai from Elevate Research Marketing. Please go ahead.
Saniya Desai: Yes, good evening. So thank you for the opportunity. I had a couple of questions lined up. My first question is, so you have mentioned that we won a large contract in North America in excess of INR 2,200 crores. Can you let us know the tenure of this contract? Also, is this equally spread across the years or we will gradually pick up?

Ravi Prakash: So, Sani ya, I think as we'd already said, confidentiality prevents us from talking about the exact tenure. It is definitely more than 5 years. The revenue from the contract, part of it, the pre - revenue as we see, the start -up part of it, we already started recognizing. That's one of the reasons why the ISCS margin is elevated in this quarter. What we expect is between now and Q2 of FY26, we would be recognizing little bits of revenue as we get ready for the contract. The first full run of the contract revenue you see in Q2 of FY26, and probably by the end of calendar next year, the run rate will be achieved.
Saniya Desai: Okay, s ir I got it. Also, what are the strategic prior ities for impairment ? Do we focus on revenue enhancement or we would want to stabilize the margins at the cost of our revenues?
Ravi Viswanathan: Okay, let me just take it and then Ravi Prakash can add more. So, clearly for us, the focus has been in ens uring that we bring the N S segment into a target profitability. So, there are two subsegments, the global freight services (GFS) and the integrated final mile (IFM) segment. So, in the GFS, the focus is really on saying how do we get better procurement and drive the margins. On the IFM, it has been work in progress. We message that we are in a good shape currently and we expect that we hit a target run rate profitability by Q4 of this fiscal year.
So, the focus is to first return to profitability. We do not want to say a compromising revenue, but if it comes to that, that would be the focus, get the profitability right, which is where we are currently. So, just want to message that that trajectory is as planned from our internal perspective. Anything you want to add?
Ravi Prakash: So, I will just add on to that. Look, we do believe that it is possible to add INR 1, 000 crores to INR 1,200 crores of revenue in a profitable manner. I am talking about overall as a company and that is what we have been trying to do. And we are committed to this 50 to 100 basis points improvement in margin across the company at an EBIT level every four quarters. So, it is profitable revenue growth. That is what we are after.
Saniya Desai: Okay, sir. Got it. That answers my question. Thank you so much. I will get back to the queue.
Moderator: Thank you very much. That was the last question. I would now like to hand the conference over to the mana gement for the closing comments. Thank you and over to you.
Ravi Viswanathan: Thank you and thank you for your questions. In summary, I would just like to say, look, Q2 has been a good quarter. We continue our growth momentum. We have had significant large wins and also significant BD which has enhanced our revenue capability and trajectory. Our IS CS margins are better than what we had planned. So, we hope we can continue on that same trajectory.
On the network solutions, clearly there are challenges in the macro as far as the GFS business is concerned, but I think we are riding that tide very well. There are headwinds coming from the Red Sea and other aspects, but it is a question of how well the management has navigated that. On the IFM, the work in progress, we have reached a stage where we are well on track for the business to return to profitability.

That ascendancy we can see from Q4, this fiscal and going forward. Like Ravi Prakash said, our target profitability or EBITDA margin for the IFM business is about 7 %-7.5% and therefore for the network solutions segment too. So, I think when I look forward from a growth perspective and from the ability for us to manage the margins, we are well positioned as we exit Q2 of this fiscal. Thank you.
Moderator: On behalf of TVS Supply Chain Solutions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

February 17, 2025
BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051
NSE Symbol: TVSSCS

Dear Sir/Madam,
Sub: Transcript of earnings call with analysts/ investors

Pursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Require ments) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Soluti ons Limited (“Company ”), analyst call held on February 11, 2025, to discuss the financial results for the quarter ended December 31, 2024.

The transcript is also uploaded in the Company ’s website https://www.tvsscs.com/investor-relations/

Kindly take the above information on records.

Thanking You,
Yours faithfully,

For TVS Supply Chain Solutions Limited

P D Krishna Prasad
Company Secretary
Encl: As above

Page 1 of 15

“TVS Supply Chain Solutions Limited
Q3 & 9 Months FY '25 Earnings Conference Call ”
February 11, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the a udio recordings uploaded on the stock exchanges on 11th February, 2025 will prevail

MANAGEMENT : M R. RAVI VISWANATHAN – MANAGING DIRECTOR –
TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. RAVI PRAKASH – GLOBAL CHIEF FINANCIAL
OFFICER – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. J. SIVAKUMAR – HEAD INVESTOR RELATIONS –
TVS SUPPLY CHAIN SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, welcome to the Q3 and 9 Months FY '25 Earnin gs Conference Call of TVS Supply Chain Solutions Limited. This conference call may contain forwa rd-looking statements about the company, which are based on the beliefs, opinio ns and expectation of the company as on date of this call. These statements do not guarantee t he future performance of the company, and it may involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during a conference call, please signal an operator by pressing a star then zero on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. J. Sivakumar of TVS Supply Chain Solutions Limited. Thank you, and over to you, sir.
J. Sivakumar: Thank you, moderator. Good morning, and welcome all to TVS Su pply Chain earnings call for Q3 FY '25 and 9 months ended December 2024. I hope everyon e had a chance to look at the financial results, which was posted in the company's website and also in the Stock Exchange last night.
We have with us today Mr. Ravi Viswanathan, our Managing Director; and Mr. Ravi Prakash, our Global CFO. We commence the call now with opening remarks from our management, along with the business performance update. It will be followed by an open fo rum for question and answers.
Before we begin, a customary remark. I would like to point out tha t some of the statements made during this call may be forward-looking in nature, and must be reviewed in conjunction with the risks that company faces. A disclaimer to this effect has been included in the investor presentation, and I request and hand it over to Mr. Ravi Viswanathan, Managing Director of the company, to make the opening remarks. Over to you, sir.
Ravi Viswanathan: Thank you, JS, and good morning to all of you. Firstly, let me welc ome all of you once again to our earnings call to discuss the performance in quarter 3 of the fiscal ye ar '24/'25, and for the first 9 months of the fiscal year '24/'25. I will share with you the highli ghts of our performance. And as always, my colleague, our Global CFO, Mr. Ravi Prakash, who will tak e you through the analysis of our numbers. We look forward to interacting with you as p art of the Q&A session.
For the benefit of those participants who might be joining the ana lyst call for the first time, please note that TVS Supply Chain Solutions is a tech-led and asset-ligh t supply chain solutions provider with two main business segments, namely ISCS or Integrated Supply Chain Solutions and, NS or the Network Solutions segment.
We operate across four continents: Asia, Europe, North America and Oceania, where we offer bespoke and tailor-made solutions in the 3PL space and also offer 4PL services in the select markets. For more details about the company, please refer to our web page www.tvscs.com/investor relations.

So let me get into a brief business overview, followed by the opera tional highlights, financial performance in Q3 FY '25 and 9 months ending December FY '25. And our focus area is the last quarter of the year.
The ISCS segment continues as the main revenue contributor, thank s to sticky long-term contracts. On the freight forwarding space, the Red Sea crisis continues, resulting in higher shipping costs, delayed delivery along with other factors which affect of the GFS business. The recent Gaza ceasefire has given ray of hope but shipping lines are not likely to restore the routes until long-term security is guaranteed.
That said, the mantra for companies like us TVS SCS is to be nimble, flexible a nd be contin

uously innovative, which the company has been able to d emonstrate over the years and we shall ensure the same in the future as well.
Now moving on to the performance highlights for Q3 of the fiscal y ear '24/'25 and 9 months of the fiscal year '24/'25. Q3 FY '25 consolidated revenue grew by 10% on a year- on-year basis. And in terms of segmental performance, the Network Solutions segment c ontinues to support trajectory and grew by 20.4% on a year- on-year basis, whereas the Integrated Supply Chain Solutions segment grew by 2.3% on a year- on-year basis. Business development continues to be robust across the segments and it contributed to 10.4% of the Q3 FY '2 4 revenue in this quarter. The company reported a PBT loss of INR15.2 crores for the quarte r, and this came because of three main factors. Firstly, the company encountered a delay in comm issioning a major project

for a key customer in the U.K., thereby delaying the revenues.
Our customers in the utility services business and the transformation project will now go live post-winter during the summer months, that is in Q1 FY '26. Secondly, multiple customers in the U.K. region outsourced lower-than-expected volumes in an unusua lly soft quarter, which impacted the revenue of the company.
And lastly, one of the key contracts with the governmental agency in the U.K. got delayed due to procedural issues, and we expect the contract to start now in Q1 FY '26 , amidst this relevant costs were already built in and thereby impacting the profitability of the company. The company is taking specific initiatives in this regard for the profit turnaround, which Rav i Prakash will cover in detail later in this call.
In the freight forwarding segment, the company grew revenue impressively on a year- on-year basis. The ocean freight growth movement was driven by rising freight rates in the market while air freight rates remained resilient in the quarter.
The incremental ocean freight rate did not translate to margins due to Red Sea surcharge, which was a pass-through in nature, and hence, margins were subdued. With regard to Integrated Final Mile or IFM as a subsegment under the Network Solutions, we are in the last lap of the turnaround to profit-led growth.
Now a quick look at the 9-month financial year '25 performance. Consolidated revenue for 9 months FY '25 grew by 10.7% compared to the corresponding pr evious year and PBT for the

same period was INR16.4 crores. We note that the customer volume drop in U.K. is seasonal in nature and will be possibly addressed in the coming quarters.
With this brief background, let me hand it over to Ravi Prakash, ou r Global CFO, who will then take you through a detailed analysis of the numbers.
Ravi Prakash: Thank you, Ravi. Good morning, everybody. Welcome to the TVS SCS quarter 3 earnings call.
I would like to start off by talking about four items, four key factors, which are actually going well for us in the business and then analyze the financial results in d etail.
In the ISCS segment, both India and North America margins are trending well, and that is expected to continue, and that is actually a solid foundation as we work through the next couple of quarters. As our Managing Director has already talked about, the IFM business turnaround is on track. We had messaged that by Q3 of this year, we would proba bly be getting to breakeven and start moving towards run rate profitability in Q4 and Q1 of FY '2 6, and that trend continues.
And the last point is that the, the GFS business has demonstrated rob ust volume growth on a year- on-year basis. Yes, there was pricing benefit as well, but volume growth also benefited. So these are four positives that we as management and we would like eve rybody also to take note of as we go through the rest of the financials.
Now let me walk you through the numbers line by lin

e. Q3 FY '25 revenue was INR2,444.6
crores compared to INR2,221.8 crores for the same period last year. That represents a 10% growth on year- on-year basis. Where the network segment grew very well, almost 20%, an d the ISCS segment grew 2.3%.
The Network Segment revenue was driven by healthy volume growth in the forwarding business.
The volume growth was supported by higher freight rates as well. Revenue s from business development have maintained their momentum, the INR231.3 crore s being clocked in the quarter, and that reflects the healthy order pipeline. We have shared th ese numbers in our earnings presentation.
Today, the pipeline stands at about INR4,500 crores. The combinati on of a good momentum on the freight volume, the ISCS' strong customer base and the business development has sustained the revenue performance.
Other income for the quarter was INR24.6 crores and that was primaril y due to the interest from bank deposits and forex gains. With this, the total income for the qu arter was INR2,469.2 crores, which is a 10.1% growth on a year- on-year basis.
When we look at 9-month performance versus 9 months of last year, revenue grew at 10.7% in line with what we've been indicating in the past. 9-month reven ue was INR7,496.9 crores versus the corresponding number of INR6,773.7 crores last year. Segmentally , ISCS grew 5.6%, where the Network segment grew 17.4%.
Now let's take a look at the major expenditure items. Material costs for the quarter were about INR391.4 crores, which was lower by 9.9% on a quarter- on-quarter basis and 4.9% lower on a

year- on-year basis. This cost reduction is on account of a change in the b usiness mix in some of our overseas entities, which will carry inventory as required in some contracts.
The freight clearing, forwarding and handling expenses being variable in nature, increased due to the higher volume of trade handled in the GFS business and d ue to the additional surcharge levied by ocean carriers on account of the Red Sea situation, an d that's why the increase on a year-over-year basis at 27.6%. Quarter- on-quarter, they were lower by 5.4%.
Employee benefit expense for the quarter was INR590.3 crores, which is an increase of 2.4% on a quarter- on-quarter basis and 6.9% on a year- on-year basis, primarily due to the change in customer mix. And this is mainly because of the deployment of peop le and contracts, which is absorbed in the gross margin of the customer contracts.
On the EBIT front, while depreciation and amortization expenditures were lower by 3% both on quarter- on-quarter and year- on-year basis, the lower EBITDA generation in the ISCS segment has impacted the overall EBIT, which was down, which was a loss of INR3 crores.
Now let me walk you through the 3 key factors which impacted Q3 profit ability. The first one, as Mr. Ravi Viswanathan already mentioned, is a delay in commissioning of a major project with the U.K. customer. The projects were expected to go live in Q3. It ha s now got pushed to Q1 of FY '26. And the infrastructure for the pilot is in place, revenue rec ognition is pushed back, that has impacted the profitability.
Second, and this is important to note, in general, the December qua rter is a softer quarter outside of India because of the volumes -- because of the holiday season, we had anticipated that, but this Q3 was unusually soft for a few customers in the U.K. This is clearly a onetim e impact because as we go through Q4 and Q1, we do not see any such trend s.
So -- but that has had an impact in Q3. And in the GFS business, th ere has been lower margins.
The three factors that I've talked about have more or less, what you'd sa y, these are the key factors which have contributed to the drop in profitability.
The focus of management is to act on a few initiatives to ensure a q uick turnaround from the numbers tha

t are coming through this quarter. First strategic price adjustments in m any contracts in the IFM business. We have talked about in the past that the IF M business, we are taking price corrections to improve margins, and that is currently on.
And so we expect to see that benefit in about 20% of the reve nue of the company. Second, headcount rationalization. We are streamlining the workforce. We have already taken some steps in the first 9 months, but we are going to be focusing a lot in the next coming quarters. Third, overhead reduction. We are taking steps to reduce overheads across the board. And again, we should see the benefits in the coming quarters.
Fourth, infrastructure consolidation, particularly in the U.K. We have alrea dy acted on consolidating a number of warehouses into larger ones, and that cost be nefit also should be coming through in the coming quarters. And lastly, outsourcing to India. We have a Center of Excellence in Madurai. We have been moving work here, but we a re pushing this harder in the

coming months. We believe these measures, which are in different stages of imp lementation, would push it back to the normal profitability that we expect to ge t from this business.
At this stage, I also want to make it clear, our mid-term goals of a 4% PBT do not change. The three factors that I outlined are a onetime quarter impact in this quarter are not anything, what should I say, structural with the business. And therefore, we expect to turn them around. So I just want to kind of reaffirm our mid-term guidance.
Finally, there's a clearcut plan to address the impact on overall pr ofitability. And I would be happy to give you greater details during the question-and-answer session .
With this, I'll hand it back to Mr. Ravi Viswanathan.
Ravi Viswanathan: Thank you, Ravi Prakash for the analysis. I would like to touch upo n the business development and key engagements. The revenue momentum of the company is backed by strong deal s. BD contributed about INR231 crores for Q3 FY '25 and INR757 crores fo r the 9-month FY '25, reflecting robust performance. And we have those details in the Investor pages 14 to 16.
We informed in the last earnings call how the company is able to win large deals in mature markets, both in the U.K. and in the U.S., after winning transformationa l deals in the U.K. and U.S.A. We continue our focus on Fortune 500 customers, and we will c ontinue to add the Fortune 500 customers in to our tact.
During the quarter, we won a notable 4-year contract with the U.K. Ministry of Defe nse for the provision of maritime consumables and furniture to support the Navy . This enabling contract will ensure the seamless procurement of a wide range of essential items sup porting operational efficiency for the Navy.

Further, in the ISCS segment, we onboarded an Indian electrical com pany, Indian consumer durable company, a global agri equipment company in the U.S.A. an international railway infrastructure company based in the U.K. and a global manufacturing c ompany based here in India.
Some of the new customer wins in the Network Solutions segment in clude a global wind turbine manufacturer, a U.K.-based consumer health care company, a globa l consulting and outsourcing company, and engineering and electrical equipment company. So a very diverse set of customers across the areas of our focus.
As in the past, the pipeline of the opportunity continues to be very strong, and we are building on that strength quarter- on-quarter. It currently represents a revenue opportunity annualized in excess of INR4,500 crores. Some of the key opportunities we are workin g in India include a warehousing solution for a large Indian retail chain and integrated solutions to a global home appliances manufacturer, a 3PL solution including buy and se ll for a global wind turbine manufacturer

, an integrated 3PL solution for an automotive parts pr ovider.
And some of the key opportunities we are working outside India include a warehousing solution for a global auto component and engineering company, an integ rated 3PL solution for a U.K.-

based automobile OEM, a technical repair solution for an industrial giant an d an integrated 3PL solution for an American auto OEM and a field service management solution for the large retail chain.
In the U.K., in a Fortune 500 company, we have been now down selected and in the final stage of contracting for a large transformational 3-year INR1,000 crores contract, and we expect to give you details over the next few weeks. That reemphasizes our position ing and to our -- the strength of our solutions and the ability for us to work with the Fo rtune 500 customers.
To grow the scale, the company's global customer account managem ent program is well underway. This program leverages our cross-selling opportunities, and we continue to see success and more importantly, a very strong pipeline with our global cu stomer account management customers.
On top of the global account management, we're also laying emph asis on operational excellence, more specifically around the total customer life cycle, starting from opp ortunity development to launch and deployment, and into post- launch continues in gro wth. As such, we have created the operational excellence pillar, which has been used in all key cu stomer implementations and will be replicated in all our geographies and large customers. Further, as a tech-led company, we continue to offer best- in-class IT solutions, loaded with security features to the customers from time to time.
In summary, our year- on-year revenue growth reflects the resilience of our business. We continue to secure large deals and capitalize on significant marke t opportunities, leveraging our global capabilities and technology expertise. With the robust order pipeline bolstered by strong customer engagements, we remain bullish about our long-term growth outl ook.
With that, let me open the floor for questions. Thank you.
Moderator: The first question is from the line of Disha from Ashika Institutional Equity.
Disha: So my first question is regarding the U.K. contract. Can you specify the reaso n for the delay in contract? I'm assuming it is a 7-year strategic contract that we had signed with the gov ernment, I think, last quarter. So if you could specify what is the reason for the d elay in contract?
And as well, you had mentioned in the presentation that the margin impact should continue in the next quarter as well as a slight margin impact in 1Q FY '26. So if y ou could help us quantify certain -- like how much cost impact should we estimate?
Ravi Viswanathan: All right. Let me take the first part of the question, Disha. So if you look a t customers' engagement, our contract to run two sets of operations for them. T he first set of operations went live in September. Second set of operation, which was more transformation al in nature, which had a lot of new technology, new business process and a new set o f teams, which was migrating from the existing distribution center to the modern distribution cent er.
So the delays were on multiple counts. One was the facility itself got a little bit delayed. Further technology integration took a slightly longer time. And given that we were not able to complete

what we call the business resilience testing, it is too risky to go live in winter. So that's the synopsis of the delay. Ravi, you want to add?

Ravi Prakash: Disha, in terms of the numbers, we normally -- we do not give out contract-wise impact. But if I take the kind of the PBT change that you've seen quarter- on-quarter, the 3, 4 factors that I've talked about pro

bably have an equal contribution, right? I talked about 3 or 4 factors. They all have an equal contribution to the delta that you've seen in ou r EBIT performance, right? And we expect -- and like we said, because the contract is going to go live -- expected to go live in Q1 FY '26, while we have said there is an impact in Q4, and there is -- the contract will go live in Q1 FY '26, that is specific to the contract, but we as a company are doing other things to make up for that. So that's also something that I just like to tell you.

Ravi Viswanathan: Just to emphasize on that. Ravi Prakash spoke about quite a few initiativ es, which are all underway, which will give a significant opportunities for us to make up fo r that single contracts contribution to the PBT. So I think from a program or a project persp ective that expected go live in Q1, that particular project will have an impact in Q4, but we're confiden t that we'll be able to make do with all of the initiatives that we have supported by ne w BD.

Disha: Okay. My second question is regarding the ISCS business. While you m entioned in your commentary that the ISCS India as well as North America business has been supporting good margins, if I see the growth rate of ISCS India business, it is just 0.5% on a year-on-year basis for the quarter and it has declined by 3.9% for the 9-month period .

So could you just specify what is the reason behind it? I remem ber earlier in the quarter you had specified sometime that the elections led to lower manufacturing activities, but this quarter was -- I mean if you could just quantify some reasons.

Ravi Viswanathan: So Disha, two things. One is, yes, we have said that Q2 manufacturing was definitely on a lower trend. It had a slight pickup in Q3. But I think it's important for us to look at India from both short term and a long term. We continue to win significantly large de als, which is giving us a good set of, I would say, visibility towards what it is in the future.

But specifically on Q3, I would say the performance, given the fac t that we -- there are a couple of projects we've exited, it is still something which we are very comfortab le with from a momentum perspective. Maybe Ravi Prakash can share more details.

Ravi Prakash: So Disha, I think in the last couple of quarters, we've been talking ab out the fact that in India, there have been a couple of contracts that we have chosen to move out of. And we have always said that the revenue growth in India will normalize. So it is a matte r of 1 or 2 quarters before you start seeing the revenue growth again. But maybe I want to spen d a bit of time on the comment I made on margins.

The India business has managed margins well. They have adapted -- they have quickly worked on -- both at a gross margin as well as at an EBIT level to kind of -- and cash flow management -- to kind of improve their margins. And that's why we specifically called out that despite the

revenue shortfall, the margin performance has been good. And in -- the same has been the case in North America.

And the reason we kind of called this out is, we've always been mess aging that the supply chain segment is something that we can depend upon. All 3 businesses have performed well -- on a margin front for the last many quarters. This onetime in SCS U.K. is a onetim e event, and therefore, we expect to get back. So that's the reason we called ou t the margin performance in India and in North America.

Disha: If I may, I would like to ask another question. See, FY '25, we just have 1 quarter left for it and considering this decline and the delay in order execution, how do you see FY '25 ending? You said that your medium-term goal for FY '27 remains intact, but -- and we have a robust order pipeline. But the conversion of that order pipeline, that is taking tim e due to various reasons, fund

amental and technical reasons. So how do you see FY '25 ending?

Ravi Prakash: So look, from a quarter- on-quarter perspective, what we see is, we don't -- normally, we do not offer very quantitative guidance, but we would expect Q4 revenues to be a little bit better than where we had in Q3 from a revenue perspective, and then continu e to build from there.

Disha: And any qualitative guidance on the profitability front?

Ravi Prakash: See, from the profitability front, I'll just go back before this quarter, for, I think, almost 4 quarters in a row, we have continuously expanded both PBT margins. We had gone from a breakeven of INR5 crores to INR12 crores to INR17 crores, INR18 crores PBT. We view this quarter as a, how should I say, as a blip in the overall journey, and we expect to go -- get back to the normal EBITDA margins in the coming quarters -- normal EBITDA and PBT margins in the coming quarters. Yes, there is probably one more quarter to navigate in terms of the 3 challenges we talked about. But after that, again, we should be back on a normal trajectory.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.
Vaibhav Shah: Sir, in particularly in the NS segment, we are looking for a mid term target o f around 7-odd-percent in terms of EBITDA margins. So how near or how far are we from there? An d should the implement be gradual over the next 2 years?
Ravi Prakash: Yes, Vaibhav. If you look at right -- and I'm glad you pointed out to the NS segment. NS segment, actually the margin has improved quarter- on-quarter. And we are on track to that 7% margin. A big component of that is the IFM turnaround, and that turnaround is well on track. So the 2 year's time frame, look, I don't want to put an exact time fra me, but I think we should be getting there in terms of the 7% EBITDA margin. The target doesn't change.
Vaibhav Shah: So '26 should be somewhere margins in between both the years. So sales would be a marked improvement in '26 as well?
Ravi Prakash: I think that's a fair assumption. In the '26, definitely better tha n what we have in '25, and on our way to getting to that target.

Vaibhav Shah: Okay. Fair enough. And secondly, on the ISCS segment, we had mentioned that in last call that 11% margins can't be replicable on a quarter- on-quarter basis. So there has been some softness in 3Q. But in 4Q, can we be somewhere closer to double digits?
Ravi Prakash: So Vaibhav, on ISCS, you're right. I just want to kind of again ca ll out, last quarter was an extraordinary quarter with 11.1%. In general, in ISCS, we are targeting a range of 9.5% to 10.5% EBITDA margin, right? So we should -- I think we have one more quarter where we have to work through the situation in the U.K. And afterwards, we should again b e getting back to, in general, for the last, if you take out this quarter, we have been oper ating upwards of 9% for the last 5 or 6 quarters. And that should start, as we get into FY '26, we sho uld get back to the trajectory. We have one more quarter to work through.
Vaibhav Shah: So Q4 also should be similar? Yes, some improvement can we -- we can expect?
Ravi Prakash: I mean, look, I think this time, it was 8.8%. Q4 should be slightly be tter. I probably can't put an exact number on that. But like I said, Q4 is also not the normal quarter of 10% as well.
Vaibhav Shah: And like you mentioned that your target of 7% for NS segment, may be next couple of years, so for the ISCS segment, that could be 9.5% to 10.5% or we can ev en go beyond that maybe FY '27 or '28?
Ravi Prakash: Look, in ISCS, you know that in 1 quarter we were able to do 11%, and immediately, we were careful to kind of caution that -- look, that was an extraordinary quarter where everything worked, the mix worked. We had some very high-margin contracts comin g in revenue. Everything worked. It was a great qua

rter. So that 11% demonstrates the po ssibility of what we can do.
I think at this stage, we would like to stay with the 9.5% to 10.5 % guidance. And then once we get through the next couple of quarters, we can always revisit where we ca n go to. Our aim is always to keep pushing the margin. But at this stage, probably it's go od to stay in that range.
Vaibhav Shah: Sir, lastly on the revenue side, we have seen a very strong growth in the NS segment at around 17-odd percent in the 9 months, so it is quite encouraging. O n the ISCS segment, we have seen the softness. So it has been in the range of, say, 4-to 5-od d percent, so Q4 also could be similar? And how do you see '27/'28 panning out for ISCS in terms of reve nue growth?
Ravi Prakash: So look, ISCS -- I just want to focus on ISCS for a minute. In general, and this time, we have given you the quarter -- seasonal quarters as well. December, outside of India, is normally a slightly softer quarter. If you look at all the last 3 years, quart er-on-quarter revenue we've given, the Q3 revenue is slightly below Q2 revenue.
That's what we have put out in the -- if you look at Page 7 of the earnings deck, that's what historical information shows. And then we get back, right? But before that, ISCS was delivering double-digit growth for many quarters. So if I take '26 and '27, that would be our objective. And we do have a pipeline.

Yes, I mean this quarter, a few projects got moved to the right. And therefo re, this quarter revenue didn't come in as expected. But there is nothing that h as changed fundamentally in terms of either our pipeline or structurally in terms of our business engage ments. Therefore, the double-digit ISCS revenue growth is something that we would be return ing to in FY '26 and '27.
Vaibhav Shah: Okay. But Q4 also would be similar to Q3? Or we can see some growth over the last year, given the last year, we were around 14 billion.

Ravi Prakash: Look, I think Q4, let's see how it progresses. I think I've given you a fair idea of where the margins will have come through. Normally, in some parts, like, for example, India, Q4 is normally a strong quarter. But we'll have to see how it evolves in the rest of the world.
Vaibhav Shah: And lastly, whatever projects have been delayed, so we expect them to sta rt mainly pushing in Q1. So that's a fair assumption, right?
Ravi Prakash: It's one project. I also want to kind of maybe place this in context. Loo k, this is a massive project for a very large company in the U.K., and it's a significant transformation project. It's quite normal that projects of this size, which impact the entire value chain -- supply chain of a large company that sometimes the customers and both us could be mea sured in terms of pushing them to go live, considering the impact on the supply chain.
So a 3-, 4-month delay towards the right in a large engagement, n ormally, we are on time. Because of the size of the engagement, we've had to call out t he impact, is not unusual. It's just the 2, 3 factors work together, which is, again, how should I say, again , unusual that -- the project got delayed, some it happened in the Q3 quarter where volumes were soft. And we had softer margins in GFS, all 3 coming together, which has impacted the P&L.
Going forward, the project will, like we said, by Q1 FY '26 would be on stream. We expect -- in fact, as we see, we expect volumes in the other U.K. customers to get ba ck to normal. And we also expect to take the actions. And the most important thing is, we've li sted 5 actions. We are working very hard and on a timely manner on those actions. We e xpect those actions to start showing benefits.
Moderator: The next question is from the line of Payal Shah from Billion Securit ies.
Payal Shah: I have two questions. First, you mentioned in your opening remarks about the profitability

in
IFM business in the next quarter. So I just wanted to understand what sort of margins and numbers should we look at? Does this business have a potential of the siz e and scale of our ISCS business.
Ravi Prakash: So Payal, we already messaged that Network Segments, we would like to hit 7% EBITDA. And today, we are at about just under 4%, right? The objective of the IFM turnaround is to push towards that 7%. Both the businesses in the Network Segment, GFS an d IFM, as a first step should hit the 7%, right?
The good news is that the trajectory we have mapped out and we ha ve clearly messaged that probably last year itself that it is going to take till December of FY '2 5 is on track. And from

next quarter, we should see the journey towards the 7% mark. So that's th e first step. Now I think your broader question, given the scale, should we start moving towards th e ISCS margins? Look, internally, that is something that we would always like to get there because when we initially talked to the markets, we always said there's probably going to be 100 to 150 basis point difference between ISCS and Network. What has really happened is ISCS has gone faster into the higher-margin territory to the 9.5% and 10.5%, and Network is now trying to catch up towards, how should I say, the norm, which is about 7%. So I thin k right now, we are focused first on getting to the 7%. I think once we get there, we can hav e a good discussion in terms of where else it can go.
Payal Shah: That's quite helpful. My next question is on, like, what would be the contribution of GFS and IFM of the overall NS segment? And what will be the margin for these business?
Ravi Prakash: See, I think we have probably not disclosed the split between GFS, and we do it on an annual basis, right? When we do the March quarter results, we typically give out the re gion wise numbers. At the moment, the margins are kind of pretty similar ri ght now. One is not holding back the other or it's kind of -- both are contributing equally to the kind of Network Segment.
Moderator: The next question is from the line of Kunal Shah from Anova Capital.
Kunal Shah: Sir, on ISCS front, I just wanted to know how is the North America geography performing. You have talked about India and U.K. Can you throw some light on this reg ion as well?
Ravi Prakash: It's doing extremely well. In fact, in my opening remarks as well as I talked about the margin, North America is doing very well on a margin front. It's doing well on the revenue front, and we also see a strong outlook –further as we go into FY '26.
Ravi Viswanathan: Yes, I'd just like to add that, North America has won significantly large d eals, which we have announced early quarter. And from a pipeline perspective, it looks extremely robust. So North America is a very significant engine of growth for us as we look forward to the fu ture.
Moderator: The next question is a follow-up question, it's from the line of Disha fro m Ashika Institutional Equity.
Disha: I just have one question. You mentioned that the contract in U.K. was a v ery strategic contract that is the reason why there was a 3-, 4-month delay and you ha ve to call it out. Now considering that we are expanding in the rest of the world market and we are g oing to take -- undertake any

such strategic contracts, I believe we are undertaking one in North America as well.
So if in case any future delays such as like this happen, it impac ts your profitability and your profitability margin. So is there any particular step or any change in contract type that you will undertake to ensure that no such profitability margins are impacted?
Ravi Prakash: Disha, I just want to kind of place this contract in perspective. I think -- and actually, thank you for asking the question. Maybe I'll share a little more information. We've been working on this proj

ect for almost 18 months. The project itself was supposed to evolve in 3 stages. The first 2

stages went exactly as per plan, and we've actually recognized reve nue and margins from that.
This third stage was a step-up in terms of the revenue and the margin we' re going to get from this project, which is what got delayed.
Now the reason we are calling out this in this quarter is, to be very ho nest, if 3 or 4 factors have not come out together, we wouldn't have expected this kind o f an impact on the quarter profitability. Normally, what happens is most of the business performs as expected. We would have 1 or 2 projects kind of getting impacted, that's part of norma l business. And the company has adequate profit cover to kind of manage through the profitabili ty.
It's a very unusual quarter where you have -- and that too is the most predictable part of our business. ISCS U.K. is our most predictable business for the last 25, 30 quarters . It's unusual to have a project delay, lower volume, all happening in the Decemb er quarter. And that's why we had to call it out. So the combination of factors that I talked about, look, it's very unlikely that everything will come together like this in a single quarter. That's one.
So we -- second thing I want to talk about is, as we see this, when we budget for c ontracts also, we are quite measured in terms of the way we budget how contracts come in , how revenue is budgeted. So because all these contracts would have some bit of un certainty. We make sure that we bring that in -- in our own budgeting and messaging to the market, right? So we do that. And then we have robust project management systems to manage it.
The last part I want to talk about is, as management, we don't want to stop by saying that, look, this has been an unusual quarter. The reason we are messaging 5 initiative s, and I'll go through them once again, I talked about strategic pricing in IFM, when I say strategic p ricing, I'm talking about significant pricing, not the normal 2%, 3% that the market wou ld expect.
We are talking about infrastructure consolidation. We are talking about o verhead reduction. We are talking about headcount rationalization, and we are talking abo ut increasing outsourcing.
Now all these are stuff that you would anyway do, but the reason we are calling that out is we want to be extra sure that we create space in the cost structure as we go forward, right?
And that's the learning that management takes away from this quarter, right? So I hope that kind of gives you a little bit of, how should I say, context in terms of th e way we manage projects and how this quarter was and what management is doing.
Moderator: The next question is from the line of Vikram Vilas Suryavanshi from Phillip Capital.
Vikram V. Suryavanshi: Just to take it forward on global freight forward business. In terms of network expansion, how much scope is there for at least for, say, our direct services or read it like a more and probably, as you said, cost control would be the focus area.
Ravi Prakash: Vikram, can you -- do you mind just repeating the question? Because was it network exp ansion or freight something that you're asking, wasn't very clear.
Vikram V. Suryavanshi: So my question was regarding global freight forward business. How much scope is there to expand our service for direct route? Or is it more like a captured most of the medium market?

Ravi Viswanathan: So let me answer that. Today, we operate around 16 lanes. Lane being a target and destination.
So we have no immediate plans to expand our network. We continue to focus on these 16 lanes.
And these 16 lanes are predominantly based on the kind of shipping frequency velocity that we see from our key customers. So no immediate plans for any network exp a

nsion. So we'll continue
to focus on bringing more efficiency and more throughput in the e xisting network. I hope I answered this question, Vikram.
Vikram V. Suryavanshi: Yes, And also there was some volume pickup between China, U.S. prior to election. Apart from the Red Sea, we also have seen that impacting the availability o f containers. So how is that situation playing out going forward? Now we have seen U.S. particularly playin g with the tariff

rates. So in this backdrop, what kind of growth or what are our strat egies to grow volume?
Ravi Viswanathan: From a container shortage perspective, I think that phase is over. Tha t was more because I think it is a more a Q2 phenomenon where there is maximum shipments going fro m China to U.S. We are not active on the China-U.S. lane, Vikram. So it's not an are a of focus for us. But our focus is really China to Europe. So we'll watch that space because we need to see how these tariffs get pan out. So we keep a close look on it to see how it impacts our ke y lanes.
So India-U.S. is a strong lane for us. China to Europe is a strong lane. An d China to Australia is a strong lane. So we keep watching these based on what's going to h appen with the tariff wars that are out there. But right now, the China-U.S. is not impacted -- we are not impacted because we don't play on that lane.
Vikram V. Suryavanshi: Okay. But broadly, just to take it, for this quarter only, within our Network Solutions, was that integrated final mile margins were more impacted compared to GFS?
Ravi Prakash: See, IFM margins were impacted last year. And probably, as we got int o the early part of the year in FY '25, we have seen a good improvement in the marg ins in the last 3 quarters, and we expect them to get to run rate in the next couple of quarters.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for their closing comments.
Ravi Viswanathan: Thank you for all your questions. And just want to say that we are v ery, very bullish about where we see ourselves in the medium term to long term. Our pipeline is extremely strong. We continue to have a very, very strong velocity of proposals going into Fo rtune 500 customers. We expect higher rate of conversion.
Like I said, we are pretty much on the verge of closing a very large deal within the Fortune 500 segment again. So our focus on large customers, our focus on global account management, these will continue to drive our business development efforts.
And a lot of the measures that Ravi Prakash spoke in terms of bringing in a significant amount of cost management will bolster our profitability as we go forward. And we co ntinue to remain extremely confident as we get into the future quarters.
Thank you once again, and we appreciate all your time and e fforts.

Moderator: On behalf of TVS Supply Chain Solutions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

June 4 , 2025
BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers, Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051
NSE Symbol: TVSSCS
D
ear Sir/Madam,
Sub: Transcript of earnings call with analysts/ investors
P
ursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions
of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Solutions
Limited ("Company"), analyst call held on May 29 , 2025 , to discuss the financial results for the quarter
and year ended March 31, 202 5.
T
he transcript is also uploaded in the Company's website https://www.tvsscs.com/investor -relations/
K
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T
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Yours faithfully,
Fo
r TVS Supply Chain Solutions Limited
P
D Krishna Prasad
Company Secretary
Encl: As above

"TVS Supply Chain Solutions Limited
Q4 FY '25 Earnings Conference Call "
May 29, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 29 th May 2025 will prevail

MANAGEMENT : MR. RAVI VISWANATHAN – MANAGING DIRECTOR – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. R. VAIDHYANATHAN – GLOBAL CHIEF FINANCIAL OFFICER – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. RAVIPRAKASH B. – HEAD STRATEGIC INITIATIVES – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. PRABHU HARIHARAN – HEAD, INVESTOR RELATIONS – TVS SUPPLY CHAIN SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to TVS Supply Chain Solutions Limited Q4 and FY '25 Earnings Conference Call. This conference call may contain forward -looking statements

about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prabhu Hariharan, Head IR of TVS Supply Chain Solutions Limited. Thank you, and over to you, Mr. Hariharan.
Prabhu Hariharan: Thank you, moderator. Good morning, and welcome all to TVS Supply Solutions Earnings Call for the quarter and year ended 31st March 202 5. I hope everyone had a chance to look at the financial results, which were posted on the company's website and also on the Stock Exchange last night.
We have with us today Mr. Ravi Viswanathan, our Managing Director; Mr. R. Vaidhyanathan, our Global CFO; Mr. Ravi prakash, our Head of Strategic Initiatives. We commence the call now with opening remarks from our management, along with the business performance update. It will be followed by an open forum for Q&A.
Before we begin, a customary remark, I would like to point out that some of the statements made during this call may be forward-looking in nature and must be reviewed in conjunction with the risks that the company faces. A disclaimer to this effect has been included in the investor presentation.
And I request and hand it over to Mr. Ravi, Managing Director of the company, to make the opening remarks. Over to you, Ravi.
Ravi Viswanathan: Thank you, Prabhu, and good morning to all of you. Firstly, let me welcome all of you to our earnings call to discuss the performance for the fourth quarter and year ended March 31, 2025.
I will share with you the highlights of our performance and my colleague Vaidhy, our Global CFO, will take you through the analysis of our numbers. We look forward to interacting with you as part of the Q&A session.
Let me start first, for the benefit of those participants who might be joining the call for the first time. Please note that TVS Supply Chain Solutions is a tech -led and asset -light supply chain solutions provider. We have two main business segments, namel y Integrated Supply Chain Solutions, or ISCS, and Network Solutions or NS segment.

We operate across four continents: Asia, Europe, North America and Oceania, where we offer bespoke and tailor -made solutions in the 3PL space and also offer 4PL services in the select markets. For more details about the company, you may please refer to our website, www.tvsscs.com/investorrelations.
Coming to the performance of our company, FY '25 marked a strong turnaround year. We achieved a profit before tax of INR 29 crores, a significant improvement from a loss of INR 10 crores in FY '24. Our revenues from operations grew by 9% year -on-year from INR 9,200 crores in FY24 (rectified) to INR9,996 crores in FY '25, reflecting a solid execution across markets and segments. These results reaffirm the strength of our strategy and our progress towards achieving our vision of a 4% PBT margin.
In the Integrated Supply Chain Solutions segment, revenue from operations grew by 4.9%. Our performance in North America remained resilient, which continued to be a very strong contributor. In India, our strategic portfolio reali

gnment led to more robust bottom line margins and improved capital efficiency.
In the Network Solutions segment, it's important to call out a key milestone, the integrated Final Mile business turnaround. The business delivered positive profitability in Q4, making a strong recovery. This turnaround was driven by a focused set of initiatives, which included price increases, consolidation of forward stocking locations, rationalization of our manpower and improved operational efficiencies. M any of these actions are ongoing and will continue to support the momentum through FY '26 and beyond.
Coming to the quarterly performance. Our consolidated revenue grew by 3% year -on-year and 2.2% on a sequential basis in Q4. As we had communicated in our last call, Q3 was a soft quarter, primarily due to lower volumes stemming from the holiday season, and we said Q4 was our focus area.
I'm pleased to share that we have delivered on that commitment, particularly to the ISCS segment, we showed a strong sequential growth of 9.2%, reflecting a healthy rebound in volumes in North America.
From the Network Solutions segment, in our GFS business, we had previously indicated that while volume growth would continue, margins would remain under pressure. While we did see volume improvement on a year -on-year basis, the business witnessed a sequent ial decline in volume, driven by broader macroeconomic headwinds, which all of you are aware, and we

expect this volatility to continue through Q1 and Q2. And this is an area which we will be closely watching.
It's important to call out that the GFS business continues to operate at structurally lower margins. The global freight industry is currently facing a period of uncertainty and potential contraction, influenced heavily by policy-induced trade disruptions. In particular, recent developments around U.S. tariffs and container availability are posing significant operational and cost challenges across the industry.

On the profitability front, for the full year, our adjusted EBITDA stood at INR 675 crores, reflecting a margin of 6.8%. For Q4 '25, the adjusted EBITDA was INR 161 crores with a margin of 6.5%.
We have initiated a series of strategic actions aimed at improving our cost structure and positioning the organization for long-term resilience. These actions include leadership restructuring, headcount rationalization and outsourcing from high-cost to low -cost locations and reduction in overheads and a sharp focus on lowering operational and administrative expenditures across our entities.
These measures have started yielding results, and this has resulted in redundancy costs in FY '25. And these actions will continue through Q2 of FY '26. And these initiatives will yield results from second half of FY '26. Importantly, these actions are ali gned with our long-term financial objectives and will set the organization firmly on the path to achieving our committed target of 4% PBT.
With that, let me hand it over to Vaidhy, our Global CFO, who will take you through the financial highlights for the company.
R. Vaidhyanathan: Thank you, Ravi. Good morning, all. Thank you for joining us today. Before I get into the financial highlights, I would like to call out a few key highlights of the quarter. First thing that I would say we delivered a strong performance in Q4 compared to Q 3 in terms of profitability. Q4 PBT was INR 18 crores as compared to a loss of INR 14 crores in Q3.
The second highlight is, as Ravi mentioned, is the IFM business turnaround, which is completed in Q4, and it is operationally profitable. I think there are a few several factors which led to the profitability. One is a significant price increase we got fro m over 100 customers. We also eliminated a lot of costs, especially with respect to manpower and infrastructure related, and we also exited some

of the low -margin accounts.
The third key highlight is as part of our strategic cost takeout initiatives, we have incurred a redundancy cost of INR5 crores in Q4 and INR8 crores on a full year basis. Like Ravi mentioned in his commentary, it is important to note that this program will continue through Q1 and Q2, and we will incur some additional redundancy costs during this period. However, these actions will deliver savings and begin to reflect more visible in our performance from Q3 onwards.
Now I will take you through the highlights of our financial performance for Q4 and the year ended 31st March 2025. From a revenue perspective, we closed Q4 FY '25 at INR 2,498.8 crores
from INR2,444.6 crores, a growth of 2.2%. This is majorly contributed by the ISCS segment.
ISCS segment registered a revenue of INR 1,421 crores at a sequential growth of 9.2% over Q3, which was INR 1,301.1 crores, largely driven by strong volume from North American market.
In Q4 FY '25 , Network Solutions revenue stood at INR 1,077.9 crores, representing a sequential decline of 5.7% compared to Q3, driven largely by lower volumes in both ocean and air freight, consistent with our earlier communication about the challenging freight market conditions. On
a year -on-year basis, our overall revenue grew at 3% over the same quarter last year, which was INR2,426.3 crores, with both segments growing at 3%.

Coming to the full year highlights. On a full year basis, revenue grew from INR 9,200 crores to INR9,996 crores, marking an 8.6% growth. ISCS segment grew by 4.9%, reflecting growth organic wins and improved commercial execution, while the Network Solutions segment posted a strong growth of 13.6%, driven largely by price surge and new customer wins. Other income for Q4 FY '25 stood at INR 13.4 crores, slightly lower than INR 14.4 crores in Q4 FY '24. For the full year FY '25, other income was INR 33.2 crores c ompared to INR 47.9 crores in FY '24. This decline is primarily due to lower interest income from bank deposits.
On the cost side, freight clearing, forwarding and handling charges came down from INR 75.1 crores in Q3 to INR 632.8 crores in Q4. This decline is in line with the sequential revenue drop

in the GFS business and reflects lower volume of both ocean and air freight.
On a full year basis, freight clearing, forwarding and handling charges increased from INR 2,328 crores to INR 2,816 crores, largely reflecting the higher ocean freight volume in the GFS business on a full year basis.
Material -related costs rose from INR 391.4 crores in Q3 to INR 469.1 crores in Q4, an increase of INR77.7 crores was largely driven by higher volumes in the ISCS segment, reflecting the sequential growth momentum. On a full year basis, it increased from INR 1,661.4 crores to INR1,783.6 crores, driven by increased activity in consistent with the revenue growth seen in the ISCS segment.
Employee cost increased from INR 590 crores in Q3 to INR 610 crores in Q4, primarily driven by the higher volumes in the ISCS segment and the impact of onetime redundancy costs incurred as part of the ongoing restructuring initiatives, as we explained earlier. Year -on-year increase in employee cost is primarily driven by inflation as well as ramp -up in manpower deployment for new projects, particularly in the ISCS segment.
On the profitability front, adjusted EBITDA improved sequentially from INR 152 crores in Q3 to INR161 crores in Q4 with margins increasing from 6.2% to 6.5%. With respect to ISCS segment, the adjusted EBITDA stood at INR 122 crores in Q4 at 8.6% margin versus INR 133 crores in Q3 at 8.8% -- the margin drop is on account of change in business mix on a sequential basis.
With respect to the Network Solutions segment, the adjusted EBITDA grew from INR 44 crores to INR55 crores in Q4. The improved margin from 3.8% to 5.1% due to succe

ssful turnaround of the IFM business. We closed Q4 FY '25 on a strong note, delivering a profit before tax of INR13 crores, which is a loss of INR15 crores in Q3. Importantly, after adjusting for redundancy costs, our normalized PBT shows an even stronger improvement from a loss of INR 14 crores in Q3 to a profit of INR18 crores in Q4.
From a cash flow perspective, we have generated a net cash from operating activity of INR 194 crores for the year. Our capex for the year has been fully funded through internal accruals. I would like to say that I see significant opportunity for us to reduce costs across all the regions. We will aggressively pursue these cost reduction initiatives such as rightsizing, right shoring in FY '26 to improve our overall profitability.

With this, I will hand it back to Ravi.
Ravi Viswanathan: Thank you, Vaidhy for the analysis. Before we move into Q&A, I'd like to briefly touch upon our business development performance and pipeline strength, which reinforces our growth outlook. In Q4, we recorded new business wins worth INR 235 crores, representing 10% of Q4 FY '24 revenue. For the full year, new business revenue totalled INR1,009 crores, which is 11% of FY '24 revenue, a clear sign of traction across key verticals.
We're also seeing strong momentum in the quality of clients we are onboarding. This year, we added 24 new Fortune 500 customers, taking the total number of active Fortune 500 customers to 91, a growth of 19 on a net basis -- sorry, a growth of 13 on a net basis, a significant milestone that speaks to the growing relevance of our offerings in the global marketplace.
Our order pipeline remains strong at INR 5,250 crores, giving us confidence in the revenue visibility for the coming quarters. I also want to provide an update on a key development we have shared in our Q3 call. At that time, we had mentioned that we were in the final contracting stages with the Fortune 500 British multinational retail chain for a large transformational engagement, a 3 -year INR1,000 crore revenue contract.
I'm pleased to share that the contract has now been finalized. It's a U.K. -wide mandate focused on storage and distribution services. This win underscores our positioning in the market and reaffirms the strength of our integrated supply chain solutions capabilities. We have regained a major customer, a global auto component manufacturer in our freight forward segment in India with significant addition to the trade lanes we serve.
On the pipeline, we have a robust pipeline of opportunities that position us well for continued growth. In India, we are in advanced discussion to conclude a comprehensive 3PL end- to-end solution for a global wind turbine manufacturer. We are actively enga ging with a leading Indian chemical manufacturer, a prominent Indian commercial vehicle manufacturer and also one of India's largest conglomerates for a range of warehousing and 3PL solutions. These opportunities reflect both the depth of our capabilities and the increasing trust large enterprises are placing on us to manage their complex supply chain needs.
In summary, our year -on-year revenue growth reflects the resilience of our business. We continue to secure large deals and capitalize on significant market opportunities, leveraging our global capabilities and technology expertise. With a robust order pipe line bolstered by strong

customer engagements, we remain bullish about our long-term growth outlook. At this point, I would like to open the floor for any questions.
Moderator: The first question comes from the line of Disha Giria with Ashika Institutional Equities.
Disha Giria : So my first question is in regards to the IFM business. Now that the planned turnaround actions have been taken over and you are seeing somewhat of green shoots, how do you expect this business to be going fo

rward?
R. Vaidhyanathan: Yes, Disha. As we said, IFM business has turned operationally profitable in Q4. And going forward, as we start FY '26, we will start seeing a sequential improvement in their profitability.

And the sequential will start improving from FY '26 and will follow up to FY '27, where we see that we will be able to reach our original guidance that we have given for the IFM business.
Disha Giria: Okay. Secondly, for the GFS business, you briefly mentioned that due to the macroeconomic scenario and the global freight rates and container shortages, there is significant disturbance in the volatility in the freight rates. If I am correct, the freight r ates have declined, which was a result that we didn't have that much value growth as what was there in third quarter. So going forward, considering the volatility, while we see green shoots in IFM and a somewhat decline in GFS, how would you guide for the Network Solutions business as a total?
Ravi Viswanathan: Yes. I think this is Ravi here. Clearly, we are seeing the macro playing out. You're right that the pricing, we saw a decline. But what we are seeing actually in the market today is a whole lot of volatility, including possible price surge. So this is a se gment which we'll keep a close watch. It is incredibly volatile. We are actually seeing volumes recovering in Q1, but it is combined with shortages of both containers and vessels because of the trade tariff embargo that is in place. So there is a madness from China to U.S. So that lane seems to be taking a lot of the traffic. So it is a segment which we are keeping a close watch. I -- unfortunately, I'm not able to provide you any guidance as to where we see it right now. But just to say that we are seeing significant swings even from Q4 to Q1 as we speak. I don't know if that helps, Disha.
Disha Giria: Yes, surely, that helps. My next question is regarding...
Ravi Viswanathan: Yes. I just wanted to tell you that while we are seeing the impact on -- we hope we can ride a possible price increase and all of that, but there is the volume fluctuation because of container shortage and all that. But what we are doing internally is what Vaidhy spoke about in terms of enabling significant rightsizing and rightshoring of that business.
And we have already taken significant steps in Q4, and we will continue to do that. And we want to make sure that from a margin perspective, we bring certain level of normalcy in that so that even if the -- if there is ups and downs of volumes, we want to keep the margin on a very tight leash.
Disha Giria: My next question is regarding our FY '27 guidance. Since we maintained the 4% PBT margin, if I remember correctly, earlier you had said in one of the newspaper articles that the 4% PBT margin would arrive from like INR 2 billion in revenue. So would we see that playing out or the revenue figure could be lower than that?
Ravi Viswanathan: I wish I can put more color to it right now. But given all of that is happening, especially in the GFS segment, where the numbers have been incredibly volatile, I would probably be focus as an organization, Vaidhy and I have discussed and our absolute focu s is to bring the company to the 4% PBT trajectory. And we expect that our revenue growth will be significant. Like I said, we have a very strong pipeline, but we will keep watching the GFS space, which is incredibly volatile right now.
But on a directional front, I would say double -digit revenue growth is -- we are very comfortable with. We are on a good trajectory in terms of PBT growth compared to FY '24 and '25. We'll

continue slightly on an exponential trajectory getting into '26, and we want to get into a target 4% PBT number by FY '27.
Moderator: Next question comes from the line

of Vaibhav Shah with JM Financial Limited.
Vaibhav Shah: Have we done any change in accounting with regards to the booking of other income and forex gain losses during the quarter?
R. Vaidhyanathan: Yes. So, Vaibhav, we made a reclassification because some of the forex gain was sitting in other income, forex loss was sitting as part of operational. We thought the readers of -- to benefit the

readers of the financial statements, we are showing the forex as a separate line item so that it will be easy for the readers to see what is the forex impact in the financial statements. That's a reclassification.

Vaibhav Shah: In the earlier quarter, the forex was sitting in other income, loss or gain?

R. Vaidhyanathan: Yes, we have restated for all the previous quarters as well.

Ravi Viswanathan: But in the previous quarters, the forex gain was sitting in the other income, but the forex loss also sitting in the expenses.

R. Vaidhyanathan: Now we have restated for all the quarters to make it comparable.

Vaibhav Shah: Okay. So going forward, we can take this -- the annual number is around INR33 crores for the other income for FY '25. So that could be a recurring number in the similar range for year forward?

R. Vaidhyanathan: Probably around that range, Vaibhav. I will not be able to give you a guidance on that, but yes, because most of these are surplus money that we park in various bank deposits. And on a case - to-case basis, it will be. I will not be able to give you a specif ic guidance, but you can take it.

Vaibhav Shah: Okay. Secondly, on the margin side. So you have done quite well in the quarter at 8.6% for ISCS and 4.5% for NS. So for NS, can we take this as a guidance that it should be a similar range or we can see some contraction in maybe first half of the year for FY '26?

R. Vaidhyanathan: As we said, this IFM turnaround is completed. So we expect a sequential improvement going forward from Q1 onwards on the NS segment because whatever the price increases that we have got, the cost correction that we have done in the ISM business that will s tart delivering the results. So there will be a sequential improvement in the Network Solutions going forward. Of course, as Ravi mentioned in his comments, the GFS segment is something which we need to watch, but there are certain actions that we have taken to derisk, especially on the cost side. So hopefully, we'll be able to partially offset that.

Vaibhav Shah: So any guidance on the margin front, overall business or on a segmental basis for FY '26 or '27?

R. Vaidhyanathan: As we said that ISCS will be more or less similar to the 9.5% to 10% that we have given the guidance earlier. And the Network Solutions will see a sequential improvement in FY '26 compared to FY '25.

Vaibhav Shah: Okay , sir. Sir, and lastly, on the ESOP expenses, what was the number for this quarter?

R. Vaidhyanathan: It's a very small amount, Vaibhav. It's not very big. It's very, very small.

Moderator: Next question comes from the line of Rohan with Nexus Capital.

Rohan: So, sir, apologies if you have covered this in the opening remarks. Just can you talk about the Europe region in the ISCS segment? And also what's the update on the delay on the U.K. contract, which we have mentioned last quarter? I'm sorry if this covered . I joined the call a bit late?

Ravi Viswanathan: No, that's a good question. We have not covered it. So one of the things that we said was our margins in ISCS segment in Q4 was marginally down. And this is also due to a onetime cost provision of about INR 13 crores that we took in Q4 with respect to a large contract that we are partially exiting in the ISCS segment. This is a nonrecurring in nature. But otherwise, I think the ISCS margins remain healthy.

Rohan: Sure. And sir, the contract bid on the contract bid on the U.K. contract?

Ravi Viswa

nathan: Yes, that's the contract I was saying. With respect to that contract, we'll be partially exiting that contract, which means a part of the contract, there's a change in the strategy of the customer, and we'll be in -sourcing part of that business of that cus tomer by September of this year, while we retain some portions of that contract. So that is still work in progress, but that is the update on that contract.

Rohan: Sure, sure. That's fair. And sir, secondly, can you just share some highlights or more highlights on the recent contract, the retail contract we have won in U.K. I mean, what will be the scope of work, et cetera? I mean just some more detail on the contract?

Ravi Viswanathan: It is for a large retail customer where we -- there are a lot of these equipment that they have in their stores. So we manage all of their spare parts across the length and breadth of the country and the ability for us to deliver these spares to their technicians who will then fix or maintain or repair any of these large equipment that they have in their retail stores. So it's a nationwide, I would say, spares storage distribution program supported with a strong tech platform.

Rohan: Sure. Sir, any color you can give on the size of the contract?

Ravi Viswanathan: I mentioned that it's about a INR 1,000 crore contract over a 3- year period. And the contract will come into effect from the second half of this year.

Rohan: Fair enough. Fair enough. And sir, lastly, last question is on the U.K. business. We have seen some change in the management. Can you just throw some light on that?

Ravi Viswanathan: I think we have mentioned that Andrew Jones, who is the CEO of the U.K. business has resigned. So we have Mr. Jon Croyden, who is heading our IFM business. So what we have done is we have elevated Jon Croyden to look after all of the European business, and he will be reporting into Richard Vieites, who is managing all of U.S. and Europe at this point.
Moderator: Next question comes from the line of Ashok Shah from Eklavya Invesco Family Office.
Ashok Shah: Sir, we are doing almost a major business outside India, but we have paid around INR 202 crores finance cost versus last year INR 156 crores. So what's the interest rate and how we are going to reduce this finance cost?
R. Vaidhyanathan: Okay. Ashok, I think the interest cost that you see here is driven by two things. One is the Ind AS 116 interest and also the working capital borrowing. So that is why you will see that INR 156 crores of interest cost on the P&L.
Ashok Shah: So what is the interest rate we are paying?
R. Vaidhyanathan: Interest rate, we will not be able to give you the specific number because there are in multiple currencies as well as multiple regions. But I would say bulk of the interest cost that you see there is pertaining to the Ind AS 116 interest and the working capital interest that.
Ashok Shah: So we are doing business outside India and major borrowing is outside India or it's from India?
R. Vaidhyanathan: Outside India. Mix of both India as well as outside India in proportion to the same.
Ashok Shah: Okay. So there is no plan to reduce the interest cost.
Ravi Prakash: Sorry, I was just going to maybe -- this is Ravi Prakash. I just mention. See, when you look at - - if you look at our gross debt, that number has not changed much. So the interest cost that you see on the P&L has two components, the actual interest we pay to banks and the one that is because of the Ind AS accounting.
The actual interest we pay to the banks has actually stayed more or less constant between the 2 years. And if you look at the debt number also. That number is -- the actual interest is for the full year, about INR69 crores to INR 70 crores, and that has stayed consistent.
Ashok Shah: Sorry to disturb you. Sir, my contention is th

at we are borrowing in India and paying around 8% to 10% interest rate and are doing business in outside India, which has no profitability of around
8% to 10%. So how we are going to tackle it?
Ravi Viswanathan : No, we are not borrowing in India. We borrow wherever the money is needed. So for example, if you need money in the U.K., we borrow U.K. interest rates in U.K. If you -- so we don't borrow money in India and transfer it outside. So our -- if you look at our gross debt, which is -- and the interest cost, you will see that actually our interest cost effectively is much lower than what we have in India. We don't borrow in India and actually move the money to overseas. So to clarify your quest ion and to kind of make it very clear.
Moderator: Next question comes from the line of Disha Giria with Ashika Institutional Equities.

Disha Giria : I just have one question in regards to the earlier participant's question regarding the change in management. If I remember correctly, in the resignation of the previous CEO, he had mentioned something regarding Project Voyager. and lack of commitment towards it. So if you could just somewhat explain it once.
Ravi Viswanathan: Sure, sure. I think Project Voyager is all about rightsizing and rightshoring, so that's really where the challenge was in terms with the management. So I think these are all part and parcel of a larger business, especially when it comes to overseas, and we are looking at moving work from higher cost to lower cost locations. So I w ould probably term that as something which Andrew has captured in his mail.
Moderator: Next question comes from the line of Karan Sharma with Sharma Securities.
Karan Sharma : So sir, just wanted to know overall on company front, what would be our target this year in terms of revenue growth, EBITDA and margins?
Ravi Viswanathan: Target, what? Sorry?
Karan Sharma: Yes. Overall, on the company front, what will be our target this year in terms of revenue growth, EBITDA and the margins?
Ravi Viswanathan: I think, Vaidhy, probably answered. We'll probably repeat that our target on the revenue front is to grow double digit on the revenue. Our EBITDA -- our guidance has been that our...
R. Vaidhyanathan: ISCS will be at...
Ravi Viswanathan: ISCS will be at about a 9.5% EBITDA number and the...
R. Vaidhyanathan: And the Network Solutions will be sequentially better than FY '25.
Ravi Viswanathan: And get to the target number by FY '27.
Karan Sharma: Okay. Sure, sir. And sir, just another question. Sir, on ISCS India business, we have been talking about slowdown and exit from loss -making contracts. So what trends are we seeing currently?

Like are we adding new customers? Or what would be the demand out look for FY '26, if you can provide something on that?
Ravi Viswanathan: Like I said, we have a very strong pipeline. We -- if you look at the pipeline, we are at the final stages of a fairly large engagement when it comes to an end -to-end opportunity with a large wind turbine manufacturer. It's a comprehensive 3PL solution. We are also actively engaged large deals with a leading Indian chemical manufacturer with another large commercial vehicle manufacturer. So the pipeline is very strong, and we are fairly bullish about the growth prospects in India.
We also spoke about winning back a large freight contract from a large global auto component manufacturer in India. So we have had good wins and also very strong pipeline, which supports the growth momentum and the growth story that we've been talking about. The specific point to we exiting some of the lower profit or low -margin accounts was a design play and a planned one

came to FY '25. And I would say the company has done remarkably well, and we were able to significantly

bolster the profitability of the India ISCS business with those measures that we took.
Karan Sharma: All the best for the coming results.
Moderator: Next question comes from the line of Rohan with Nexus Capital.
Rohan : Sir, just wanted, can you please throw some light on the IFM side of business in terms of profitability , what sort of margins we are doing currently? And what would be aspiration in, say, the medium run on a steady -state basis?
Ravi Viswanathan: I'll let Vaidhy answer that, Rohan, but we have not been giving guidance on subsegments. But just to say that the measures that we have taken with respect to price increases to over 100 customers plus all of the measures that we're taking with respect to r ightsizing and rightshoring in that business, we have significantly, and I think Vaidhy called out a INR 5 crore redundancy costs, which is part of that process. So that will help us grow our margins, and we believe that we are on an upwar d trajectory, and we will hit our guidance numbers in FY '27.
Moderator: Next question comes from the line of Kunal Sabnis with Nine Rivers Capital.
Kunal Sabnis: I just missed one point, what you mentioned on the U.K. major project. So the project that you mentioned in quarter 3, did you say that you're exiting it?
R. Vaidhyanathan: So a part of the contract, the customer has moved a strategy from moving it from an outsourced operation to an in- house operation. So we are in the process of working with the customer to transition that by September. So we' ve not exited as yet, but we will move parts of the contract back to the customer location by September end this year. But while we continue to execute some other parts of the contract.
Kunal Sabnis: So that was a large contract, right? So that becomes a small contract after this a change?
Ravi Viswanathan : Yes. So we had called out that as about a INR 2,000 crore contract over 10 years. So you can say that in FY '26, we probably will have an impact. So I would say, about INR60 crores to INR 70 crores on the revenue. So it will not be material on a INR 10,000 crores. But yes.
Kunal Sabnis: And with respect to the hit that you take since you had incurred costs, how much would that be in total?
R. Vaidhyanathan: That's about INR 13 crores in Q4, Kunal.
Kunal Sabnis: And that should continue for another 2 quarters?
R. Vaidhyanathan: No, that's a onetime cost. That is nonrecurring.
Kunal Sabnis: So that's not recurring. Okay. Perfect. And finally, on the ISCS business, since you expect sort of a double -digit growth, where should this growth come from? And if you could sort of throw some light on when we had spoken last time, the growth in the Indi an ISCS business looked very

promising, but that hasn't come through. Obviously, you spoke about your recheck. But when does that start to show up in numbers?
Ravi Viswanathan : So I think -- let me answer it in two parts. One is we see broad -based growth across U.S., Europe and India. I called out some of the large deals that we have won in the U.K., for example, the INR1,000 3-year contract we have signed with a large retailer. We have a similar engagement - - similar size engagements in the U.S.
In India, this year, specifically, we decided to move out of some low -margin accounts. And that's the reason why our revenue addition kind of filled into those exits. But going forward, I think our momentum is strong. I spoke specifically about a large 3PL opportunity with a global wind turbine manufacturer.
Again, these are all significantly large contracts, which hopefully we'll be able to share more details in the coming quarter. We

are hopeful of closing a couple of those in this quarter. So momentum on revenue is very strong, Kunal. And we are pretty bull ish about the revenue
opportunities in ISCS across the three major markets.
Moderator: Nex

t question comes from the line of Vaibhav Shah with JM Financial Limited.
Vaibhav Shah: Sir, on the balance sheet side, we have seen some increase in terms of debt in FY '25. So can we expect to be net debt free in FY '27? And how could be the moment in FY '26?
R. Vaidhyanathan: Vaibhav, if you look at our net debt, I think it is more or less similar to FY '24 levels. We don't see a significant increase in the debt levels. And most of the debts are working capital
borrowings. And these debt will continue in FY '26 as far as we kno w as we expand our business.
Vaibhav Shah: So we could see a similar number in FY '26 as well?
R. Vaidhyanathan: Yes, yes.
Vaibhav Shah: And FY '27, can we see a sharp reduction?
R. Vaidhyanathan: I think these are all working capital borrowings by nature . They will continue actually. It won't be debt free, I would say.
Vaibhav Shah: Okay. But at a net debt level, we should be broadly net cash?
Ravi Prakash: Yes. So Vaibhav , let me -- Ravi Prakash here, maybe I just get. Look, the way to read it is we've been keeping our net debt at a very constant level while delivering two things: consistent revenue growth and investing in capex . So I think the way to read it is that growth is being funded quite
efficiently. That's the way I would look at it, right?
So there will always be some bit of working capital debt because of always there will be a bit of a timing mismatch between your receipts and your payments. But we'll manage it in a very
narrow band. That's what we've always been messaging.
Moderator: Next question comes from the line of Sanjeev Damani with SKD Consulting.

Sanjeev Damani: Sir, actually, certain terminologies, I could not follow. If you kindly just tell me what is NS segment, what is GFS segment and what is IFM segment? If you can kindly help me.
Ravi Viswanathan: We'll do that. It's all there on the website if you need more details, Sanjeev, but NS stands for Network Solutions, and there are two subsegments, namely Global Forwarding Services, which is GFS and IFM, which is the Integrated Final Mile. So those are th e two subsegments under the
NS segment. Okay.
Sanjeev Damani: IFM is integrated fiber?
Ravi Viswanathan: Final Mile.
R. Vaidhyanathan: Final Mile.
Sanjeev Damani: Final mile. Okay. Anyway. And sir, now my point is that ours is a company which is belonging to TVS Group. So obviously, all TVS business should be with us, that is mobility and some other
electrical component and so many things TVS Group is manufacturing. So that whole
assignment should be always with us ?
Ravi Viswanathan: Let me just say this that our total revenue from not just within our own group, but the entire TVS family because now they're all different groups, as you may be aware, is less than 10% of our overall revenue. So -- and that's how it will probably continue going forward. Of course, we will
compete and bid and try to win every single opportunity in the TVS family. But these are all
competitive bids, Sanjeev. There is -- I would say, we got to work harder than otherwise to make
sure we win t hose deals within the family.
Sanjeev Damani: Got it, sir. Got it. Got it. We have to be commercially fit to get those kind of businesses . So that includes, sir, carrying, forwarding, transporting, storing and then redistributing to their
distributors or others and warehousing as well. So am I right in my understanding about the
business?
Ravi Viswanathan: Yes. Broadly, you're right, Sanjeev. Yes.
Sanjeev Damani: So is it that we take the whole assignment or any one part also we can take from any customer?
Ravi Viswanathan: Absolutely, I would be delighted to take the whole, but that's not the way it works. Across the globe, we probably have customers for whom we do one, two or three of those items that you
mentioned. There are a few where it's end -to-

end, but very few of them will be end -to-end.
Sanjeev Damani: Okay. Sir, can I also know that how much properties we own for warehousing or largely we are dependent paying rent only for the warehousing?
Ravi Viswanathan: Yes. So we are an asset -light company. So we get into long-term lease agreements with warehouse providers and fleet providers.
Sanjeev Damani: Okay. So we do not own any such big plot of land or warehousing facility for our business neither in India nor abroad?

R. Vaidhyanathan: Correct. We don't own any assets, Sanjeev. Most of the -- all the assets are on lease...
Sanjeev Damani: Okay. Okay. And regarding transport sector, if at all, freight sector, do we own containers? Do we own trucks, etcetera? Or there also, we hire and get it done?
Ravi Viswanathan: Yes, correct. Correct. We don't own any assets. We always hire.
Sanjeev Damani: Okay. Okay. Sir, all the very best. I mean you know that shareholders have still not been benefited for quite a long period. after the public issue. We hope that you will be able to reward us all very shortly and wish you all the best. We know you are a ve ry good group and very efficient people and doing very, very good kind of activity business with all ethical means. So we are always looking forward to something big coming from your company, sir. All the best from my side.
Ravi Viswanathan : Thank you for your trust
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question - and-answer session. I would now like to hand the conference over to the management for closing comments.
Ravi Viswanathan: Thank you all for your time, questions, continued interest in our journey. As we close out FY '25, we recognize the challenges that lie ahead from macroeconomic headwinds to structural shifts in global supply chains. But we also see these as significant op portunities to strengthen our market position, enhance operational resilience and build deeper relationships with our customers. Our focus remains very clear, executing on the cost and productivity initiatives we have set in motion, scaling segments and driving long-term value creation through disciplined customer - centric growth. We remain absolutely focused on our target of 4% PBT. Thank you once again for your support, and we look forward to engaging with you in the quarters ahead.
Moderator: Thank you. On behalf of TVS Supply Chain Solutions Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

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August 18, 2025

BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051
NSE Symbol: TVSSCS

Dear Sir/Madam,

Sub: Transcript of earnings call with analysts/ investors

Pursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Solutions Limited ("Company"), analyst call held on August 11, 2025, to discuss the financial results for the quarter ended June 30 , 202 5.

The transcript is also uploaded in the Company's website https://www.tvsscs.com/investor -relations/

Kindly take the above information on records.

Thanking You,

Yours faithfully,
For TVS Supply Chain Solutions Limited

P D Krishna Prasad
Company Secretary

Encl: As above

"TVS Supply Chain Solutions Limited
Q1 FY '26 Earnings Conference Call"
August 11, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th August 2025 will prevail

MANAGEMENT : MR. RAVI VISWANATHAN – MANAGING DIRECTOR – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. R. VAIDHYANATHAN – GLOBAL CHIEF FINANCIAL OFFICER – TVS SUPPLY CHAIN SOLUTIONS LIMITED
MR. PRABHU HARIHARAN – HEAD INVESTOR RELATIONS – TVS SUPPLY CHAIN SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to TVS Supply Chain Solutions Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Prabhu Hariharan, Head of IR of TVS Supply Chain Solutions Limited. Thank you. And over to you, sir.

Prabhu Hariharan: Thank you, moderator. Good morning, and welcome all to TVS Supply Chain Solutions Earnings Call for Q1 FY '26. I hope everyone had a chance to look at the financial results, which were posted on the company's website and also on the stock exchange.

We have with us today Mr. Ravi Viswanathan, our Managing Director; and Mr. R. Vaidhyanathan, our Global CFO. We'll commence the call now with opening remarks from our management, along with the business performance update. It will be followed by an open forum for Q&A.

Before we begin, a customary remark, I would like to point out that some of the statements made during this call may be forward- looking in nature and must be reviewed in conjunction with the risk that the company faces. A disclaimer to this effect has been included in the investor presentation.

I request and hand it over to Ravi to make the opening remarks. Over to you, Ravi.

Ravi Viswanathan: Thank you, Prabhu. Good morning to all of you. Firstly, let me welcome all of you once again to our earnings call to discuss the performance for the first quarter ended June 30, 2025. Let me start with the key highlights for Q1. We delivered year-on-year growth in revenue and profitability, driven by disciplined execution, continued cost focus and benefits from our strategic investments.

A major highlight was a substantial swing to profitability, both year-on-year and sequential in our Integrated Final Mile business in the U.K. and Europe. This performance underscores the effectiveness of our turnaround plan and the structural changes that we have implemented over the last year.

Our balance sheet remains healthy, and we are well positioned to capture opportunities in our priority markets. As you may recall, in our last earnings call, we have spoken about a series of strategic actions, including leadership restructuring, headcount rationalization and right-shoring,

with a sharp focus on lowering operational expenditures across our entities. I'm glad to say that all of these actions are well underway across all the regions.

Let me start by explaining the structural transformation we have initiated in our U.K. and Europe business. Effective April 2025, we have combined our Integrated Supply Chain Solutions and Integrated Final Mile businesses in the U.K. and Europe under a single leadership. The integration of ISCS and IFM reflects a fundamental shift in how we want to deliver value, aligning our services with how our customers consume our services.

By bringing these businesses together, we are creating an integrated platform by combining warehousing, distribution and final mile that enables more seamless engagement and stronger cross-sell opportunities.

The unified leadership and operating structure will enable us to present one face to the customer, unlock synergies and efficiency in service delivery and drive sharper commercial focus while meet

ing the integrated solution needs from our customers. The integrated business in Europe is now led by Jon Croyden.

Jon brings over 30 years of experience in operations and logistics. He began his journey with TVS SCS as a Managing Director within the IFM business in the U.K. and Europe and subsequently elevated to the CEO of IFM in 2023, and he has been successfully leading the turnaround of that business. This change in operating model also led us to realign our segment reporting structure starting this quarter.

We have made 2 changes in our segment reporting. One, ISCS now includes integrated final mile services, while GFS reflecting freight forwarding business will be a stand-alone segment. This segmentation reflects the way we manage and serve our customers going forward. We have undertaken a reclassification of warehousing contract services. Certain warehousing contracts in Singapore and Thailand, which were previously grouped under GFS, have now been merged with ISCS.

Out of this structural integration, emerged our formal restructuring and transformation program for the U.K. and Europe business, which we call as Project One. Project One is designed to integrate the 2 businesses across every layer from leadership to operations, commercial processes and support functions.

It also involves consolidating warehouse infrastructure, streamlining our brand architecture, remove all manpower overlaps and bring other synergies, which will drive efficiency across the platform. Project One is expected to deliver about INR110 crores to INR120 crores in annualized cost savings, with about INR50 crores to INR60 crores benefits starting to reflect in FY '26 itself.

Under the new structure, we have taken significant steps to simplify and strengthen our operating model anchored around the key pillars: rightsizing, simplifying and bringing leaner organization layers through integration, right-shoring, transitioning certain roles and activities from high cost to optimized cost locations; management restructuring, which is streamlining leadership to support the unified operating model; warehouse consolidation, rationalizing and consolidating warehousing infrastructure to drive scale and efficiency.

Brand realignment, harmonizing our go-to-market identity under one unified brand to reflect all of our integrated offerings. And finally, a consolidated business development team focused on unlocking cross-selling opportunities.

All of this is currently underway in U.K. and Europe. As a consequence of Project One, we have recognized certain one-time restructuring costs in this quarter, and we had already mentioned this in our Q4 earnings call. Vaidhy will elaborate more on this shortly. Another important milestone for the quarter is that we have realized value from our early-stage strategic investment in TVS Industrial and Logistics Park.

While our core model is asset-light, we made a strategic investment in TVS ILP several years ago, a business that acquires and develops warehouse infrastructure. In Q1, TVS ILP transferred approximately 11 million square feet of developed assets into an InVIT platform backed by marquee global and domestic investors. This transaction has delivered significant value. We recorded INR177 crores as our share of profit in this quarter.

Let me now briefly touch upon our financial performance for the quarter. We reported a consolidated revenue of INR2,592 crores, reflecting a growth of 3.7% sequentially and 2.1% year-on-year. ISCS segment continued to deliver steady growth across regions, while GFS segment saw sequential improvement with uptick in volume despite ongoing macro challenges and soft pricing.

Our adjusted EBITDA stood at INR173 crores with a margin at 6.7%, showing clear recovery from quarter 4 FY '25. We also delivered a strong improvement in our PBT. Our underlying adjusted PBT,

excluding the share of profit from associates, improved to INR19 crores this quarter, up from INR14 crores in Q1 FY '25 and INR17 crores in Q4 FY '25. Additionally, the share of profit from our strategic investment in TVS ILP stood at INR177 crores this quarter, significantly uplifting our total adjusted PBT to INR196 crores.

Our GFS segment continues to face macroeconomic pressures. particularly around uncertain tariff environment and softening freight rates, which all of you are well aware of. In our Q4 earnings call, I have specifically called out that GFS is impacted by uncertainty and potential contraction, influenced heavily by policy-induced trade disruptions. We have seen this playing out in Q1 FY '26, and we expect this volatility to continue. With the above strategic initiatives outlined in today's call, we remain committed on our growth targets and to achieve our target of 4% PBT by quarter 4 FY '27.

Let me now hand it over to Vaidhy, our Global CFO, to take you through our financial highlights for the company in detail. Over to you, Vaidhy.

R. Vaidhyanathan: Thank you, Ravi. Good morning to all. Thank you for joining us today. Before I get into the financial performance, I would like to call out a few critical highlights in Q1 FY '26. As Ravi mentioned, Project One is a major transformation initiative to integrate our ISCS and IFM businesses in U.K. and Europe. This program is expected to generate approximately INR120 crores of sustainable annualized cost savings, with INR50 crores to INR60 crores savings expected to start accruing in FY '26. This will be one of our key levers to achieve our 4% PBT target by Q4 FY '27. In line with this, we have recognized a one-time exceptional cost of INR91 crores during Q1 FY '26.

It is important to note that out of INR91 crores, INR53 crores is expected to be the cash expense, primarily towards employee redundancy costs and site consolidation costs. The remaining INR38 crores is related to impairment of legacy brand, which is non-cash in nature. Also, out of the INR53 crores we had provisioned in Q1, we have incurred approximately INR17 crores, and the balance is estimated to be incurred in Q2 and Q3 FY '26, which is already provisioned in Q1. This is expected to improve both the EBITDA and PBT percentage going forward.

As outlined in our earnings presentation, we have made changes in our segment reporting. IFM business and certain warehousing contracts in GFS business is now reclassified to ISCS segment. GFS reflects the freight forwarding business as a stand-alone segment. Going forward, our segment will consist of ISCS and GFS. The erstwhile NS segment will only have GFS and accordingly is renamed as GFS segment.

Third, lastly, our strategic investment in TVS ILP has enabled us to realize significant gain in Q1 FY '26 as TVS ILP has transferred their warehousing assets through the InVIT listing, that is INR177 crores is our share of profit in TVS ILP in Q1 FY '26. TVS ILP will continue to develop warehousing assets and transfer to the InVIT platform.

Now, I will walk you through the financial performance. We reported consolidated revenue of INR2,592.3 crores, reflecting a growth of 3.7% sequentially and 2.1% on a year-on-year basis.

ISCS segment, which now includes the integrated final mile business in U.K. and Europe, delivered steady growth with revenue at INR1,982.9 crores compared to INR1,943.4 crores in Q4 FY '25 and INR1,905.6 crores in Q1 of last year. This translates to a growth of 2% sequentially and 4.1% year-on-year.

On the GFS segment, we reported INR609.4 crores of revenue this quarter, marking a 9.7% sequential growth, largely on the back of volume uptick, partially offset by a sharp decline in the rates. On a year-on-year basis, revenue declined by 3.8%, primarily due to the continued pressure on the freight rates. Pricing continues to

remain under stress, both sequentially and
year-on-year and macroeconomic uncertainties and tariff volatility continue to weigh on this segment.

Overall, we remain encouraged by the positive momentum in the ISCS segment while continuing to be cautious on the GFS business with geopolitics and trade uncertainties. Basis on our various discussions with the investors over the last few quarters, the question often asked is the impact of the freight business in the overall performance. With our new segment structure, investors can now have a clear visibility on the impact of the volatility in the GFS business to the overall margins of our consolidated operations.

Now moving into the cost structure. Freight, clearing, forwarding and handling expenses declined from INR733.3 crores in Q1 FY '25 to INR680.3 crores in Q1 FY '26. This reduction primarily reflects the lower freight rates within the GFS segment as both ocean and air freight rates tapered during the quarter in response to the subdued global trade.

On a sequential basis, it increased from INR632.8 crores in Q4 FY '25 to INR680.3 crores in Q1 FY '26, in line with the revenue growth from the GFS segment.

Sub-contracting expenses increased from INR343.3 crores in Q1 FY '25 and from INR357 crores in Q4 FY '25 to INR377.1 crores in Q1 FY '26, in line with the growth in the ISCS revenue and also due to change of business mix.

Material-related costs remained largely stable on a year-on-year basis.

Employee expenses increased from INR577 crores in Q1 FY '25 and INR610 crores in Q4 FY '25 to INR619 crores in Q1 FY '26. This increase was primarily attributable to the higher operational volumes in the ISCS business and due to yearly inflation.

In terms of profitability, our adjusted EBITDA for the quarter stood at INR173.3 crores, translating to a margin of 6.7%. This compares to INR185.3 crores at 7.3% in the same quarter last year, while the decline was largely attributable to the GFS segment, which saw a year-on-year compression in the margin due to rate decline and pricing pressure.

On a sequential basis, we saw a clear improvement. EBITDA improved from INR161 crores at 6.5% in Q4 FY '25, driven by margin recovery in both the segments. Specifically, within ISCS and IFM operations delivered a step-up in profitability as we had communicated last quarter that IFM would see gradual increase in margin going forward. With respect to the GFS, margins improved sequentially on the back of operating leverage from higher volumes despite continued

pricing headwinds.
Our adjusted PBT before share of profit from TVS ILP was INR19 crores, up from INR14 crores last year, a growth of 35% year-on- year and reflecting margin improvement to 0.7% from 0.5%. On a sequential basis, a growth of 12%. This is INR17 crores in Q4 FY '25. Our reported PBT before exceptional items for the quarter is INR195 crores, including share of profit of INR177 crores from TVS ILP. Our reported PAT for the quarter was INR71.2 crores as compared to a loss of INR3.9 crores in Q4 FY '25 and a profit of INR7.5 crores in Q1 FY '25.
Before I conclude, I would like to call out Slide 28 of our Q1 FY '26 earnings presentation, where we had explained our approach to improve the PBT percentage to 4% by Q4 FY '27. Three core levers driving the PBT growth are the IFM turnaround, which should improve our PBT margin by 0.4%, primarily on account of the actions we have taken to turn around that business that includes significant pricing corrections in the market.
Second, savings from the Project One, which should deliver approximately 1.2% of the PBT. As I explained earlier, the annualized savings from Project One is estimated to be approximately INR110 crores to INR120 crores due to a combination of factors such as a unified leadership structure, site consolidation, rightsizing and right-shoring in the U.K. a

nd Europe businesses.
And lastly, improvement in the operating leverage is expected to deliver additional 1.9% PBT improvement. While we grow the revenue and gross margin, our overhead growth will grow at a much lower rate, resulting in higher operating leverage. Our diversified portfolio, leaner cost

base and the actions we have taken and the other initiatives that are currently underway gives us high confidence in reaching this goal.
With this, I will hand it back to Ravi.
Ravi Viswanathan: Thank you, Vaidhy, for the detailed analysis. Let me now touch upon our business development efforts and key customer engagements, which continue to support our revenue momentum. In Q1 FY '26, we secured new business wins of INR124 crores, representing around 5% of Q1 FY '25 revenue. The contribution from these wins have been relatively muted this quarter, primarily due to lower-than-anticipated volumes in some of the new contracts as well as delays in revenue start dates for a few key engagements. We expect both volume ramp-up and revenue recognition to improve in the upcoming quarters.
Our order pipeline remains strong at INR5,300 crores, giving us solid revenue visibility going forward. During the quarter, we won several notable contracts. On the ISCS side, we secured mandates from one of the large global agri equipment companies based in the U.S.A., the largest diversified omnichannel retailer in India, a leading global tech and entertainment company from India, a premium electric vehicle manufacturer from Asia, a European telecom infrastructure services provider, a global footwear brand with manufacturing and retail presence in India, a German engineering and technology conglomerate in Asia, an Indian IT service and consulting firm with operations in the U.K., a leading personal computing and printing solutions provider in the U.K. and a global IT services company with a strong presence in the U.K.
On the GFS side, we added a global commercial vehicle manufacturer, a global leader in battery technology, an Asian multinational food and beverage company, a global health supplement and cosmetics firm and an international retail refrigeration equipment vendor. These wins reflect the trust leading global and domestic brands place in our capabilities and position us well for continued growth in the coming quarters.
In summary, our year-on-year performance with improving profitability highlights the steady momentum in our business. We are consistently winning key deals and tapping into emerging opportunities across sectors and geographies. With the new structure, we are well positioned to participate and convert more opportunities in the future, and we remain confident about sustaining the growth trajectory and creating long-term value for all our stakeholders with a clear road map to achieve 4% PBT by Q4 FY '27. With this, we'll open the floor for questions.
Moderator: Thank you very much. The first question is from the line of Sucrit Patil from Eyesight Fintrade Private Limited. Please go ahead.
Sucrit Patil: This is Sucrit Patil here. I have a bit of a telescopic question. As TVS Supply expand its integrated network position, how are you thinking about deploying AI across the demand forecasting, warehouse automation and freight routing? And do you think it can drive the margin improvement? And do you see this helping TVS build a scalable tech-driven edge in global supply chain solutions over the next 2 to 3 years? That was my question.
Ravi Viswanathan: Thank you, Sucrit. This is Ravi here, and great question. I had mentioned in my earlier calls, I think sometime in the last fiscal year that we have started pilot programs in AI. We actually have

scaled the deployment of AI in select engagements in U.K., U.S. and India, where we use a fair amou

nt of visual computing and bringing in orders of efficiency. I think the question that you have asked specifically around demand forecasting, these are models that we already have in our software tools and we are building AI into it.

But let me just say that where there is great opportunity to bring AI is in our operations. Agentic AI is something, which we will talk about over the next few quarters. We believe that there is a great scope for us to improve process efficiency and bring down the ability or bring -- increase our ability to drive more volumes with less using Agentic AI.

So, we have multiple AI engagements, which are in various stages of both in initiative and in deployment, AI for our automation and Agentic AI for our process automation and significant amount of AI that we are deploying. We have our own tool set called Sidekick, which is like a ChatGPT kind of tool, which helps us drive internal efficiency, especially in tapping into the various knowledge nuggets that we have within the enterprise. So multiple initiatives, we will update you as we go forward in our journey. But thank you, Sucrit. I hope I've answered your question.

Sucrit Patil: Yes, yes. And pretty much answers my query. And the next few quarters would be very interesting to watch for TVS.

Moderator: The next question is from the line of Ishant Lalwani from Ashika Institutional Equity.

Ishant Lalwani: So with the recent segmental restructuring where ISCS now includes the IFM business, what are your revised short-term and long- term revenue and EBITDA targets for each segment?

R. Vaidhyanathan: Okay. Thanks, Ishant. As we said, as of now, the ISCS segment is hovering around 8.3% adjusted EBITDA margin. And in the medium term, we expect this to go to around, say, 10%, 10.5%. And as we guided in the past, the revenue would be somewhere around mid-teens.

Ishant Lalwani: And revenue target?

R. Vaidhyanathan: The revenue growth would be around mid-teens. Yes.

Ishant Lalwani: Okay. Also, despite absolute profitability holding up, adjusted EBITDA margins have declined. So, what are the key reasons behind it?

R. Vaidhyanathan: Ishant, as we mentioned that it's primarily because of the GFS segment where there was a drop in the freight rates, which impacted the absolute profitability. One of the primary reasons is the GFS segment.

Ravi Viswanathan: Just wanted to qualify that we continue to see that as -- there will be a fair amount of volatility given the overall trade environment. And if you see even in our restated numbers, you will find that the GFS has been fairly volatile, and that volatility has impacted the overall EBITDA there.

Ishant Lalwani: Okay. And how should we view the contribution from TVS ILP for the full year?

R. Vaidhyanathan: Could you repeat your question, Ishant. Your voice is bit muffled.

Ishant Lalwani: Yes. So how should we view the contribution from TVS ILP for the current year given that it has reflected in muted PBT?

R. Vaidhyanathan: Yes. So, I think -- see what happened in Q1 is ILP has transferred their warehousing assets and because of which we had a higher share of gain in Q1. I think going forward, it will be a normalized share of profit from ILP for the rest of the quarters.

Ishant Lalwani: Okay. Just a last question. The exceptional item expense related to your Project One, will this recur in FY '26? Or was it a one-off?

R. Vaidhyanathan: So, this is a one-off expense, Ishant, because relating to the Project One restructuring cost. As I called out, of the INR91 crores, INR53 crores is a cash expense that is likely to be incurred, including Q2 and Q3, where we have taken a provision in Q1 itself because the program calls for -- there is an obligation for us to recognize this cost now itself as per the accounting standard. So, we have recognized this cost because it's a formal restructuring program that

we are doing in U.K. and the Europe. And because of the obligation, we had to recognize this cost in Q1 itself, even though the actual cost will be incurred in Q2 and Q3.

The INR38 crores is a brand -- legacy brand we had. As you know, we have done a lot of acquisitions in the past and we are carrying this legacy brand. And as part of this Project One, we are integrating everything into a unified brand architecture. That is where we have taken this write-off of INR38 crores of brand assets and which is a non-cash need.

Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: Congrats on a very good set of numbers. Sir, my question was related to TVS ILP. So basically,

we are having 25% holding in this company and this INR177 crores is our share, right, 25%?
R. Vaidhyanathan: Correct.
Saumil Shah: So, I mean, in the previous quarters, we were not having any gains from such sale?
R. Vaidhyanathan: Saumil, this year -- I mean, this quarter, since ILP went through an InVIT process, they transferred their warehousing assets to the InVIT platform, because of which they had a gain and we are getting a share of that gain at the rate of 25%.
Saumil Shah: Okay. So, I mean, going forward, how can we look at this particular segment? I mean every quarter, we will have some or the other gains or I mean, it would be like a once in a year kind of realization?
R. Vaidhyanathan: Yes. I think as and when ILP starts developing warehousing assets, they will be transferring to an InVIT platform. And at that time, there will be a gain. So what has happened in Q1 is that they have transferred almost 11 million worth of warehousing assets to the InVIT platform through which we have recognized this gain in Q1. As we keep developing more warehousing assets and transferring to the trust, there will be -- depending upon the market conditions, there will be a gain.

Saumil Shah: Okay. So basically, what is the size of the development? So, 11 million has generated INR177 crores. So, what is the total size what they are developing right now?
Ravi Viswanathan: So, they have in their prospectus said that they have a plan to develop about 20 million square feet. But there's no definite time period. I would say in the next -- in the medium term, that is their plan. But as they continue to develop assets, they will continue to put it in the InVIT platform. That's their plan.
Saumil Shah: So currently, whatever they have developed, they have already, I mean, transferred it? So right now, as of now, for next few quarters, we will not get any such gains?
Ravi Viswanathan: We don't anticipate in the next couple of quarters for sure.
Saumil Shah: Okay. So how should we look at this? I mean, this would be a one-off kind of exceptional items or it is a TVS Group only profit? How would I look at this?
Ravi Viswanathan: Understood. The way you look at it is that the plan of TVS ILP is around 20 million square feet, of which they have InVIT about 11 million. So, there is a balance of 9 million in the midterm -- in the medium term. And that's the way to look at it and not from a quarterly perspective.
Saumil Shah: Okay. Because, sir, as a shareholder, I mean, it's been a long wait. More than 2 years, our stock has not performed. In fact, it's even below our IPO price. So don't -- please don't get me wrong. There is no question on management's integrity. But I mean, for last 2 years, shareholders have suffered.
So, can you please give some comfort to the shareholder community that what's our growth outlook for next few quarters? I mean, what we are guiding 4% PBT and mid-teens kind of a revenue growth. So, are we on track to achieve it?
Ravi Viswanathan: Saumil, firstly, let me thank all the investors for their trust and patience. Yes, I completely appreciate and acknowledge it. Having said that, I think like Vaidh

y outlined, there's a clear plan
for us to get to 4% PBT, and that should unlock significant value, and that's our belief. And the management is absolutely focused in doing that.
All of the actions that we have taken, especially in bringing the structures together and leaning the organization and taking significant costs out of the organization is all focused on this one concept of profitable growth. So, I just want to reassure you, if you look at the pipeline, it's probably a very healthy pipeline.
We continue to grow our pipeline. The GFS segment has been incredibly volatile, and that has had, I would say, a fluctuating impact. But we are well on a track to get to a 4% PBT. So, I just want to reassure all of the investors on that.
Saumil Shah: And along with the revenue growth guidance of mid-teens?
Ravi Viswanathan: That's correct. The key for us is to continue to convert the INR5,350 crores and keep building the pipeline. And if you see the trend, we have been increasing our pipeline on a quarterly basis

and our revenue growth has been consistently up. So, I think all the leading indicators are showing positive signs. That's the way I will guide, Saumil.
Saumil Shah: Okay. Okay. So, we really hope that this quarter to be a turnaround quarter and we start delivering to our promises.
Moderator: The next question is from the line of Kunal Sabnis from Nine Rivers Capital.

Kunal Sabnis: Just confirming the Project One impact, what you mentioned was that in quarter 1, INR17 crores hit you have taken on the back of that. And the total impact will be INR53 crores for the full year, the cash impact, right? But you also said that some INR50 crores to INR60 crores of savings will be there in fiscal '26, so which means that the Project One is neutral for this year? And then you have a cost savings of INR120 crores next year?
R. Vaidhyanathan: Correct, Kunal. I think whatever is the initiatives that we have taken, that will give us a savings in FY '26 itself, about INR50 crores, INR60 crores. The annualized savings is the number is about INR110 crores to INR120 crores.
Kunal Sabnis: Got it. But you -- in fiscal '26, you also take a hit of INR53 crores. That's -- the understanding is correct, right?
R. Vaidhyanathan: Correct. Correct.
Kunal Sabnis: Perfect. And one thing on the GFS side, what -- so I mean, I understand things are in a flux and a lot of things are uncertain. What's the normalized EBITDA margin of this carved out piece, which is now pure freight forwarding?
R. Vaidhyanathan: Kunal, GFS on a normalized basis should be somewhere around 3%, 3.5%, Kunal. If you look at the past -- 3%, 3.5%. Correct.
Kunal Sabnis: And ISCS should be 10%, 10.5%, that's the...
R. Vaidhyanathan: 10.5%. Correct.
Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri: So sir, just wanted to ask, like, in terms of our PBT margins guidance is quite similar for FY '27. But how will we be exiting FY '26? So the benefits will we be accruing Q-o-Q or like it will be more back ended towards FY '27?
R. Vaidhyanathan: Darshil, see, what will happen in FY '26, there will be a sequential improvement in the PBT margin, Darshil, okay? And as I said, the Project One guide from turnaround will start giving us the benefits. And you can see -- you can start seeing those benefits coming from the early quarters of FY '27. And by the time we reach Q4 FY '27, I think we are confident of hitting that 4% PBT.
Darshil Jhaveri: Okay. Fair, sir. And sir, just wanted to ask one more thing. Currently in our planning base, have we accounted for the GFS, up and down because the idealized margin should be around 3%,

3.5%, but right now we are at 2%. So because of that, will there be some operating deleverage or some volatility in the mar

gins because of that, sir?
Ravi Viswanathan: So let me just say it's very difficult to model the current volatility that we are seeing. Having said that, what the company has done is to significantly reduce our cost structure so that we remain within a very narrow band in terms of our overhead to revenue volatility. So if the revenue increase or decreases, then we should not have a linear increase or decrease in the overhead.
That's the plan. So we have taken a lot of steps in terms of redundancy. We have mentioned it even in the last earnings call. We continue to take costs out of that business to make sure that we remain very lean and agile. But it's very difficult right now in the current environment to look at what impact it will be.
And one of the things I think the new segmentation does is for investors like you to see the GFS -- the impact on the GFS based on all of the things that we are seeing around us by calling them out because previously, it was in the Network Solutions segment. So by calling it out, it gives us better ability to model our numbers going forward. But I'm sorry, that's the best answer at this point that I can give.
Darshil Jhaveri: No, I get it. It's a bit difficult to model. But like -- so just my question is towards that is there like a slight risk because of the GFS segment, we will not be able to reach our goal because of the volatility that -- just because I'm assuming in the PBT margin of 4%, we would have modeled around 3%, 3.5% EBITDA margin. But if it sustains like this for some more time, then our margins will not improve the way we want them to improve. Is that the fair understanding of it?
R. Vaidhyanathan: Correct, Darshil. I think we assume that the GFS probably in 1 or 2 quarters, it will return to some kind of a normalcy once this uncertainty tapers off, and we'll hit the 3%, 3.5% PBT margin, the EBITDA margin for the GFS segment. But as Ravi mentioned, I think right now, the situation is a bit uncertain. So, we will have to wait for more stability in that segment.
Darshil Jhaveri: Okay. Fair enough, sir. I just wanted to understand with regards to our bid pipeline right now. So any more conversations happened? Or how does -- in general, the INR100 crores pipeline, how soon can we see fruition? What would be maybe our win rate of it, sir?
Ravi Viswanathan: We -- as a company, our win rate is about 22%. We continue to see how we can improve that. And some of the -- especially the ISCS segment has large gestation deals. The good thing is they are long-term deals and they are multi-year deals, but it also takes long time to fructify. But our

-- the pipeline that I've shared is actually our annualized revenue pipeline, which means that if I win all of those deals, that's the revenue I'll be able to recognize for the year. So, I would say that given the pipeline, we remain confident on the revenue growth.
Darshil Jhaveri: And the revenue growth should be around mid-teens, right, sir?
Ravi Viswanathan: That is the current outlook, yes.
Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: Yes. Sir, in our presentation, I think we've mentioned that the best, I mean, industry class other companies, they are having a PBT of 8% to 11%, whereas we are targeting for 4% by Q4 FY '27. So, I mean, what would be our long-term guidance for this beyond Q4 FY '27?
Ravi Viswanathan: Yes. Clearly, I think we have articulated that we want to get to that benchmark. But our first step is to get to 4% PBT by Q4 FY '27. And then we see how we can deploy additional levers. And there are quite a few opportunities like the first caller had mentioned.
I mean, the Agentic AI and the AI pilots that we are doing are aimed towards changing that trajectory. And we expect those to get deployed sometime in the latter part of the next fiscal. So, those are t

hings that we can keep building on as we see opportunities increase. But our immediate goal is to get to 4% PBT by Q4 FY '27 and then build the road map to get to the 8% to 11%. So, we'll have to take it one step at a time, as you can appreciate, Saumil.
Saumil Shah: Okay. Okay. And sir, any debt reduction plans for this year?
R. Vaidhyanathan: Saumil, as of now, I think we are comfortable with the debt and most of the debt is only for working capital. So, we are comfortable with the debt position actually.
Moderator: The next question is from the line of Riya Sharma from CK Capital.
Riya Sharma: So sir, I have 2 questions for you. The first one is the new business wins considerably dropped for this quarter from the usual 10% to 12% to 5%. Any reason for this? And how is the deal pipeline currently going?
Ravi Viswanathan: Okay. Is that 2 questions?
Riya Sharma: Yes. So that is the first question.
Ravi Viswanathan: Okay. Let me answer it first. I think I touched upon it in my commentary that we secured new business wins of INR124 crores, which was muted compared to what we have generally seen. Predominantly, it came on 2 counts. One is volume reduction, lower- than-anticipated volumes in some of our existing deals, but also a couple of large deals that we have signed had a, I would say, the delays in revenue start dates for those engagements.
So from a pipeline perspective, we remain very healthy, INR5,300 crores of active pipeline, and it continues to grow. The number of opportunities that are in different stages in our pipeline gives us tremendous confidence that we will stay on our growth plan. So, lead indicators are good.
Yes, I did mention in my summary that the revenue growth, which normally is about 9% to 10% was hovering around 5% this quarter, which is on account of lower-than-anticipated volumes. I guess it's a reflection of the overall trade environment and also some engagements, which started a bit later than the planned phase.
Riya Sharma: Okay. Got this. And the second question is that the overall India business of ISCS and GFS this quarter has been on a slowdown since past few quarters now. Can you throw some light on the same?

Ravi Viswanathan: Two things. I think if you see the Q1 numbers from India Incit itself has been muted. So in a way, I would say that from a supply chain side that we reflect that. But again, like I said, the lead indicators are good. Number of opportunities that we are chasing are still on the up. So, we remain confident. But yes, in many ways, it's a reflection of the overall performance here of India Inc in Q1.
Moderator: Ladies and gentlemen, that was the last question for today. As there are no further questions, I would like to hand over the conference to management for closing comments.
Ravi Viswanathan: Before we wrap up, let me first thank you for your questions, your interest, and we remain very committed to our overall trajectory of growth that we have spoken about. Let me reiterate the key takeaways from this quarter. Q1 has been a strong start to the year, driven by disciplined execution. The Project One we have initiated in the U.K. and Europe, combining ISCS and IFM under one leadership, optimizing our footprint and realigning our brands is already setting the foundation for a leaner and more customer- focused organization.

Project One will also be one of the key levers in delivering our 4% PBT target by Q4 FY '27, alongside the sustained turnaround of IFM and operational leverage that we can get across our other regions. We remain watchful of the macroeconomic and geopolitical certainties, but our diversified portfolio, disciplined cost management and healthy balance sheet positions us well to navigate volatility and capture growth opportunities.
We are confident that the actions we are taking today will deliver sustainable value creation for our s

hareholders in the quarters ahead. Once again, thank you all for your time, your questions and your continued interest in the journey.
Moderator: Thank you. On behalf of TVS Supply Chain Solutions Limited, concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

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February 17, 2026

BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051
NSE Symbol: TVSSCS

Dear Sir/Madam,

Sub: Transcript of earnings call with Analysts/ Investors

Pursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Solutions Limited ("Company"), Earnings call held on February 11, 202 6, to discuss the financial results for the quarter and nine months ended December 31, 202 5.

The transcript is also uploaded in the Company's website https://www.tvsscs.com/investor -relations/

Kindly take the above information on records.

Thanking You,

Yours faithfully,
For TVS Supply Chain Solutions Limited

P D Krishna Prasad
Company Secretary

Encl: As above

"TVS Supply Chain Solutions Limited
Q3 FY26 Earnings Conference Call "
February 11, 202 6

MANAGEMENT : MR. RAVI VISWANATHAN – MANAGING DIRECTOR
MR. R. VAIDHYANATHAN – GLOBAL CHIEF FINANCIAL
OFFICER
MR. PRABHU HARIHARAN – HEAD INVESTOR
RELATIONS

Moderator: Ladies and gentlemen, we welcome you all to the Q3 FY 26 Earnings Conference Call of TVS Supply Chain Solutions Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements do not guarantee the future performance of the company and may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0'on your touchtone phone. Please note that this conference is being recorded.

Now I hand over the conference to Mr. Prabhu Hariharan, Head Investor Relations from TVS Supply Chain Solutions Limited. Thank you, and over to you, sir.

Prabhu Hariharan: Thank you, moderator. Good morning, and welcome all to TVS Supply Chain Solutions earnings call for Q3 FY26. I hope everyone had a chance to look at the financial results, which we have posted on the company's website and also on the stock exchange. We hav e with us today Mr. Ravi Viswanathan, our Managing Director; and Mr. R. Vaidhyanathan, our Global CFO. We commence the call now with opening remarks from our management, along with the business performance update. It will be followed by a n open forum for Q&A.

Before we begin, a customary remark, I would like to point out that some of the statements made during this call may be forward -looking in nature and must be reviewed in conjunction with the risks that the company faces. A disclaimer to this effect has bee n included in the investor presentation. Now I request and hand it over to Mr. Ravi Viswa nathan to make the opening remarks. Over to you, Mr. Ravi Viswanathan .

Ravi Viswanathan: Thank you, Prabhu. Good morning to all of you. First, let me welcome all of you once again to our earnings call to discuss the performance for the third quarter ended December 31, 2025. I will share with you the highlights of our performance and my colleag ue, Mr. R. Vaidhy anathan, our Global CFO, who will take you through the analysis of our numbers. We look forward to interacting with you as part of the Q&A session.

For the benefit of those participants who might be joining the call for the first time, please note that TVS Supply Chain Solutions is a tech -led and asset -light supply chain solutions provider. We have 2 main business segments, namely the Integrated Suppl y Chain Solutions, or ISCS, and the Global Forwarding Solutions or GFS. We operate across 4 continents: Asia, Europe, North America and Oceania where we offer bespoke and tailor -made solutions in the 3PL space and also offer 4PL services in select markets . For more details about the company, you may please refer to our website at www.tvsscs.com.

Let me start with the key highlights for Q3 FY26 . Q3 FY26 was a strong quarter for us, marked by double -digit growth. Our consolidated revenue grew 11.1% year -on-year and adjusted EBITDA saw a step change as it grew by 31.2%. The adjusted EBITDA margins on a year -on-year basis expanded by 110 basis points to 7.3 % and by 60 basis points sequentially. As a result of this operating performance, the profit before tax grew from a loss of INR15 crores in Q3

FY25 to a profit of INR25 crores in Q3 FY26 with margins improving from negative 0.6% to positive 0.9%. On a 9 month basis, our revenue grew by 6.3% and adjusted EBITDA grew by 7.2%.

From a segment perspective, the quarter was led by strong growth in India, supported by new business wins and improved profitability. This points to a health

y demand environment and
strong execution on the ground in both segments, ISCS and GFS in India. Ou r India geography grew by 11.8% on a year -on-year basis and by 5.5% sequentially.

In ISCS Europe, we saw a clear profitability inflection. We delivered a strong margin expansion, supported by disciplined cost actions and better business mix. Robust new business wins further support our outlook for this region.

You may recall from the past that Q3 is normally a soft quarter given the holiday season in Europe. In North America, we launched one of our large engagements, which went live in Q3

FY26 , and we expect the volumes to start ramping up in the coming quarters. You may recall last earnings call, I had mentioned about inaugurating a new build -to-suit facility in the beginning of Q3 FY26 to serve key clients on manufacturing support services, and this is the facility which has gone live in Q3 FY26 .

Overall, our ISCS segment revenue for Q3 FY26 grew by 8.3% year -on-year and 9 months FY26 grew by 6.9%, with adjusted EBITDA growing at 23.4% year -on-year in Q3 FY26 and 11.3% on 9 months FY26 basis. The margins improved from 8.1% in Q3 FY25 to 9.2% in Q3 FY26. And on a 9 -month basis, we saw that improve from 8.4% to 8.7%.

With respect to GFS, the revenue grew by 19.3% year -on-year and 10% sequentially. And this came on the back of some very sharp rebound in India volumes. Global freight, however, remain s under pressure, but our cost initiatives and volume rebound helped expand our adjusted EBITDA margins from 1.9% last year and 2.2% in Q2 FY26 to 2.3% in Q3 FY26.

Let me now briefly talk about our other key initiatives. The Project One program in the U.K. and Europe continues to progress well. As we outlined earlier, we are seeing the benefits of this program reflect in the margin recovery in ISCS Europe and the ove rall improvement in profitability. Vaidhy anathan , our CFO, will elaborate more on this.

Alongside Project One, we continue to execute on a broader cost takeout, including rightsizing, right -shoring and tighter overhead control across regions. We also announced the acquisition of Swamy & Sons 3PL in India. This is a strategically important acq uisition that strengthens our capabilities in the FMCG and consumption -led supply chain space in India and deepens our presence in key consumption markets. The transaction is expected to be EBITDA, PBT and ROCE accretive and is fully funded through intern al accruals.

Overall, Q3 FY26 demonstrates that the building blocks we have been putting in place over the last few quarters are now translating into stronger growth and profitability. India is growing with better margins. Europe continues to strengthen. GFS shows volume -led growth an d our cost and transformation programs are yielding tangible results.

With this, I hand over to Vaidhy anathan , our Global CFO, and he will walk you through the financial highlights for the company in detail.

R. Vaidhyanathan: Thank you, Ravi. Good morning to all. Thank you for joining us today. Q3 FY26 was a strong financial quarter for TVS Supply Chain Solutions, characterized by healthy top line growth, significant margin expansion in both adjusted EBITDA and PBT. Our consolidated revenue for the quarter reached INR2,715.8 crores versus INR2,444.6 crores in Q3 FY25 and INR2,662.6 crores in Q2 FY26, reflecting a year -on-year growth of 11.1% and a sequential growth of 2%.

From a segment perspective, ISCS segment delivered a strong year -on-year growth of 8.3% with revenue at INR1,979.5 crores versus INR1,827.4 crores in Q3 of last year and a flat sequential growth due to expected lower seasonal volumes in Europe and North America. Within the ISCS segment, ISCS India, as Ravi highlighted, had a strong Q3. It grew by 4.2% sequentially, supported by strong revenue from new business wins an

d improved profitability. This is also
translating into a margin improvement in the India ISCS business.

ISCS Europe delivered a strong profitability as a result of our Project One initiatives, along with other cost control measures and better product mix. Moving on to the GFS segment. Our revenue for Q3 FY26 is INR736.3 crores compared to INR669.6 crores in Q2 FY26 and INR617.2 crores in Q3 FY25, marking a 10% sequential growth and 19.3% year -on-year growth, largely led by growth in ocean freight volumes in India. Freight rates continue to be under pressure, as Ravi mentioned earlier.

GFS India revenue grew from Q3 FY25 of INR147.9 crores and Q2 of INR201.61 crores to INR219.5 crores in Q3 FY26 with 48.4% growth on a year -on-year basis and 8.8% on a quarter -on-quarter basis, largely led by the volume growth in India.

With respect to the 9 -month FY26, our consolidated revenue stood at INR7,970.7 crores with INR7,496.6 crores in the previous year at a growth rate of 6.3%. The growth was driven by our ISCS segment with revenues of INR5,955.4 crores, reflecting a 6.9% improvement compared to INR5,571.5 crores in the previous year.

The GFS segment reported a revenue of INR2,015.3 crores, grew by 4.7% from INR1,925.4 crores in the previous year, largely led by volumes in India. However, rates continue to remain under stress and the macroeconomic uncertainties and the tariff volatility continue to impact this segment.

On the strategic cost takeout initiatives, the Project One in the U.K. and Europe is tracking as per plan. As previously communicated, we expect an annualized savings of around INR110 crores to INR120 crores and in -year savings of about INR50 crores to INR60 crores from this program. These benefits are already visible in the overall ISCS margin improvement in Q3 FY26 and year -to-date. We continue to drive the operating leverage through structural cost takeout

initiatives across the geographies, including r ightsizing and right shoring.
Now moving to the cost structure. Our movement in freight, clearing, forwarding and handling expenses on a quarterly basis and 9 -month basis is in line with the revenue growth in the GFS segment, offset by decline in ISCS segment due to the change in the b usiness mix.

Material -related costs increased from INR391.4 crores in Q3 FY25 and INR444.3 crores in Q2 FY26 to INR475 crores in Q3 FY26 on a year -on-year and sequential basis. On a YTD basis, material costs increased from INR1,314.5 crores to INR1,408.7 crores.
Other expense s increased from INR251.6 crores in Q3 FY25 to INR269.8 crores in Q3 FY26. And on a sequential basis, it declined from INR298.1 crores to INR269.8 crores. On a YTD basis, it increased from INR679.6 crores to INR824.7 crores. The movement in the material costs and other expenses are in line with the change of business mix in the ISCS segment.
Subcontract ing expenses increased from INR356.2 crores in Q3 FY25 and from INR369.4 crores in Q2 FY26 to INR389.5 crores in Q3 FY26. This is in line with the revenue growth from new customers and change in the business mix.
Employee cost marginally increased from INR590.3 crores in Q3 FY25 to INR598.6 crores in Q3 FY26, mainly due to the cost inflation and in line with the revenue growth partially offset by the cost takeout initiatives. On a sequential basis, it declined from INR644.4 crores in Q2 FY26 to INR598.6 crores in Q3 FY26, mainly due to an exit of large project in Europe as earlier communicated and also the benefits of cost takeout initiatives and savings from other in Project One. On a YTD basis, the employee cost rose from INR1,743.3 crores in previous year to INR1,861.9 crores in YTD FY26. This increase was primarily driven by impact of annual inflation also in line with the growth in the revenue.
Depreciation of right -of-use assets and interest on lease liab

ilities under Ind AS 116 increased
year-on-year with depreciation increasing from INR99.4 crores to INR105.9 crores and the interest cost on 116 increasing from INR21.6 crores to INR23.2 crores. The increase was due to the launch of a new warehouse and go -live of key project in North America in Q3 FY26, as highlighted by Ravi.
In terms of profitability, our adjusted EBITDA grew by 31.2% year -on-year with margins expanding by 110 basis points to 7.3%. This growth was driven by a combination of strong performance by India and Europe and the benefits of the cost takeout programs, i ncluding the Project One. Sequentially as well, adjusted EBITDA grew 11.7% and margin expanded by 60 basis points, demonstrating the consistency of the underlying earnings trajectory.
Within the segments, ISCS has delivered strong performance in Q3 FY26 with adjusted EBITDA of INR182.9 crores at 9.2% margin, up from INR148.2 crores at 8.1% in Q3 FY25 and INR173.8 crores at 8.7% in Q2 FY26. The significant margin improvement in ISCS is mainly on account of recovery of our ISCS Europe business with ISCS India continuing to deliver consistent growth in profitability.
GFS delivered sequentially improved performance in Q3 FY26 with adjusted EBITDA of INR17.3 crores at 2.3% margin, up from INR14.6 crores at 2.2% margin in Q2 FY26 and from INR11.5 crores at 1.9% in Q3 FY25. The segment continues to face macroeconomic headwinds reflected in the subdued rates. On a sequential basis, both the businesses showed improvement, ISCS with continued growth and GFS improving on the back of volume growth i n India.

At the bottom line, we delivered adjusted PBT of INR24 crores compared to a loss of INR16 crores in Q3 last year. Our PBT margin expanded significantly from negative 0.7% to positive 0.9%. On a 9 -month basis, the adjusted PBT has increased more than 4x, which is an important indicator of the continuous uptick in our earnings. Our reported PB T for the quarter stands at INR16 crores after exceptional cost of INR9.1 crores relating to the impact of the new labor codes which is reported as “exceptional items” .
To summarize, in Q3 FY26 , we delivered double -digit top line growth, strong adjusted EBITDA margin expansion and continued uptick in the profitability.
With regard to our recent announcement of entering into a definitive agreement for the acquisition of Swamy & Sons, I would like to point out that the acquisition is fully funded through internal accruals and is expected to be EBITDA, PBT and ROCE accretiv e. This will strengthen our presence in the attractive FMCG and consumption -led supply chain space in India. With this, I will hand it back to Ravi.
Ravi Viswanathan: Thank you, Vaidhy anathan , for the detailed analysis. Let me now take a few minutes to walk you through the business update and key customer wins and the demand outlook across our

markets.
We continue to build solid traction in new business development during the quarter. In Q3 FY26 , we have generated revenue of over INR319 crores from new business wins, representing 13% of our Q3 FY25 revenue. And for the first 9 months of the year, our revenue from new business wins stands at INR683 crores, which represents 9.1% of our 9 -month FY25 revenue with a healthy and diversified funnel across India, Europe and North America.
Our overall pipeline remains very strong at about INR6,300 crores, providing clear revenue visibility for the coming quarters. Across both ISCS and GFS, we saw wins from several notable contracts, global renewable energy leaders, global automotive and industrial majors, technology service providers and consu mer and mobility clients, reflecting the breadth of trust we hold with global customers.
A sample of the mandates that we have secured on the ISCS side, a global renewable energy leader in India, a world -class commer

cial vehicle pioneer in India, an integrated clean energy specialist in India, a world -class building mobility systems leader in India, a top energy storage manufacturer in India, a leading European passenger vehicle manufacturer in India, a global heavy equipment manufacturing pioneer in India, a Europe -based global IT infrastructure services provider .
One of the top global technology services firms in Europe, an urban rapid transit operator in Europe and an international enterprise technology provider in Europe. These wins reflect the strength of our tech -enabled execution, our domain depth in industrial and mobility verticals and the trust our customers place in TVS SCS.
Particularly, India continued to deliver exceptionally well on business development with multiple large strategic wins across automotive, renewables and industrials. These wins will support revenue scale up in the quarters ahead, especially in the ISCS bus iness, where our

positioning continues to strengthen across production, aftermarket and distribution -led supply chains.
On the GFS side, we added several marquee customers, including a global automotive technology pioneer, a global solar solution expert, a world -class engineering and manufacturing solutions leader, a leading material handling technology platform and one of Europe's top renewable energy specialists.
Let me summarize by saying that Q3 FY26 has been another strong quarter of customer conversions with high -quality wins across geographies. The strength of our ISCS proportion and the resilience of our diversified pipeline positions us well for the quarters ahead. We'll now open the forum for Q&A.
Moderator: Thank you very much. The first question is from the line of Sucrit Patil from Eyesight Fintrade. Please go ahead.
Sucrit Patil: I have 2 questions. My first question to Mr. Ravi is, as TVS Supply Chain builds on this profitability turnaround, what will be the key priorities guiding your growth strategy over the next few quarters? How do you see the balance between strengthening Ind ia operations and scaling global businesses evolving?
Ravi Viswanathan: Yes. Thank you, Sucrit. We have said that in the past that for us, all the geographies, all the regions provide us with the opportunity to grow. India specifically, given its strong economic climate presents a wonderful opportunity, and this quarter has be en a quarter where we've been able to capitalize on a lot of these opportunities and converted those into meaningful revenues and margins. We continue to stay very focused on our India business, and we are very confident that we'll contin ue on this trajectory of growth.
Last quarter, if you remember, I had mentioned that we will get to about 4% sequential growth, and we did that in the ISCS segment itself and overall 5.5% in the India market. And we are confident that this trajectory will continue given the strength of the business wins that we have. On what we remain focused, of course, the focus is staying very close with our customers and ensuring that we continue to execute with the same level of discipline that we have shown over the last few quarters. And that's really what has been the key.
What is also exciting for us is the M&A that we have announced with Swamy & Sons, which will further strengthen our expertise into the FMCG segment, which, as all of us know, India is a very large consumption -led economy, and that provides TVS SCS with a g reat opportunity to further expand the pie in India. So India is clearly right in the middle of our strategy and the opportunity to grow India at a differential growth rate compared to the rest of the world simply exists because of the economic activity t hat we see in India. Sucrit, I hope that it answers your question.
Sucrit Patil: My second question is to Mr. Vaidhyanatha

n. Again, along similar lines, what financial signals
will shape the company's approach to cost discipline, cash flow management and capital

allocation? How do you see these signals influencing long -term investment choices and margin protection? Just want to understand your plan of action and a point of view on this.

R. Vaidhyanathan: Sure. Thanks, Sucrit. I think as we previously communicated, our capital allocation decisions are primarily towards our ISCS business, which is in a strong growth trajectory. I think one of the key things for us is to do the revival of the Europe business from where it was, say, 4 or 5 quarters back, the actions that we have taken there. And also the investment we are making in the India business.

And as Ravi mentioned, the M&A that we are doing, the amount of capital that we are allocating for the India business, all these are some of the things which we have taken in the last few quarters, and we will continue to proceed this in the next few quart ers as well as we strengthen the ISCS segment.

Moderator: The next question is from the line of Saumil Shah from RS Investments.

Saumil Shah: Congrats to the team for good numbers. Sir, I wanted to know, I mean, since there are a lot of trade deals happening with EU and now again with the U.S. So what's your views on this? How this is going to benefit our company? And are we seeing some benefits already coming through in this quarter?

Ravi Viswanathan: That's a very relevant question which is occupying our time and mind space too. But we'll wait, Saumil, as you know, we are some time away before we get into the implementation stages of many of these FTAs. But it provides us an exciting opportunity. Speci fically, we have said in the past over the last 3, 4 quarters, there has been a big, I would say, challenge in the global forwarding business because of the global macro.

While our ISCS segment has grown handsomely, the GFS segment is really based on volumes and the rates continue to be under pressure. We expect with the macro hopefully turning in the right direction, the global freight business, both air and ocean will sig nificantly pick up with rates stabilizing. And that will mean that opportunities to be a partner to our customers from India on the forwarding business, both to Europe and to the U.S. will expand.

I will wait and watch. I think it's too early for us to say whether that's going to have an impact. Definitely, we're not factoring that in our Q4, but we are very bullish about what it could present for us in the next fiscal year.

With the U.S. trade deal hopefully getting commenced by , in phases from March and the European FTA, I think the opportunity for us to see the global forwarding business stabilize in the next fiscal is something which we are looking forward to. But I would still say for the GFS segment, we continue to be cautiou sly optimistic, while we remain fairly strongly motivated in the ISCS segment, both in India and outside of India.

Saumil Shah: Okay. But not only on the GFS, but even on the ISCS side, I mean, once the trade deal happens, we should see some benefits because there would be a lot of shift from Europe to India and a lot of transfer of services. So are we going to benefit in that also ?

Ravi Viswanathan: No, there will definitely be an upside. Like I said, when the ISCS segment, typically, Saumil, as we have said before, the pipeline takes anywhere between 6 to 18 months to conclude based on the kind of solution that we provide. GFS is far more transient. So we could submit a proposal today and close the deal 3 weeks from now. So the immediate impact can be seen in the GFS side. But you're absolutely right. There will be an uptick in the ISCS business too. Overall, it augurs very well

for the supply chain business.

Saumil Shah: Okay. Okay. And if we see our first 9 months, I mean, we have done a growth of 6% Y -o-Y. So going forward for next quarter also, how shall we look at our growth? Because I think we had guided for a double -digit growth. So to grow at double digit, I think t he Q4 has to be a bumper one. So just wanted your views on that?

Ravi Viswanathan: So we continue to push very hard for double -digit growth. To my entire leadership team, we pushed the messaging that we need to be focused on this double digit. However, given the product mix that we have, which has got a fair amount of GFS, we'll have to wa it for the GFS business also to start firing before we can say that we are firing on all cylinders. In spite of all of that, I will call out GFS for a stellar quarter 3, simply on the back of some incredible volumes. We have seen pricing pressure in GFS. Prices have constantly come down in the last 9 months. And the volumes have been phenomenal, and we've been able to expand absolute EBITDA, and that's really something which we'll continue to be focused on. But again, the freight business is very simple math, ri ght? So volume times price.

We got to push volume multiple times to manage the decline in price. And that decline in price is really a factor of the global macro. So for us to get double -digit growth, we got to get both the product sets or both the segments to be firing extremely wel l in terms of revenue growth. We have seen early signs in GFS, but we need to at least have 3 points before we can say it's a trend, but we'll wait for that.
But when I look forward, given all the headwinds at least subsiding, we think FY '27 would provide us with a clear opportunity for us to double down on GFS while we continue to build on the ISCS momentum. So I think we are very well placed as an organizati on. We continue to wait for some tailwinds on the GFS side, and that should be, in our view, possible with all the FTAs that could come in play over the next few -- couple of quarters at least.
Saumil Shah: Okay. Okay. And sir, what is the reason? I mean, our employee cost last quarter was around INR644 crores and currently it is INR598 crores. So I mean are we reducing our employees? What is the reason for such a drop in employee cost?
R. Vaidhyanathan: Saumil, as explained, there was one large project in Europe where the customer had decided to in-source it, so which we had exited in Q2. That is why you will see a reduction in the employee cost, plus also the other, the Project One savings and other thin gs will be reflected in the reduction in the employee cost.
Moderator: The next question is from the line of Disha Giria from Ashika Group.

Disha Giria: My first question is regarding the GFS business. Can you help with a volume uptick or a volume growth number for the GFS business for this particular quarter on a year -on-year basis?
R. Vaidhyanathan: Disha, no, we don't give a quarter -wise volume, but I can tell you in terms of percentage how we have grown in terms of ocean freight, right, compared to the last Q3, we have grown by about 29.6%. And in terms of air freight, I think we have grown by about 18.7%.
Disha Giria: On a consolidated basis, can you just help me with the same?
R. Vaidhyanathan : Yes, on a consolidated basis, correct. This is what I was also mentioning about the significant uptick in the volumes in the current quarter.
Disha Giria: Yes. All right. My second question is regarding our FY '27 performance. The last year guided to be able to reach a 4% PBT margin. So are we still on track for the same? And if you could guide some like a revenue growth number as well?
Ravi Viswanathan: Disha, we continue to remain focused on the 4%. It's an aspirational number that we will keep pushing at. Like I said to the previous question fro

m, I think, Saumil, we hope to get some tailwinds from the GFS business, and that should help us from that per spective.
Are we on track? I think we have got all the building blocks in place. I think the foundations are well established, and we continue to go on a positive trajectory. We'll hopefully get a better view of things as we exit Q4 and get into the new fiscal. But we remain steadfastly focused on the 4% PBT. It is something which the entire lead ership team is aligned towards.
As we start the planning process for the next fiscal year as I hope to conclude that in the next few weeks, that's the singular focus of all of the regions and the segments. At this point, I guess that's the place we are in, and we'll be happy to share tha t as we go forward.
Disha Giria: All right. My last question is regarding the recent acquisition of Swamy & Sons. So just wanted to understand what was our position in the Indian FMCG supply chain network before this acquisition? And what was the need for this acquisition? And what increm ental margin or incremental revenue growth are you seeing from this acquisition in the next financial year?
Ravi Viswanathan: Okay. From a strategic perspective, FMCG was important because India is a very strong consumption -led economy. We had a strong play in the FMCG segment, but FMCG is an area where I would say we needed to strengthen our base. And that's the reason why we lo oked at a strateg ic opportunity in Swamy & Sons.
So for us, that's a very strategic play. FMCG in India, in the consumption -led economy with the economy numbers being what it is, it is a great opportunity for us to participate, and it is not a white space that fits well in our overall strategy map, and t hat drove our decision on the Swamy & Sons acquisition. On the specific financials, I'll let Vaidhy anathan walk you through.
R. Vaidhyanathan: Disha, Swamy & Sons on average basis, their revenue is about INR200 crores, and their margins are slightly higher than our current business. So the transactions would be , from a margin point of view, it will be accretive both on EBITDA and PBT basis.

In terms of what is the outlook for FY '27, the transaction is still not closed. I think probably we are expecting to close this in Q4. And as we take control over the company, I think we'll be able to come to a better conclusion what are the opportunities and how best we can expand this

business after we take control over the company.
Moderator: The next question is from the line of Vikram Suryavanshi from Phillip Capital.
Vikram Suryavanshi: In terms of if you look at profitability impact, we have good amount of new business win and also some customer churn. So is there any impact on margin also that new businesses are at better margin and customer churn mix is also impacting the profitability going forward or that was not much in terms of margin improvement?
R. Vaidhyanathan: So, Vikram, could you please repeat the question, Vikram?
Vikram Suryavanshi: Yes, sure. Yes. So I was just trying to understand the impact on margin because of the new business as well as the customer churn. Have we seen that new businesses are at better margin compared to what customer churn we had seen in the quarter?
R. Vaidhyanathan: No. I would say that from a margin point of view, no, we will not dilute the margin, no. I think as of now, the focus is on taking out the cost and keeping the margin profile as it is, right? So all the new business wins, we will continue to hold on to our margins that we are c urrently generating.
And the customer churn that you see here is , and I was explaining to the previous participant, Saumil, where the customer had to in -source their activity, and that is the customer churn that you would see there. But from a margin point of view, the new business continue

to come at a
healthy margin, and we will continue to maintain that.
Vikram Suryavanshi: Okay. But sir, just as a curiosity, customer in -sourcing probably, I think our whole model is that really giving customers to better service at a better price. So what was the particular case where customers find value in in -sourcing, if you can just highl ight as a curiosity?
Ravi Viswanathan: Sure, sure. It's a good question. It's a relevant question. This particular customer in Europe decided to in -source because of what I would call challenges internally. It was a very large outsourcing engagement, and I think the organization wasn't quite re ady from change management perspective to roll out that. And within a year of outsourcing, there was a change in their management and the new management came in and decided that in -sourcing of a crucial activity like supply chain needed t o happen. So that's the reason.
It is not normal that you would find large engagements getting reversed, but it's not the first time that's happened. So in an organization's journey, we need to be very close to the customers, be very aligned to what the customers' needs are. We continue to work with the same customer on other engagements, but we respect the sentiments of the customer, and that's really what drove the customer towards it.
The change of management/ their ability to manage the change which decided to the program getting brought back in -house. So we had to move out a lot of the people. That's one of the

reasons why Vaidhy anathan spoke about employee costs coming down. A lot of the employees were also transferred back to the customer. I mean, like I said, relationship with the customer drives the SCS model, and that's key.
Vikram Suryavanshi: Understood. And within ISCS, if you can give comment on how was the performance of integrated final mile in terms of trajectory?
Ravi Viswanathan: I'll have Vaidhy answer the question. But again, we have combined IFM and I SCS as one entity. So we report ISCS as one entity. But Vaidhy, if you want to throw any color to that.
R. Vaidhyanathan: Yes, sure. Vikram, IFM is now part of the ISCS and had a turnaround in the current year after the merger, both through the initiatives that we have taken in the IFM business in terms of price corrections and other site consolidation, plus also the benefit of the Project One, which is the merged business in the Europe.
So both are tracking very well as per plan. And I think I would say from an IFM turnaround point of view, I think all the actions or the building blocks of turnaround of the business has been completed. And going forward, the focus will be on the growth in that business.
Vikram Suryavanshi: Got it. And just one more point on Project One. I guess we were targeting almost like close to 120 basis point improvement from the Project One in terms of profitability side. So how much of that is materialized so far the efforts what we have put and how much further scope is there? And by when we can almost see that full benefit?
R. Vaidhyanathan: Yes. In the current year, Vikram, in FY '26, we expect about INR50 crores to INR60 crores savings coming out of it. And you will see the benefits in Q3 as well. The improvement in the ISCS in Q3 is also, one of the key factors is the Project One benefit. And as we said, on a full year basis, annualized basis, next year we see about INR110 crores, INR120 crores of savings.
So all these things are permanent savings, which will flow into the next year as well.
Moderator: The next question is from the line of Bharat Sheth from Quest Investments.
Bharat Sheth: Sir, I have 2 questions. One is this, when we are talking of personalization some of the business, I mean, low margin or loss -making kind of a business in the pruning of such a journey where are we, still how much do you th

ink we will have to prune out so to consistently improve the
profitability, part one?

And second, I mean, sorry, I missed your answer on this, what are the levers that we have further, I mean, to what Project One you said? And how is that Project One only thing or beyond that also, we are looking for improvement on a sustainable basis over next 2, 3 years? How do we see in totality?

R. Vaidhyanathan: Okay. Bharat, probably I will answer the first question, which is on the projects that we exited. I think we have done this project exit in the India region in the last 18 months or last couple of years. And the focus has been on trying to reprice the low margin or loss -making and exit some of the projects. I think that is what we have done. And I would say that broadly, I would say the

correction has been done. And going forward, we will not see any big exit and the focus will be on growth going forward, right?

In terms of the second question with respect to the Project One, I was explaining to Vikram as well. We have seen about INR50 crores, INR60 crores of savings in the current year and we will see about INR50 crores, INR60 crores savings in the current financial year. And the annualized savings will be about INR100 crores, INR120 crores.

So this is one of the key levers for us as we move into FY '27 from a profitability point of view. And plus also the ISCS, which is in a very strong growth trajectory, especially India, Europe and the North America business, where we're expecting a good re venue growth. So all these things are some of the levers for us in the ISCS business.

GFS, as Ravi mentioned, it is still going through some kind of macroeconomic. We'll have to wait for the overall industry to revive and turn around. Hopefully, as Ravi mentioned, we're expecting something to happen in FY '27.

Moderator: The next question is from the line of Rajit Aggarwal from Nilgiri Investment Managers.

Rajit Aggarwal: Just a few data points to begin with, if you can share those. Can you share the number of customers as on date, as on end of 31st December, number of employees, warehouse space in million square feet?

R. Vaidhyanathan: I think the warehouse space is part of the investor deck, Rajit, if you can refer it, I think we'll be able to figure it. We have given it for each geography, would be able to look at.

Rajit Aggarwal: I think as of end of FY '25, the data which is given in the deck...

R. Vaidhyanathan: Yes, we publish this on an annual basis, Rajit, actually.

Rajit Aggarwal: Okay, okay. Fair enough. The others, employees, number of customers, that also will be on annual basis?

R. Vaidhyanathan: All these data points are published on an annual basis, Rajit. So if you can please wait for one more quarter, we'll be able to publish that.

Rajit Aggarwal: All right. Can you share the gross debt as on date?

R. Vaidhyanathan: I mean, as of 30th September, we had about...

Rajit Aggarwal: 2,220, including lease liabilities. Again, okay, that's...

R. Vaidhyanathan: I'm only talking about , not the lease liability, I'm only talking about the bank debt borrowings. That will be about INR850 crores at the end of September.

Rajit Aggarwal: Okay. You did share the order book, but would it be possible to share in terms of number of customers, what's the outlook for whether you maintain a pipeline or for Q4, if you can share a quantitative number? I mean, just want to understand, see, the reaso n I'm asking is, after all, the

logistics business is more a business of volume and there's only as much we can do on pricing and margin improvement. So if there is anything you can share in terms of number of , I mean, subjective qualitative or quantitative?

Ravi Viswanathan: So Rajit, Ravi here. See the number of

customers, I don't know, we have 2 segments, right?

There's an ISCS segment and the Global Forwarding Segment. The ISCS segment, typically I would say the number of customers would be in the hundreds. And the global f orwarding business the number of cust omers will be in the thousands.

So because if you take a container or if I take a cargo, I may have one main customer and then I'll stuff it with a whole bunch of other customers. So there will be a lot of transient customers in the GFS business. But typically, the number of customers is something which you can take a look at it from our end -of-year statement. But to give you a broad perspective, the ISCS would be in hundreds and then GFS would be in thousands.

Rajit Aggarwal: Right. And no, I actually wanted a bit more on the outlook in terms of onboarding of new customers, but I guess I'll wait for the data points as of the year -end?

Ravi Viswanathan: Sure, yes.

Rajit Aggarwal: The deck mentions the industrial, the breakup of our customers into various industries, and it says consumer 13%. So that is inclusive of FMCG, right? Or is it pure FMCG ?
Ravi Viswanathan: It's predominantly what I would call FMCD. With the acquisition of Swamy & Sons, it will give us an entry into the FMCG space.
Rajit Aggarwal: All right. So that would include e -commerce as well?
Ravi Viswanathan: We don't do B2C business, so I want to qualify that. But yes, it will include e -commerce, where we work with e -commerce companies on their fulfillment side.
Rajit Aggarwal: All right. Okay. Just one last question. Any outlook on any large organic capex or inorganic spend going forward, if you have any concrete plans?
R. Vaidhyanathan: No, the capex , I think we spent about 1.1% of our revenue, Rajit. I think we'll continue to do that, especially for the new projects, which will continue as per the previous years. In terms of inorganic, we just announced our Swamy & Sons acquisition, right? So that wi ll be one key acquisition. And we keep looking at it. If something materializes, probably we will keep all of you informed.
Moderator: We will take that as the last question for today. I now hand the conference over to Mr. Ravi Viswanathan, Managing Director, for closing comments. Over to you, sir.
Ravi Viswanathan: So thank you. It was a very interactive Q&A. And hopefully, we were able to provide all of you with the answers. Before we wrap up, I just want to reiterate the key takeaways from this quarter.
Let me just close by saying that Q3 has been a quarter of soli d performance for TVS Supply Chain Solutions, with clear progress on growth, profitability and execution across our portfolio.

We delivered double -digit revenue and adjusted EBITDA growth, strong margin expansion on adjusted EBITDA and also at PBT level, supported by disciplined execution and improving business mix. Our focus as a leadership team remains very clear, driving profit able growth, continued margin expansion through Project One and cost initiatives, improving the cash generation and build sustained revenue visibility through a strong diversified pipeline.
With the momentum we have built so far this year and with disciplined execution across regions, I'm confident that we are moving steadily towards strengthening our financial profile and delivering on our medium -term objectives. Thank you once again and for your continued trust and support.
Moderator: Thank you. On behalf of TVS Supply Chain Solutions, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.
Notes: 1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.
2. Figures have been rounded off for convenience and ease of reference.

Call: Jun 2026

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June 01, 2026

BSE Limited
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001
Scrip Code: 543965 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051
NSE Symbol: TVSSCS

Dear Sir/Madam,

Sub: Transcript of earnings call with Analysts/ Investors

Pursuant to Regulations 30 read with Para A of Part A of Schedule III and other applicable provisions of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, we attach herewith the transcript of TVS Supply Chain Solutions Limited ("Company"), Earnings call held on May 26, 202 6, to discuss the financial results for the quarter and year ended March 31, 202 6.

The transcript is also uploaded in the Company's website https://www.tvsscs.com/investor -relations/

Kindly take the above information on records.

Thanking You,

Yours faithfully,
For TVS Supply Chain Solutions Limited

P D Krishna Prasad
Company Secretary

Encl: As above

 "TVS Supply Chain Solutions Limited
Q4 & FY26 Earnings Conference Call "
May 26, 2026
MANAGEMENT : MR. RAVI VISWANATHAN – MANAGING DIRECTOR
MR. VIKAS CHADHA – GLOBAL CHIEF EXECUTIVE OFFICER
MR. R. VAIDHYANATHAN – GLOBAL CHIEF FINANCIAL OFFICER
MR. KARTHIK VENKATARAMAN – HEAD INVESTOR RELATIONS
MODERATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL INDIA
MR. HARSHIL SHAH – PHILLIP CAPITAL INDIA

Moderator: Ladies and gentlemen, good day, and welcome to the TVS Supply Chain Solutions for Q4 and FY26 Results Conference Call hosted by Phillip Capital India. This conference call may contain forward -looking statements about the company, which are based on the beliefs opinions and expectations of the company as on date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to

predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikram Suryavanshi from Phillip Capital India. Thank you, and over to you, sir.
Vikram Suryavanshi: Thank you. Good morning, and very warm welcome to everyone. On behalf of Phillip Capital, I'm pleased to welcome you all on the earnings call of TV S Supply Chain Solutions Limited.
We are happy to have management with us here today for question and answer session with the investment community.
The management is represented by Mr. Ravi Viswanathan, Managing Director; Mr. Vikas Chadha, Global Chief Executive Officer; and Mr. R. Vaidhyanathan, Global Chief Financial Officer. We'll begin the call with the opening comments from the management, followed by interactive question -and-answer session.
With this, I hand over the call to the management for opening comments. Over to you, sir.
Karthik Venkataraman : Hi. This is Kart hik here , Head IR . So thank you, Vikram. Good morning, and welcome all of you to TVS Supply Chain Solutions Earnings Call for the quarter and year ended March 31, 2026. I hope everyone had a chance to look at the financial results, which were posted on the company's website and on the stock exchange yesterday.
We have with us today, Mr. Ravi Viswanathan , Managing Director; Mr. Vikas Chadha, Global CEO and MD Designate and Mr. R. Vaidhyanathan, Global CFO. We commence the call now with opening remarks from our management along with the business performance update. It will be followed by an open forum for question and answers.
Before we begin a customary remark. I would like to point out that some of the statements made during this call may be forward looking in nature and must be reviewed in conjunction with the risks that the company faces. A disclaimer to this effect has been included in the investor presentation.
And I request and hand over to Mr. Ravi Viswanathan, Managing Director of the company, to make the opening remarks. Over to you, Ravi.

Ravi Viswanathan: Thank you, Karthik , and good morning to all of you. Firstly, let me welcome all of you once again to our earnings call to discuss the performance for the fourth quarter and year ended March 31, 2026.
We have had a spectacular finish to the year, and I'm excited to share with you the highlights of our performance. I'm joined today by my colleague Vaidhy , our Global CFO, who will take you through the analysis of our numbers. And Vikas Chadha, our Global CEO and MD Designate , who will walk you through the business updates. We look forward to interacting with you as part of the Q&A session.
For the benefit of those participants who might be joining the analyst call for the first time, please note that TVS Supply Chain Solutions is a tech led and asset light supply chain solution provider. We have 2 main business segments, namely the Integrated Supply Chain Solutions, or ISCS, and Global Forwarding Solutions, or GFS.
We operate across 4 continents, Asia, Europe, North America

and Oceania where we offer
bespoke and tailor made solutions in the 3PL space and also offer 4PL services in select markets.
For more details about the company, you may please refer to our website, www.tvsscs.com/investor relations
Coming to the performance of our company. FY26 marked a strong turnaround year for us. We crossed Rs. 11,000 crores in revenue with a growth rate of 10.1%. We achieved an adjusted profit before tax of Rs. 99.3 crores, which is a significant improvement from Rs. 37.3 crores in FY25.
At the outset, I would like to thank our customers and vendor partners, employees and other stakeholders without whom we would not have been able to achieve these milestones. The highlight of this year has been that our growth has been more diversified and broad -based across regions.
In the ISCS segment, revenue from operations grew by 9.6% over last year. Our performance in India has shown strong growth and Europe has had a turnaround performance aided by new business wins and disciplined cost initiatives. This help ed in overall performance and improve d the profitability. North America business helped improve the top line with a new large project that went live in the second half of last year.
Moving to the GFS segment. Revenue grew by 11.4% over last year, aided by significant growth in India volumes, while global freight rates continue to remain under pressure. Our cost

initiatives and volume growth in India helped us minimize the impact of th e geopolitical situations.
Now let me come to the quarterly performance. Our consolidated revenue grew to Rs. 3,032 crores, a growth of 21.3% year -on-year basis and 11.7% on a sequential basis. This is the first time that the company has hit Rs. 3,000 crores in a quarter, and it bodes extremely well for us.
I'm pleased to share that we have delivered on our commitment that we made in the previous quarter on our quarter 4 growth, particularly in the ISCS segment, which showed a strong year -

on-year growth of 17.5% and the sequential growth of 15.4%, reflecting new wins across all regions.
Regarding the GFS segment in , our freight forwarding business, we have previously indicated that while volume growth would continue, margins would remain under pressure. Accordingly, we witnessed strong volumes on a year -on-year basis, led by India ocean freight. The segment has showe d tremendous resilience and has grown by 34.8% on a year -on-year basis.
It is important to call out that the GFS business continue s to operate at structurally lower margins and the global freight industry is currently facing a period of uncertainty influenced heavily by war induced trade disruptions across major trade r outes .
On the profitability front, for quarter 4 FY26 , the adjusted EBITDA was Rs. 222 crores compared to Rs. 161.4 crores which reflected on a year -on-year basis, a growth of 37.5%, a margin improvement of 80 bps to 7.3%. Sequentially, we delivered Rs. 199.3 crores at a growth rate of 11.4%.
For the full year, our adjusted EBITDA stood at Rs. 773 crores up from Rs. 675.3 crores in FY25, reflecting a double -digit growth of 14.5%. Our new business wins accounted for 12.1% of FY25 revenues. This, coupled with our cost initiatives, such as Project One, have clearly yielded results, and we continue to pursue these.
In the last quarter, we entered into a definitive agreement to acquire Swamy & Sons 3PL that strengthens our capabilities in the FMCG and consumption -led supply chain space in India, and deepens our presence in key consumption markets. The transaction was completed this month. This will be margin accretive for our India business in FY27.
We continue to be a tech -led company and early adopters of technology and have integrated AI and robotics in many of our operations. We have also applied a patent for our unified logistics platform which

has been accepted.
Let me now hand over to Vaidhy, our Global CFO, who will take you through the financial highlights for the company.
R. Vaidhyanathan: Thank you, Ravi. Good morning, all. Thank you for joining us today. If I can call it the headline of our performance commentary that one line would be, on a full year basis, revenue grew double -digit by 10.1%, adjusted EBITDA grew double -digit by 14.5% and adjusted PBT grew by 166%.
A few highlights before we get into the detailed financial performance. We delivered a strong performance in Q4 achieving Rs. 30.9 crores of adjusted PBT compared to Rs. 18.0 crores in Q4 FY25, and we also grew sequentially by 23%. On a full year basis, our reported PBT stands at Rs. 274.1 crores including the Invit gain of Rs. 177.2 crores in Q1. We also generated close to Rs. 243 crores of operating cash for the year, reflecting the improved profits as well as efficient working capital management across all the regions. Now I will take you through the detailed highlights of our financial performance for Q4 and the year ended 31st March 2026.

Our consolidated revenue for the quarter reached Rs. 3,032.2 crores versus Rs. 2,498.8 crores in Q4 FY 25 and Rs. 2,715.8 crores in Q3 FY 26 reflecting a year -on-year growth of 21.3% and a sequential growth of 11.7%. Both the segments have contributed to this gro wth. The growth in India region came very strongly at 31.4% on a year -on-year basis , aided with strong new business wins as well as significant volume in our side forwarding business.
From a segment perspective, ISCS segment delivered strong year -on-year growth with revenue at Rs. 2,283 crores in Q4 FY 26 versus Rs. 1,943.4 crores in Q4 FY 25 and Rs. 1,979.5 crores in Q3 FY 26 continuing to show growth strong momentum, delivering double -digit growth on a year-on-year at 17.5% and 15.4% sequentially, supported by strong revenue from new business wins and improved profitability.
GFS segment clocke d a revenue in Q4 FY26 of Rs. 748.8 crores compared to Rs. 555.4 crores in Q4 FY25 and Rs. 736.3 crores in Q3 FY6 marking a 34.8% year -on-year growth, largely led by the growth in ocean freight volumes in India. Freight rates continue to be under pressure as

Ravi mentioned earlier.
For full year, our consolidated revenue stood at Rs. 11,003 crores compa red to Rs. 9,996 crores in the previous year at a growth rate of 10.1%. Growth was l ed by ISCS segment revenue of Rs. 8,238.9 crores, reflecting a 9.6% growth compared to Rs. 7,514.9 crores in FY'25.
GFS segment reported revenue of Rs. 2,764.1 crores, reflecting a growth of 11.4% to Rs. 2,480 crores in the previous year. Driven b y strong volume growth in ocean freight in India as well as new custo mer wins. Other income for Q4 FY 26 stood at Rs. 10.5 crores, lower than Rs. 13.4 crores in Q4 FY 25.
On a full y ear basis, other income was Rs. 37.8 crores compared to Rs. 33.2 crores in FY 25. The movement is primarily due to the int erest income from bank deposits. Now mov ing to the cost structure, freight clearing forwarding and handling expenses increased from Rs. 632.8 crores in Q4 FY 25 and Rs. 784.8 crores in Q3 FY 26 to Rs. 813.3 crores in Q4 F Y26, which is largely in line with the revenue growth in the GFS segment due to the v olume growth in the ocean freight.
On a full year basis, freight cost moved from Rs. 2,816.2 crores to Rs. 3,005.7 crores in line with the business growth. Material related costs increased from Rs. 465.5 crores in Q4 FY25 and Rs. 470.5 crores in Q3 FY 26 to Rs. 652.7 crores in Q4 FY 26. The increase is primarily due to the new business wins in India, an increase in volume in the North America and Europe markets.
On a full year basis, the cost increased from Rs. 1,767.7 crores in FY2 5 to Rs. 2,049 .4 in FY2 6. The movement in the material costs and other related costs are in line with

the change in business
mix in the ISCS segment. Employee costs on a year -on-year basis, employee costs increased from Rs. 610.1 crores in Q4 FY 25 to Rs. 640.5 crores in Q4 FY 26 due to cost inflation and in line with the revenue growth, partially offset by the cost takeout initiatives that we have taken across all the regions.
On a sequential basis, it increased from Rs. 598.6 crores to Rs. 640.5 crores. Full yea r employee cost increased from Rs. 2,353.4 crores in FY 25 to Rs. 2,502.4 crores in FY 26 reflecting the

impact of annual inflation in the employee cost for new projects that we undertook during the year.
Subcontracting costs increased from Rs. 360.7 crores in Q4 FY 25 to Rs. 393.9 crores in Q3 FY26 to Rs. 406.9 crores in Q4 FY 26. This is in line with the revenue growth from new customers. On a full year basis, sub-contracting cost increased from Rs. 1,438. 6 crores to Rs. 1,584.7 crores in FY 26.
Other expense moved from Rs. 274 crores in Q4 FY25 to Rs. 269.8 crores in Q3 FY 26 to Rs. 297.5 crores in Q4 FY 26. On a full year basis, it increased from Rs. 953.7 crores in FY'25 to Rs. 1,122.1 crores in FY 26. The increase was primarily driven by higher rental char ge during even short -term lease enters and higher repairs and maintenance in the warehouse ISCS segment.
Depreciation o n right -of use assets and interest on lease liability under IndAS 116 increased year-on-year with depreciation increasing from Rs. 94.2 crores in Q4 FY25 and Rs. 106 crores in Q3 FY 26 to Rs. 108 crores in Q4 FY 26. Interest cost on lease liabilities increased from Rs. 20.8 crores in Q4 FY 25 and Rs. 23.2 crores in Q3 FY 26 to Rs. 24.8 crores in Q4 FY26.
The increase in the IndAS 116 costs was due to the second site that went live in one of our key projects in North America market in Q4 FY 26. On a full year basis, the depreciation of write - off use assets has increased from Rs. 398.5 crores in FY 25 to Rs. 403.4 crores in FY 26. And the interest cost on lease liabilities has declined from Rs. 87.6 crores in FY 25 to Rs. 82.9 crores in FY26.
This is primarily due to initiatives to optimize the lease commitments transition selectively from long-term leases to medium and short term rental arrangements wherever operationally feasible.
On the profitability front, our adjusted EBITDA grew by 37.5% year -on-year, with the margins expanding by 80 bps to 7.3%.
This growth was driven by strong performance exhibited by India and Europe region .
Sequentially as well, adjusted EBITDA grew by 11.4%, demonstrating the consistency of the underlying earnings trajectory. With respect to segments , ISCS has deliver ed strong performance in Q4 FY 26 with adjusted EBITDA of Rs. 212.8 crores in Q4 FY 26 at 9.3% ma rgin, up from Rs. 164.7 crores at 8.5% margin in Q4 FY2 5 and Rs. 182.9 crores at 9.2% margin in Q3 FY 26.
The significant margin improvement in ISCS is mainly on account of the recovery from the Europe business with India continuing to deliver consistent growth and profitability. GFS delivered an improved performance in Q4 FY 26 with adjusted EBITDA of Rs. 18.3 crores, a 2.4% margin, up from Rs. 8.7 crores at 1.6% margin in Q4 FY 25 and Rs. 17.3 crores at 2.3% margin in Q3 FY 26.
The margin improvement reflec ts the volume growth in India and the result of the cost optimization initiatives that we had undertaken in this segment to partially offset the

macroeconomic challenges that Ravi highlighted. The s egment continues to face macroeconomic headwinds r eflected in the subdued freight rates.

We delivered an adjusted P BT of Rs. 30.9 crores in Q4 FY 26 compared to Rs. 18 crores in Q4 last year. On a full year basis, the adjusted PBT increased by 166% from Rs. 37.3 crores in FY25 to Rs. 99.3 crores in FY26, reflectin g the results o

f the growth as well as the operating leverage.

Our reported PBT for the quarter stands at Rs. 25.7 crores after the exceptional cost of Rs. 5.2 crores relating to the impact of the ne w labor code, which is reported as exceptional items.

As I mentioned earlier, operating cash generation stands at Rs. 243 crores, reflecting the improved profitability and the working capital efficiency. With thi s, I will request Vikas Chadha for the commercial update. Over to you, Vikas.

Vikas Chadha: Thank you, Vaidhy for the analysis. Very good morning, good afternoon, good evening to all of you. Before I touch upon the commercial update, let me first introduce myself. I have 30 + years of progressive leadership experience driving billion dollar plus P&L operations across diverse industries and geographies.

I'm absolutely delighted and thrilled to be part of the TVS Group and I'm looking forward to creating a very healthy sha reholder value during my tenure . I would also like to thank Ravi as he retires from TVS Supply Chain Solutions for all his valuable contribution and laying such a strong foundation for me.

Now coming to our business development performance and pipeline strength, it has been phenomenal and it reinforces our growth outlook. In Q4, we recorded new business wins, which is an all -time high in a quarter of Rs. 523.7 cro res, representing 21% of Q4 FY 25 revenue. For the full year, the new business totaled Rs. 1,206.7 crores, which is 12.1% of FY25 revenue, a clear sign of traction across key geographies.

We are also seeing very strong momentum in the quality of clients that we are onboarding. This year, we added 9 new Fortune 500 customers, taking the total number of active Fortune 500 clients from 91 last year to 100 a significant milestone that speaks of growing relevance of our offer ings in the global marketplace.

Our order pipeline remains robust at Rs. 6,100 crores, giving us a view of the road ahead for the coming quarters. Across both our segments, ISCS and GFS, we saw wins from several key and marquee customers. On the ISCS side, we secured mandates from India and major international markets, including a leading Indian electric vehicle manufacturer, top electri cal equipment company in India. Multinational provider of home appliances in India, leading Indian value retail chain player, North America base manufact urer of lifting equipment, a global generating and technology sol ution provider, leading Indian MNC in IT services space, global information technology measures.

These wins reflect the diversity of our expanding customer portfolio, the strength in our tech -enabled execution and the trust our customers continue to place in via supply chain solutions, which acts as a testimonial of our digital capabilities.

Particularly India continued to deliver exceptionally well on business development with multiple large strategic wins across automotive, consumer durables and industrial verticals. These wins will drive revenue growth in the quarters ahead, especially in t he ISCS business, where our

positioning continues to strengthen across production, aftermarket and distribution -led supply chains.

On the GFS side, we averaged several marquee customers, including multinational material handling provider, a top global leader in sanitary and bath solutions, global fashion and a pparel retailer, a leading Indian tyre manufacturer, leading industrial automation and robotics company.

Thank y ou all for hearing this update.

And with this, we open the floor for Q&A.

Moderator: Thank you. We will now begin the question -and-answer session. Our first question comes from the line of Sucrit Patil with Eyesight Fintrade. Please go ahead.

Sucrit Patil: I just want to understand, in your point of view, how is the TVS Supply Chain preparing to capture future opportunities in g

lobal logistics, warehousing and supply chain technologies ,
while thoughtfully addressing challenges such as geopolitical disruptions, rising cost and digital transformations. What strategic levers do you see more important for sustaining growth and maintaining the leadership in FY27? Just want to u nderstand your point of view on this. Thank

you.
Ravi Viswanathan : Thank you, Sucrit. I think it's a great question. I think we've always maintained that we are a tech-led supply chain organization. We continuously keep looking at how technology can differentiate in the marketplace. An outstanding example is a recent enga gement that we are involved in paying in North America, where we have engaged fairly sophisticated robotic technology, coupled with digital platforms which bring a significant difference from what the customer was used to, in with an incu mbent supply chain provider.
I think the key for us is our last name, which is TV supply chain solutions. Our solutioning brings in a significant differentiator in terms of combining technology along with domain knowledge. And that's what is differe ntiating us in the marketplace.
With respect to the geopolitical situation, I think it should give all of our investors a lot of confidence that this organization has been incredibly resilient in a year where there have been significant geopolitical challenges. In spite of that, we have recorded growth, which has been, I would say, unprecedented since we listed bourses.
So we continue to focus on the fundamental character of the company, which is to stay close to the customer, build deep relationships , consistently look at how we can cross -sell and add value and bring a technology component to every aspect of our solution. And that's really what is being the big driver for us in the Integrated Supply Chain Solutions space.
And you can see from the results that the ISCS growth has been broad -based across our geographies, whether it's Europe, whether it's in the U.S. or in India, we've been able to get spectacular results. And this is coming on the back of some very strong mov es that we made over the last 6 to 8 quarters, which we have been sharing in this platform.

So we continue to be bullish about the ISCS segment. We believe that our differentiation through technology and our deep customer relationships will help us continue our growth momentum. Vikas just told you about how we have expanded our portfolio from 91 Fortune 500 customers to 100, and we continue to keep a very close tab on that.
It's the quality and the depth of our customer relationship, which will differentiate along with the technology, which is infused in all of our solutions. I hope that helps you, Sucrit. I'm happy to take additional questions now or at a later point in time .
Sucrit Patil: My second question to MR. Vaidhyanathan is from a technical point of view, how is the company optimizing its capital structure to balance growth investments in logistical infrastructure and technology while still maintaining the debt structure especially g iven the capital -intensive nature of global supply chains, can you elaborate on the framework being used for cash flow forecasting, interest rate risk management and working capital efficiency to ensure liquidity while still maintaining the p rofits? Thank you.
R. Vaidhyanathan: Sure, Sucrit . I think there is a lot to be covered. Okay. First, on capital allocation point of view, I think we have a very clear focus. I think our priority is to allocate more capital for the ISCS business. And as we always said, we are an asset -light business, and we don't invest in any fixed assets. Most of our assets are only for some warehouse related, and we always follow an asset - light model for investment.
And from a working capital point of view, we have an extremely strong cash management

as
well as working capital management, and we ensure that we have a very tight control on the working capital. And if you look at our overall net debt as of 31st March, i t's hovering around Rs. 350 crores, Rs. 370 crores.
And except about Rs. 120 crores, which is long term in nature for a specific project, bulk of our debts are all short -term working capital in nature. I think that is how we manage the cash flow as well as the capital structure. And our ratings has been extremely strong, India AA ratings.
And we take a very, very strategic point of view before we allocate any capital to any new business or new projects.
Moderator: The next question comes from the line of Ankur Poddar with Svan Investments . Please go ahead.
Ankur Poddar: Good morning, sir. Congrats on good set of numbers. My first question is regarding our GFS business. So because of the disruptions in the geopolitical situation currently, are we facing any disruptions in our routes where we operate, so that is the rest of the world GFS? And also, if you can throw some light on how our India GFS and the outlook of India GFS business going forward for FY27?
Ravi Viswanathan: Okay. First is, are we in any of the trade lanes, which are in the West Asian zone? The answer is no. But I think, look, this is a network business, Ankur , right? So it's really about something which is a hotspot in West Asia could impact any of our trade routes. So we do see disruptions, especially in the smooth flow of traffic. But having said that, the India business has had tremendous growth in this qua rter.

And we remain bullish about the fact that we'll be able to continue on this momentum given the volumes. We are not particularly worried about sea freight volumes at this point in time as we look outward. But what could be very volatile is pricing. Pricing pressures continue, and we need to keep a very close eye on the pricing in this segment. But we continue to remain bullish about volumes from India. And we on a broad base, I would expect GFS to deliver better than how we have delivered in FY26.
Ankur Poddar : Okay. Understood. My second question is regarding the ALA MOU that we had signed recently. Is there any update on that? And do we see any visibility coming in, in FY27?
Ravi Viswanathan: Probably too early to say, Ankur, but we just recently signed. So we are early days, but you will hear updates from us in the near future on how we plan to get further into that segment. We clearly have identified defense and aerospace as a great opportuni ty, and that's the reason why that MOU is very relevant. We continue to work very closely with ALA, who are a very niche player in that segment and we are very keen to participate with us in this market and specific markets. So we will gi ve you an update as this evolves. But I would say we have made progress since the MOU. And hopefully, we'll have more to share in the near future.
Ankur Poddar: Okay. That's great. And finally, if you could just share the growth outlook for your ISCS business also within India as well as rest of the world. So that's Europe and U.S.
Ravi Viswanathan: Sure, sure. Look, I think there a lot of positives. One is the first time we have hit Rs. 11,000 crores revenue Rs. 3,000 -plus crores revenue in Q4. And I think most important lead indicator that I will leave with you is the fact that we have new revenues coming from business development made in Q4 which is a record. And Vikas spoke about it, Rs. 524 crores is the revenue that we got from new business wins just in Q4, which represents more than 20% of our Q4 revenues. And that's a very st rong lead indicator and a very strong exit as we get out of FY26 into '27.
And I would just say, we have strong wins, which will give us a sufficient tailwind into the first half of the year. And we have a significant pipeline, which

are at various stages of conversion
and we remain very confident of a double -digit maybe an early teen kind of number for the whole year from an overall perspective. And ISCS will probably be a strong contributor to that.
Moderator: The next question comes from the line of Disha with Sapphire Capital .
Disha : So, my first question was on the GFS segment. So I've seen the Indian volumes rise drastically for this quarter, what was what were some of the reasons for that? And how has Q1 been so far, sir?
Ravi Viswanathan : I'll probably not speculate on Q1 as yet, but let me just say, Q4 is on the back of some significant businesses. I think Vikas spoke in his commentary about a lot of new wins that we had this quarter, the volume growth is coming on the back of that. And we continue to get significant new wins in both ISCS and the GFS segment . So, I would say we're seeing both volume growth for what we call as encirclement or cross -selling with in existing customers showing growth, but also new customer wins that are fueling the GFS volume growth.

Disha: And we do expect this momentum to continue, right?
Ravi Viswanathan : I remain very optimistic, Disha.
Disha: And how should we look at the EBITDA margin for FY27? Because we have seen high traction from the ISCS segment as well. So how should we look at the EBITDA margin?
R. Vaidhyanathan: Disha I'll take this Vaidhy here. See, on the ISCS, I think right now, you're about 9.3% and we range from between 9.5% to 10% on ISCS from a margin point of view. And as Ravi said , with all the large customer wins and also the operating leverage actions that we have taken I think we'll be somewhere between 9.5% to 10% on ISCS.
Disha: And for the overall margins of FY27?
R. Vaidhyanathan: Yes. I mean I think it all depends on, as Ravi said, on the GFS trajectory in terms of the freight rates and all that. But I would say somewhere between right now, we are at should be around 7.3% to 7.4% on the adjusted EBITDA. I think a lot depends on how the GFS trajectory moves.
Ravi Viswanathan: I would just be cautious about GFS given the geopolitical situation. Like I said, we are bullish about the volumes but we have to keep a very close eye on the rates. It's been very volatile, and we'll keep you updated on this as we progress. We have a very clear understanding of how we will get better leverage on the ISCS business.
On the GFS I'll still be cautious because it is all about customer relationships, deep customer relationships. We will continue to focus on going deep with our relationship but there is a dependency on pricing, which is volatile. And I will just leave it there because right now, it will be speculation if I get deeper on that .

Disha: Yes, yes. Fair enough. And also that you have a robust order pipeline, what sort of conversion are we looking at for FY27? When do we see majority of orders flowing i n?
Ravi Viswanathan: Our typical conversion like we have said in the past, has been around 22%. So we look at that, hopefully, we keep improving on that. But that's typically what our conversion ratios have.
Moderator: The next question comes from the line of Rohit Ohri with Progressive Shares.
Rohit Ohri : Couple of questions from my side. First one, being on China plus one and the U.S. firms, which are trying to eye India, if you can take us through, which are the sectors with these guys are actually looking at and which would probably be the strongest relo cation candidates where you see momentum or anything on the current pipeline, if you would like to share?
Ravi Viswanathan: So, the China plus one. We do see a lot of early traction with our existing customers but none of which has got very deep, but you did see a few examples of things that we did with some multinationals, we have shared some of the media, some of the new things

that we're doing
especially with a large earthmoving equipment company. So we seek actions across the board. There have been some early wins, but I would still keep looking at that space because capital allocated by those customers towards expansion in India is something which we need to keep a close tab on.

Given the geopolitical environment, especially the U.S. buyers, I would still wait to see whether there's going to be acceleration on that front.
Rohit Ohri: Is it possible to share that when you compete with these global 3PL players, what sort of operational capability that we portray that the competitors are still underestimating about TVS?
Ravi Viswanathan: And I don't want to talk about what competitors think about us. I think the key strength for us is that we have a very strong relationship with some of the large multinationals . And given that we have a presence in 100 of the top Fortune 500 customer base, it gives us a very strong currency to participate.
Second is we have a very strong brand at TVS, and that legacy is something which helps tremendously. And that, coupled with the fact that we have a very strong India person and India story is really a big driver. So we are on the invitee list of almost every large MNCs foray into India and that's the exciting part for us. India continues to be a very strategic region for us. We continue to see how to continue this acceleration that we see. There are very interesting sectors that we see momentum in one of t hem is the power sector. This is specifically with alternate power and quite a few multinational companies activities, we are able to now participate.
Rohit Ohri: So we did mention about these new businesses that are coming through and the new sectors, which you just alluded in your previous comment as well, along with our aerospace, defenc e on maybe energy and renewables. But what are these certifications that you think are critical bottleneck in India currently? And how sticky are these contracts or maybe how dee ply embedded are they with TVS S upply?
Ravi Viswanathan: You are talking about existing contracts that we have?
Rohit Ohri: Existing contracts as well as the one which might come maybe in the next 3 years or so .
Ravi Viswanathan: I mean the existing contrac t, the stickiness is what you create. It's really about, I think I spoke about it in my opening commentary on the very deep customer relationships and the flexibility that we have had in terms of engaging with the customer during different cycles of the business environment, especially the volatile environment that we have seen over the last couple of years.
But if you take a look at our relationship and the customers contract, the average length of our customer contract in India is about 4 years to 4.1 years. And that is 5 -plus years in North America and almost 7.5 years in Europe. So that kind of shows the stickiness of the engagement that we have.
So the average length of these relationships are fairly long, and it continues to grow on a period - by-period basis. So that's something which I would talk about from an existing customer perspective.
You spoke about certification. Clearly, aerospace and defense is a certification space. And that creates significant both entry and exit hurdles. Our MOU with ALA is really about leveraging on their global capabilities and the certification that they already have with many of the existing suppliers in this space, and that will give us a competitive advantage as we enter the segment.

Rohit Ohri: On this aero supply chain services, what sort o f lessons do we have from the UK defenc e logistics, which you think are transferred to India currently?
Ravi Viswanathan: I think the key is for us to understand how different organizations work,

the ir processes, the
ability for us to participate in large, complex multiyear deals over the last few years gives us that depth and that's something which is a huge differentiator for TVS SCS because I don't think any other Indian player participates in those k ind of engagements. So that experience is something which is which is a huge differentiator.

And coupled with the kind of partnership we're trying to engage with a leading global supplier that will put us firmly on a leadership path to participate in some of these spaces in India and beyond.

Rohit Ohri: Sir, on the guidance aspect by FY29, FY 30, do you think that I know top line is not an issue for us. But then with the sustainable EBITDA margin may be like 12% or 13%, do you think that we can reach somewhere around Rs. 15,000 crores by FY29, FY30?

Ravi Viswanathan: I will leave that question to Vikas for the future. But clearly, that is something which we have shared with you in the past, right?

Look. For us, we keep talking about continuously expanding our EBITDA margins. We have said in the past that the benchmark EBITDA numbers are in the early teens, and that's our aspiration. So we think in the medium term, we should get to 10.5%, 11% in ISCS. And we hope that we can push the GFS margin. Maybe this is not the year but in the next 4 to 8 quarters, move it to closer to 5% and hopefully settle at about 6%, 6.5%.

Rohit Ohri: Sir, last one from my side. If we w ere to revisit TVS in maybe FY 30, what metrics beyond the revenue would convince the management team that the strategy is actually truly worked?

Ravi Viswanathan: So first and foremost, I think we are focused on profitable growth. So profitability is something which is a very key driver. Our trajectory has been good, and we want to continue on this trajectory. So profitable growth is number one. Number two is contin ue to mine our existing customers to get deeper into our customer relationships , create larger portfolios, which means that we are doing significant cross -sell and upsell. Hopefully, some of the newer segments that we are entering, for ex ample, in India, the acquisition of Swamy & Sons gives us an entry into FMCG and the MOU on the aerospace and defenc e gives us an opportunity to expand our defense portfolio.

So overall, if I were to look at it 3 years hence , the verticals that we are today entering into if we can drive similar margins and much higher growth rates in those segments clearly would mean success. And of course, deeper engagement with our customers, which we are very confident of now because that's been the essence of the TVS Supply Chain Solutions story an evolution over the last 3 decades.

Rohit Ohri: Okay sir. Thank you for answering my question thanks a lot.

Moderator: Thank you. The next questi on comes from the line of Vikram Suryavanshi with Phillip Capital. Please go ahead.

Vikram Suryavanshi: Good morning and congratulations on very strong numbers, sir. Just wanted you r comment on our, if you look at segment -wise or profile between India and Europe, it is pretty diversified between automotive, consumer, industrial, health care and other segments. But US business i s mostly dominant only 2 segments. So how is the growth outlook there and then d iversification possibility in US particular North America market?

Ravi Viswanathan: So I think for us, the US , we do operate on a very strong account -centric plan, right .. So we have picked industrial and auto sector as the areas of focus and that has been the biggest growth dri ver for us. So if you look at US over the last 5 years, it's growing at about 28.3% CAGR. And we really thin k that the opportunity in the US is with large customers, we should be able to get a significant size of the pie.

Previously, 5 years back US was really a scattered map, but today, we are g

etting deeper into
fewer customers. And we want to grow each of these customers because those are the customers who typically can deliver \$50 million, \$60 million of annual revenue. And if we can create a portfolio of 4 or 5 such customers, that will give us a very, very strong foundation, on which then we can expand the US market.

So our current focus remains on industrial vertical and the auto vertical. There are a lot of opportunities, but we are remaining very focused in mining large customers that we work with are all Fortune 500 customers that we work with in the US and we want to see how we can convert each of these customers into double -digit million closer to \$50 million of business over the next 3 to 4 years.

Vikram Suryavanshi: Got it. But apart from this industr ial and auto , are there any back -end challenges for us to add newer verticals or it is not a focus area as of now?

Ravi Viswanathan: I think it's really about what we want to focus on. I think we want to make sure that the management bandwidt h is really focused on mining and deepening the relationship and then saying, if I have a product set is it easy for me to just expand that product set and go into customers who have got similar requirements rather than looking at a larger canvas in which we

can operate. A nd US is a very large country, very, very large spend, but we are , I would say, we need to get to a p lace where we have a strong f oundation, very strong stories and that's the basis on which we will expand. So, we want to remain very focused on the kind of sectors we want to get into in the US . Having said that, if there are opportunities for us to partner with some of our , both tech and non -tech partners, we will keep evaluating it. But our focus is really on , saying look at auto , industrial and adjacencies to that.
Vikram Suryavanshi: Understood. And we have very strong new business wins this quarter. So, internally, do you have as a percentage of revenue to target as a new business win as an internal target? And do you also look at the customer c hurn basically a s one of the indicators or any target internally or its more on new business win only ?

Ravi Viswanathan: The customer churn is something which in this business, especially in the GFS side, you will find that's a constant. But more importantly for us, we have been typically at about 10%, 11% of the previous year revenue which is coming in as new business wins.
We want to get to a place where we constantly keep increasing that. So, this year, we got that number to 12.1%, so 12.1% of FY25 revenues is what is the new business wins for FY26. So, if we get to about 12% to 15%, I think we know that the engine is working very well, and that would give us the momentum required for us to meet our medium -term targets.
Vikram Suryavanshi: Okay. And the last question on integrated final mile , basically you don't give separate numbers , but in terms of understanding, are we seeing improvement in there also materially or it was like an integrated supply chain, which has driven the profitability? Just to get some idea about how things are going?
Ravi Viswanathan: Let me just ask Vaidhy to answer that. But from our perspective, we have integrated that business, but you can probably dwell deeper into that particular sub -segment.
R. Vaidhyanathan: Sure. Thanks, Vikram, if you remember, I think as part of the IFM, we have taken a lot of corrective actions about four, five quarters back, especially with respect to getting the business back on track, especially with respect to strategic price increases that we talked about in the past, including some of the site consolidation, taking out the excess costs, and all the actions have been completed over the period of the last four to six quarters, I would say, and today, the integrated fin al mile, which is part

of the IS CS business, and a very, very strong path
Vikram Suryavanshi: Got it, sir. Thank you very much.
Moderator: The next question comes from the line of Kunal Sabnis with Nine Rivers Capital. Please go ahead.
Kunal Sabnis: Hi, thanks a lot for the opportunity. First of all, congratulations to the team. All that you have been saying for a while , that turn around has been seen in numbers for the last two quarters. And this quarter has been an improvement over the previous one. So, congratulations for that. I have two questions. First is on the ISCS business, right? It's heartening to see that ISCS has grown Q -o-Q as well, right about 15% and Y -o-Y as well.
So, going forward, considering you have multiple projects into pipeline and scale up of the North America project plus the wins that have happened. Can we see this actually growing at like 18%, 20%? Is th at a possibility going forward, primarily on the ISCS, which is a sticky business and then has higher margins?
Ravi Viswanathan: It's a great question, and thank you for your wishes. We continue to focus a lot on the ISCS business. Do we have the pipeline for that kind of growth ? The answer is yes. We just need to say, see how we can increase our conversion ratio of some 22%, maybe, to about 23%, 24%, closer to 25%. I always remain optimistic about it. Will it be an 18% growth ? I definitely want to expect that.

But I want to also set expectations that given what we can see, we are very confident of double digit, we're very confident of early te ens or even mid -teens in that segment. But I'll just leave it there to say that we aspire to get closer to that number that you spoke about. Do we have the pipeline? Absolutely, yes.
If we can convert some of the larger deals and our conversion ratio increases, I don't see that as a difficult thing, but that's the focus of the company, to see how we can increase the conversion rate of our pipeline.
Kunal Sabnis: Got it. And considering the top line is growing and the EBITDA overall, you expect to be flat to positive. Your PBT margin from here -on has to sequentially grow, right? I mean, Q -o-Q as well, the PBT margin?
Ravi Viswanathan: That is the trajectory for us in terms of PBT. So we have to get the PBT number growing every

quarter and very confident that we will do that.
Kunal Sabnis: Got it. The last one is on the exceptional items. Is there any reason , why this labor provisioning was not taken entirely in quarter 3 , and some has come in this quarter?
R. Vaidhyanathan: Yes, Kunal. I'll take this , Vaidhy here. See, there was a labor ministry clarification which came in March 16th and after we declared the Q3 results, because of which we had to once again do a reassessment and take an additional provision. And that clarity was not there , when we closed the Q3 numbers. And as you know, there are still a lot of gray areas and there is a lot of interpretations as well. So I think that is what is the reason for that.
Kunal Sabnis: Is that entirely taken now?
R. Vaidhyanathan: As of now, whatever clarifications that have come from this, we have completely taken it.
Kunal Sabnis: Perfect. And one last thing is on the impairment of the loss on financial instrument, that's a sizable number as compared to your profit, right? About Rs. 17.6 crores. And that's sort of recurring every quarter. What does this pertain to? A nd what do we expect for fiscal FY26, I mean how can we project this?
R. Vaidhyanathan: Yes. This is basically what we keep providing based on the expected credit loss for all the customers and the decisions that we take. I think this trend will more or less be similar because we have a very, very large revenue size, Rs. 11,000 crores. On that, the number is not very material, but we do continue to closely monitor . And most of our customers are all highly rate

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in the B2B segment, not in the B2C segment. So, there are no creditors, but we continue to take as part of ECL credi t loss methodology .
Kunal Sabnis: So, you have total booked about Rs. 56 crores for fiscal FY26. This sort of rate percentage to revenue should continue. Is that I understand you correct?
R. Vaidhyanathan: Probably , I would say slightly lower in FY27 onwards.
Kunal Sabnis: It should be lower in FY27. Okay. Great and wish you luck for the future.

R. Vaidhyanathan: Thanks Kunal.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for their closing remarks.
Ravi Viswanathan: Thank you. Thank you for all of your time, questions and continued interest in our journey. As we look forward to FY27, we see significant opportunities to strengthen our market position, enhance operational resilience and build deeper relationships with our customers.
We also recognize the challenges that lie ahead from the macro to structural shifts in the global supply chain. Our focus remains very clear, executing on our renewed customer conversion growth story and continuing the disciplined implementation of our cos t and productivity initiatives which we have set in motion, scaling segments and driving long -term value creation through disciplined customer -centric growth.
I would like to personally thank all participants, both present and from the past , for your participation and valuable inputs. As all of you would be aware, this would be my last earnings call. I'm confident that under the leadership of Mr. Vikas Chadha, the company would so ar to greater heights. I want to thank you once again for your support, and we at TVS SCS, look forward to engaging with you in the quarters ahead.
Moderator: Thank you, sir. I would now like to hand the conference over to Mr. Harshil Shah from Phillip Capital India.
Harshil Shah : We thank the management of TVS Supply Chain Solutions for giving us an opportunity to host the call and taking time out for interaction with the stakeholders. Thank you all for being on the call.
Moderator: Thank you. Ladies and gentlemen, on behalf of Phillip Capital India, that concludes this conference call. Thank you for joining us, and you may disconnect your lines.
Notes: 1. This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.
2. Figures have been rounded off for convenience and ease of reference.